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विश्वविद्यालय एवं स्वशासी
महाविद्यालयों के विद्यार्थियों हेतु



विश्वविद्यालय प्रकाशन (रजि.)

ग्वालियर द्वारा प्रकाशित

20 प्रश्न

(परीक्षोपयोगी महत्वपूर्ण मॉडल प्रश्नोत्तर)

डिपो
शुद्धि, सिविल
मो. 9039007108

**A reliable book based on the
prescribed unified syllabus as per
the new National Education Policy.**

**Business Organisation
and Communication**

[Minor-2]

B.Com. First Year

असली पुस्तक की
पहचान



प्रकाशक



विश्वविद्यालय प्रकाशन (रजिस्टर्ड)

महादजी पार्क, हरिदर्शन विद्यालय मार्ग, ग्वालियर-474 009 (मध्यप्रदेश)

According to New Education Policy



TM

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**BUSINESS
ORGANISATION &
COMMUNICATION**



MINOR - 2

B. COM. FIRST YEAR



New Syllabus

Business Organisation & Communication

Unit-1. Indian ancient business system, commercial nature and economic institutions, major traditional industries, trade and business routes.

Business Organization: Concept, Characteristics and Purpose. Business Functions and Social Obligations. Necessary steps for newness.

Unit-2. Forms of Business Organization : Business Organization - Classification - Factors Influencing the Choice of Suitable Form of Organization - Sole Proprietorship and Partnership - Meaning, Definition - Characteristics - Advantages. Co-Operative Organization - Meaning, Functions and Limitations of Co-operatives Societies.

Unit-3. Organization of Companies : Concepts, Meaning, Formation, Characteristics and Significance of Private Company and Public Company. Multinational Companies (MNC's) and the Challenges of their organization in India.

Unit-4. Communication : Various means of communication in Indian Knowledge System, Communication - Definition, Nature, Importance, Nyaya (Logic and Debate Skills), Kinds of Communication Mudras & Body Language, Communication theories and process - Information theory, Interaction theory, Transaction theory, Elements of communication process. Barriers to Communication.

Unit-5. Written Communication : Writing techniques and Guidelines. Letter writing - Basic Principles, Purpose, Types of business letters, Report writing, types of reports, Drafting of report, Oral Communication: Speeches for different occasions, Guidelines for effective listening, Job Interviews, Type of information.

Unit-6. Modern forms of communication : E-mail, Video Conferencing, International Communication for Global Business. Information Technology: Form of technology, uses in modern communication system. Role of Social Media in modern business.



Assessment and Evaluation

Suggested Continuous Evaluation Methods

Maximum Marks : 100		
Continuous Comprehensive Evaluation (CCE): 30 Marks		
University Exam (UE): 70 Marks		
Internal Assessment: Continuous Comprehensive Evaluation (CCE): 30	Class Test Assignment/Presentation/Quiz/Peer Teaching	30 Marks
External Assessment: University Exam: 70	Section (A) : Multiple Choice Questions Section (B) : Short Questions Section (C) : Long Questions	70 Marks
Total Marks 100		

BUSINESS ORGANISATION & COMMUNICATION

UNIT-I

Long and Short Answer type Questions :

Q.1. Throw some light upon ancient Indian business system.

Ans. Ancient India's business system was characterized by a strong emphasis on ethics, community, and a holistic approach to trade and commerce. Key aspects included the guild system, a focus on dharma (ethical conduct), and the early adoption of various trade routes.

Key features of Ancient Indian Business:

- Guild System :** Organizations of traders, artisans, and producers with their own rules and regulations, often protected by the state.
- Ethical Principles :** Dharma (duty and righteousness), artha (pursuit of wealth), and karma (consequences of actions) guided business practices.
- Barter System :** Early form of trade where goods and services were exchanged directly without the use of money.
- Trade Routes :** Extensive networks like the Silk Route, Spice Route, and others facilitated both internal and external trade.
- Early Forms of Banking :** Guilds and other organizations provided rudimentary banking services like lending and managing finances.
- State Regulation :** The state played a role in regulating economic activities, particularly during the Mauryan Empire.

Examples:

- The guild system was a significant feature, with guilds acting as associations of business with common objectives.
- Texts like the Vedas and Upanishads emphasized dharma as a guiding principle for business ethics.
- The Silk Route connected India with China and the Roman Empire, demonstrating the scale of ancient Indian trade.
- The concept of steni, referring to various business organizations, was prevalent and integrated into state functions.

Indian ancient business system: a thriving and sophisticated model

Ancient India possessed a remarkably diverse and advanced business system characterized by vibrant trade networks, organized industries, innovative financial practices, and a strong emphasis on ethical conduct.

Here are some key aspects of ancient India's business system:

1. Agriculture and industry:

- (i) Agriculture formed the backbone of the economy, with fertile plains supporting crops like rice, wheat, barley, and millet.
- (ii) Advanced irrigation systems were developed to enhance agricultural productivity.
- (iii) Ancient India was also renowned for its textile industry (especially cotton and silk), metallurgy, and various crafts like pottery, carpentry, and jewelry making.

2. Trade and commerce :

- (i) Ancient India boasted extensive trade routes, both overland and maritime, connecting it with civilizations in Central Asia, the Middle East, Southeast Asia, and Europe.
- (ii) The Silk Road and various sea routes facilitated the exchange of goods like spices, textiles, precious stones, metals, and luxury items.
- (iii) Port cities like Lothal, Bharuch, and Kaveripattinam flourished as centers of maritime commerce.

3. Financial innovations :

- (i) The introduction of coinage, including punch-marked coins and later standardized and gold coins during the Mauryan and Gupta periods, revolutionized economic transactions.
- (ii) The "hundi" system emerged as a precursor to promissory notes and bills of exchange, facilitating secure fund transfers for merchants engaged in long-distance trade.
- (iii) Wealthy merchants also issued "akshaya patra," or indestructible promissory notes.

4. Guild system (Shrenis):

- (i) Merchant and craft guilds, known as "Shrenis" or "Ganas", played a vital role in regulating trade practices, ensuring quality control, and providing social and financial support to their members.
- (ii) These guilds operated with a degree of autonomy and had their own rules and regulations, often respected by the state.
- (iii) They also acted as custodians of endowments, bankers, and even maintained militias.

5. Economic prosperity and influence :

- (i) India's strategic location and abundant resources made it a major player in global trade and a significant contributor to the world economy, especially during the Maurya and Gupta periods.
- (ii) The flourishing economy fueled cultural exchange, leading to advancements in arts, literature, and architecture.
- (iii) Indian goods, such as spices, textiles, and precious stones, were highly valued in international markets, spreading Indian influence far and wide.

6. Business ethics:

- (i) Ancient Indian texts emphasize ethical principles in business, particularly the concept of "dharma" (righteous duty) and balancing the pursuit of wealth ("artha") with moral conduct.
- (ii) Honesty, fairness, and upholding one's word were considered essential in business dealings.

The ancient Indian business system was not only robust and innovative for its time but also laid the groundwork for many financial and economic practices that continue to influence the modern world.

Q.2. What were the aspects of commercial nature in Ancient India?

Ans. In ancient India, commerce was a vital part of the economy, with thriving trade in both domestic and international markets. A wide range of goods were produced and traded, including textiles, spices, precious metals, and agricultural products. This trade was facilitated by well-developed land and sea routes, contributing significantly to India's economic prosperity and cultural exchange.

Key Aspects of Commercial Nature in Ancient India:

- (i) **Extensive Trade Networks** : Ancient India was a major player in global trade, with well-established trade routes connecting it to regions like Babylonia, Egypt, Greece, Rome, and Southeast Asia.
- (ii) **Diverse Exports** : India's exports included a wide variety of goods, such as silk, cotton, spices (especially pepper and ginger), precious stones, gold, silver, and agricultural products.
- (iii) **Imported Goods** : While India was a major exporter, it also imported items like horses, luxury goods, and perhaps some raw materials.
- (iv) **Maritime Trade** : Western India, particularly the coastal regions, was a hub for maritime trade, with ships carrying goods across the seas.
- (v) **Land Routes** : The Silk Road, passing through India, facilitated trade with Central Asia and beyond.
- (vi) **Economic Prosperity** : Trade contributed significantly to India's economic growth, making it a wealthy and prosperous nation.
- (vii) **Cultural Exchange** : Commercial interactions led to the exchange of ideas, cultural practices, and knowledge between India and other civilizations.
- (viii) **Guilds and Associations** : Organizations like guilds (e.g., the guild of silk weavers) played a role in regulating trade and production.

(ix) **Government Role** : While there was less government control compared to later periods, the state did regulate certain aspects of trade, including price controls and royal purchases.

(x) **Price Regulation** : The state, through officials like the Royal Valuer, would fix prices for royal purchases and sometimes for general trade, ensuring fair prices.

(xi) **Profit Margins** : Profit margins for traders were regulated, with a suggested 5% for domestic goods and 10% for imported goods.

(xii) **Banking System** : During the Gupta period, a banking system headed by a nagara shreshthi (chief banker) emerged, indicating a developed financial infrastructure.

Q.3. Write a note on economic institutions in ancient India.

Ans. Ancient Indian economic institutions were diverse, evolving from village-based systems to more complex structures like guilds and state-controlled trade during the Mauryan and Gupta periods. Key elements included agriculture, craftsmanship, and regional trade, with the *sreni* (guilds) playing a vital role in regulating trade and protecting members' interests. The concept of banking emerged with the *hundi* system, a precursor to promissory notes.

Key Economic Institutions in Ancient India :

(i) **Village Communities** : In early Vedic times, villages were largely self-sufficient, with agriculture as the primary occupation. The village council (*grama*), assembly (*sabha*), and the ruler (*raja*) played a role in economic affairs.

(ii) **Guilds (Sreni)** : From around 600 BCE, guilds became prominent, particularly in regulating trade and crafts. They acted as associations of people in the same profession, protecting their interests, promoting trade practices, and facilitating knowledge transfer.

(iii) **Banking and Finance** : The *hundi* system, which involved promissory notes, facilitated secure fund transfers for merchants involved in long-distance trade, marking an early form of banking.

(iv) **State Involvement** : The Mauryan Empire, for example, had market towns, ports, and trade routes, with the state and guilds jointly managing markets and ensuring fair trade practices.

(v) **Trade and Commerce** : Regional trade was common, often involving barter systems. Long-distance trade also existed, and guilds played a crucial role in facilitating these transactions.

(vi) **Emergence of Coins** : While barter systems were prevalent, various forms of coins (punch-marked, cast, and die-struck) emerged, particularly during the Mauryan and Gupta periods.

(vii) **Other Collective Organizations** : Besides guilds, ancient India also saw other forms of collective economic activity like *gana*, *pani*, *puga*, *vrata*, *sangha*, and *nigama*.

Q.4. What are the major traditional industries in India?

Ans. India's major traditional industries include textiles (handloom and powerloom), handicrafts, jute, coir, and various cottage industries. These sectors are characterized by their historical significance, employment generation, and contribution to the cultural heritage of the country.

The major traditional industries in India are:

(i) **Textiles** : The textile industry, including handlooms and powerlooms, is one of the oldest and most widespread in India. It plays a vital role in the economy, providing employment to millions and contributing significantly to exports. Centers like Bengal, Gujarat, and Tamil Nadu were historically famous for textile production.

(ii) **Handicrafts** : India's diverse handicrafts industry encompasses a wide range of products like woodware, metalware, hand-printed textiles, embroidered goods, jewelry, and pottery. This sector is a significant employer, particularly of female artisans, and is known for its unique designs and craftsmanship.

(iii) **Jute and Coir** : Jute and coir industries are also prominent traditional sectors in India, with jute being particularly important in certain regions for items like sacks, carpets, and other products.

(iv) **Cottage Industries** : Various cottage industries, including weaving, pottery, carpentry, and bamboo crafts, are integral to the rural economy, providing livelihoods for artisans and contributing to local craftsmanship.

(v) **Other Traditional Industries** : This includes industries like beedi (a type of Indian cigarette), tiles and bricks, and various household industrial activities carried out in rural areas.

(vi) **Historical Significance** : Many of these industries, such as textile production and shipbuilding, were notable during the British colonial period and contributed to India's trade and economic activity.

(vii) **Regional Diversity** : Different regions in India have unique traditional industries, reflecting the country's diverse cultural and geographical landscape. For example, Assam is known for its silk production and woodwork, while other regions specialize in specific types of pottery or metalwork.

Q.5. Throw some light upon ancient Indian trade and business routes? What is the significance of trade routes?

Ans. Ancient and medieval India saw the flourishing of various trade routes, both overland and maritime, which connected the subcontinent

with the East and West. Key routes included the Silk Road, Spice Route, and various land routes like Uttarapath and Dakshinapath. These routes facilitated the exchange of goods like silk, spices, cotton, and precious stones, as well as the spread of cultural ideas and technologies.

Overland Trade Routes:

- (i) **Silk Route:** This route connected India with China and the Roman Empire, facilitating the trade of silk and other goods.
- (ii) **Uttarapath (Northern Route):** A major route connecting the northern regions of India with Central Asia and beyond, particularly important during the Kushan period.
- (iii) **Dakshinapath (Southern Route):** Connected the southern parts of India with the northern regions and facilitated trade with Southeast Asia.

Maritime Trade Routes:

- (i) **Spice Route:** A maritime network that connected India with the Middle East and Europe, primarily for the trade of spices.
- (ii) **Ports:** Ancient and medieval India had numerous prominent ports like Bharuch, Tamlapli, Arkamedu, Sopara, Calicut (Kozhikode), and Kochi, which served as major trading hubs.
- (iii) **Coastal Trade:** Seasonal monsoon winds and the domestication of camels aided coastal trade and the movement of goods inland.

Significance of Trade Routes:

- (i) **Economic Growth:** Trade routes were crucial for India's economic prosperity, enabling the exchange of goods and resources.
- (ii) **Cultural Exchange:** These routes facilitated the exchange of ideas, technologies, and cultural practices between different regions.
- (iii) **Spread of Religions:** Buddhism and other religions spread through these trade routes, influencing the cultures of various regions.

Modern Trade Routes:

- (i) **International North-South Transport Corridor (INSTC):** A modern multimodal route connecting India to Russia and Europe via Iran.
- (ii) **Chennai-Vladivostok Sea Route:** A sea route connecting India's east coast with Russia's far east.
- (iii) **Middle Corridor:** A route connecting Southeast Asia and China to Europe via Kazakhstan, the Caspian Sea, Azerbaijan, Georgia, and Turkey, offering an alternative to the Suez Canal and the BRI route.

Q.6. What do you mean by Business Organisation? Briefly Explain the objectives of Business Organisation.

Or
Mention the objectives of Business Organisation.

Or
Define Business Organisation and mention its scope and objectives.

Ans. Definition of Business Organisation : Business organisation can be defined as the art of establishing effective co-ordination between different components of business so as to accomplish predetermined objectives. It is the technique of efficient operations of industrial and commercial activities. Or we can say that, business organisation is concerned with the study of the methods and procedures of establishing and operating business enterprises with the purpose of earning profits by rendering service to the society.

Scope of Business Organisation : The scope of business organisation is very wide. It comprises an analytical study of the different forms of business ownership, the types of traders engaged in the supply of goods and services, the institutions which facilitate trade, the financial arrangements used to conduct business, the problems of location and layout of the undertaking, the principles of management, forms of combinations, methods of wage payment, etc. It covers the different functions of business like production, marketing, finance, personnel, etc.

Objectives of Business Organisation : Following are the objectives in designing a sound business organisation :

- (1) **Absoluteness of Responsibility :** The responsibility of the subordinate to his superior is absolute. No superior can escape responsibility for the organisational activities of his subordinates.
- (2) **Balance :** The various parts of an organisation should be kept in balance and none of the function should be given undue emphasis at the cost of others, in order to create organisational or structural balance.
- (3) **Co-ordination :** There should be an orderly arrangement of group effort and unity of action in the pursuit of a common purpose.
- (4) **Continuity :** Arrangements must be made to enable people to gain experience in positions of increasing diversity and responsibility.
- (5) **Correspondence :** Authority and responsibility must be co-terminus and co-extensive.
- (6) **Division of Work :** The total task should be divided in such a manner that the work of every individual in the organisation is limited as far as possible to the performance of a single leading function.

- (7) **Delegation** : Authority delegated to an individual manager should be adequate to enable him to accomplish results expected of him.
 - (8) **Efficiency** : An organisation is efficient if it is able to accomplish predetermined objectives at minimum possible cost.
 - (9) **Exception Principle** : Every manager should take all decisions within the scope of his authority and only matters beyond the scope of his authority should be referred to higher levels of management.
 - (10) **Functional Definition** : The duties and authority-relationship of different individuals must be clearly defined so that there is no confusion or overlapping.
 - (11) **Flexibility** : Devices, techniques and environmental factors should be built into the structure to permit quick and easy adaptation of the enterprise to changes in its environment.
 - (12) **Span of Control** : No executive should be required to supervise more subordinates than he can effectively manage.
 - (13) **Scalar Principle** : Authority and responsibility should be in a clear unbroken line from the highest executive to the lowest executive. There must be a clear chain of command.
 - (14) **Unity of Command** : Each person should receive orders from only one superior and be accountable to him.
 - (15) **Unity of Direction** : There must be one head and one plan for a group of activities directed towards the same objective.
 - (16) **Unity of Objectives** : An organisation structure can be called sound only when it is able to achieve the desired objectives.
- Q.7. Explain the concept of Business organization?**
- Ans.** A business organization is a structured entity, either for-profit or non-profit, designed to conduct commercial activities, such as producing goods or providing services, to achieve specific objectives. It involves the coordinated effort of people, resources, and processes to fulfill these objectives. Essentially, it's the framework that allows businesses to operate and achieve their goals. Key aspects of a Business Organization:
- (i) **Structure**: A business organization has a defined structure, or whether it's a sole proprietorship, partnership, corporation, or other legal form, which outlines how the business is managed and operated.
 - (ii) **Purpose**: It is established with a specific goal in mind, whether it's generating profit or serving a social purpose.
 - (iii) **Activities**: It engages in various commercial activities like production, marketing, finance, and management to achieve its objectives.

- (iv) **Resources**: It involves the coordination and utilization of resources such as labor, capital, equipment, and technology.
- (v) **Regulations**: Business organizations operate within a framework of legal and ethical standards, including contracts, ownership rights, and tax regulations.

Examples of Business Organizations:

- (1) **Sole Proprietorship**: A business owned and run by one person, who is personally liable for all debts.
- (2) **Partnership**: A business owned and run by two or more people who share in the profits and liabilities.
- (3) **Corporation**: A business recognized as a separate legal entity, owned by shareholders, with limited liability.
- (4) **Limited Liability Company (LLC)**: A business structure that combines the benefits of a partnership and a corporation, offering limited liability.

In essence, a business organization is a dynamic entity that combines resources and activities to achieve a specific purpose, operating within a defined structure and legal framework.

Q.8. Briefly discuss the functions and significance of Business Organisation.

Or

Describe the functions and significance of Business Organisation.

Or

Write a note on importance of Business Organisation.

Ans. Functions of Business Organisation : The primary objective of business is to earn profit by supplying goods and services to the community at the right time and place and at reasonable price. There are several functions of Business Organisation which are as follows :

- (1) **Production Function** : The creation of goods and services through the transformation of various inputs like materials, manpower, machinery, etc. is called production function. Several techniques are used in the production process. A separate Production Department is setup production to look after Plant Location, Plant Layout, Production Planning and Control, Total Quality Management, Inventory Control, Research & Development, etc.

- (2) **Marketing Function** : Marketing is responsible for all the activities relating to the distribution of goods and services, and other related activities like consumer research, pricing, channel decision, advertising and sales promotion.

- (3) **Finance Function** : Finance function is concerned with the provision of necessary capital for the smooth running of the enterprise and the proper utilisation of the funds invested.

Important decision areas of the finance department include capitalisation, sources of finance, investment of capital, management of earning, etc.

- (4) **Personal Function** : This function is concerned with the procurement of suitable human resources and getting the best out of them. Certain important functions of the Personal Department include recruitment, selection, training, promotion, transfer and remuneration of employees, provision of labour welfare.

- (5) **Other Functions** : There are other functions such as material management, public relations, office and legal or secretarial work. All the functions of business are inter-related and inter-dependent.

Significance of Business Organisation : The significance of business organisation can be studied by the following points :

- (1) **Best utilisation of physical and human resources** : It is only through well-planned business organisation that the physical and human resources of a country can be used.
- (2) **Development of capital market** : The growth of the capital market is the result of developments in the field of trade, commerce and industry which is achieved by successful practice of business organisation.
- (3) **Employment orientation** : Business organisation is the only means to increase employment opportunities in a country.
- (4) **Ensures specialisation** : Specialisation involves allocation of work among workers on the basis of their qualifications, talents and aptitude. It increases the efficiency of workers and motivates them.
- (5) **Specialised production** : Division of labour, mechanisation, rationalisation and scientific management are the result of growing business.
- (6) **Facilitates administration** : The function of organisation is very much necessary for the performance of other functions of management like planning, staffing, direction and controlling.
- (7) **Facilitates growth and diversification** : The organisation structure is the framework within which the enterprise grows. Expansion and diversification can proceed to such limits only which the organisation structure permits.
- (8) **Facilitates co-ordination** : Business Organisation is an important means of bringing co-ordination among the various departments of the enterprise.
- (9) **Greater, better and cheaper production** : Through well-planned business organisation, the supply of goods and services from the areas of plenty to the areas of scarcity is the result of scientific business organisation.

- (10) **Increase in Government revenue** : Business also accelerates the taxable capacity of the people.

- (11) **Optimum use of Technological Improvements** : The advantages of technological improvements and changes can best be realised by having a suitable organisation structure.

- (12) **Quality of life** : The developed quality of life style of the people is the outcome of modern business.

- (13) **Rapid economic development** : Economic development of a country can be achieved only by the proper utilisation of its resources, and this can be made possible through well-planned business organisation.

Q.9. What are the characteristics of a business organization?

Ans. A business organization is characterized by several key features including: economic activity, profit motive, risk and uncertainty, organized structure, customer satisfaction, and legal entity. These characteristics help define the purpose and operation of a business within a specific market.

Here's a more detailed look:

- (i) **Economic Activity** : Businesses engage in the production, distribution, and consumption of goods and services. This is the core function of any business, providing value to customers and generating revenue.
- (ii) **Profit Motive** : A primary goal of most business organizations is to generate profit. This profit is essential for the business's survival, growth, and reinvestment.
- (iii) **Risk and Uncertainty** : Businesses operate in dynamic environments where they face various risks, such as market fluctuations, competition, and unforeseen events. This uncertainty is a constant factor that businesses must manage.
- (iv) **Organized Structure** : A business organization requires a defined structure with clear roles, responsibilities, and communication channels to ensure efficient operations. This can range from simple to complex depending on the size and nature of the business.
- (v) **Customer Satisfaction** : Businesses strive to satisfy customer needs and preferences to build loyalty and drive sales. Customer satisfaction is crucial for long-term success.
- (vi) **Legal Entity** : Businesses often have a legal identity that allows them to own property, enter into contracts, and be held accountable under the law. This legal status is important for establishing credibility and operating within a specific jurisdiction.
- (vii) **Continuity** : Many businesses aim for continuity, meaning they strive to operate for an extended period, potentially across generations.

indefinitely. This requires effective management, strategic planning, and adaptability to changing market conditions.

- (vii) **Resource Management** : Businesses need to manage various resources effectively, including human capital, financial resources, and physical assets. Efficient resource management is crucial for optimizing operations and achieving profitability.
- (ix) **Adaptability** : Businesses must be adaptable to changes in the market, consumer preferences, and technological advancements. This includes being flexible in their operations, products, and services.

Q.10. What is the purpose of a business organization?

Ans. The purpose of a business organization is multifaceted, encompassing economic, social, and ethical considerations. Primarily, businesses aim to generate profit by providing goods or services, but they also play a crucial role in economic growth, employment, and innovation. Furthermore, businesses are increasingly expected to operate responsibly, considering their impact on stakeholders and the environment. Here's a more detailed breakdown:

Primary Purpose:

- (i) **Profit Generation**: Businesses exist to create value for their owners or shareholders by generating revenue through the sale of goods or services.
 - (ii) **Economic Contribution**: They contribute to the overall economy by producing goods and services, creating jobs, and fostering innovation and technological advancements.
 - (iii) **Meeting Customer Needs**: Businesses aim to satisfy customer needs and desires by providing products and services that are in demand.
- Secondary Purposes and Responsibilities:
- (iv) **Social Responsibility**: Businesses are expected to operate ethically and responsibly, considering their impact on society and the environment. This includes corporate social responsibility (CSR) initiatives like supporting education, healthcare, and environmental sustainability.
 - (v) **Stakeholder Satisfaction**: Businesses need to consider the interests of various stakeholders, including employees, customers, suppliers, and the community.
 - (vi) **Long-Term Sustainability**: Businesses strive for long-term viability by adapting to changing market conditions, embracing innovation, and managing resources effectively.
 - (vii) **Legal and Ethical Compliance**: Businesses must operate within the boundaries of the law and adhere to ethical principles in their operations.

- (viii) **Organizational Culture**: Building a positive and productive work environment is essential for attracting and retaining talent, fostering innovation, and achieving business objectives.
- (ix) **Growth and Expansion**: Businesses aim to grow and expand their operations, which can lead to increased market share, profitability, and opportunities for employees.

In essence, a successful business organization needs to balance its primary goal of profit generation with its broader responsibilities to society and the environment.

Q.11. What are the business functions and social obligations for a business organization?

Ans. Business functions and social obligations are intertwined: businesses have a responsibility to operate in a way that benefits society, not just their own profits. This includes ethical conduct, environmental protection, and contributing to the well-being of communities. Meeting social obligations, also known as Corporate Social Responsibility (CSR), can improve a company's reputation, foster customer loyalty, and ensure legal compliance.

Business Functions:

- (1) **Production**: Businesses produce goods and services to meet societal needs and wants.
- (2) **Marketing and Sales**: They promote and distribute these products to consumers.
- (3) **Finance**: Businesses manage their finances to ensure profitability and sustainability.
- (4) **Human Resources**: They recruit, train, and manage employees.
- (5) **Research and Development**: They innovate and develop new products and processes.

Social Obligations (CSR):

- (a) **Economic Responsibility**: Businesses have a responsibility to be profitable, but this should be achieved through ethical and sustainable practices.
- (b) **Legal Responsibility**: Businesses must comply with all applicable laws and regulations.
- (c) **Ethical Responsibility**: Businesses should act with integrity and fairness in all their dealings.
- (d) **Discretionary Responsibility**: This involves voluntary actions taken by businesses to support social causes, such as charitable donations or community development projects.
- (e) **Environmental Responsibility**: Businesses should minimize their negative impact on the environment through sustainable practices, and pollution control.

(f) **Social Responsibility Towards Employees:** Providing a safe and healthy work environment, fair wages, and opportunities for growth.

(g) **Social Responsibility Towards Customers:** Providing quality products, fair pricing, and honest advertising.

(h) **Social Responsibility Towards Shareholders:** Ensuring transparency and ethical financial reporting.

(i) **Social Responsibility Towards the Community**
: Contributing to community development and addressing social issues.

Examples of Socially Responsible Business Practices:

- **Reducing carbon footprint:** Implementing energy-efficient practices and using renewable energy sources.
- **Fair trade practices:** Ensuring fair prices and working conditions for producers in developing countries.
- **Community engagement:** Supporting local schools, charities, and community projects.
- **Ethical sourcing:** Ensuring that raw materials are sourced responsibly and sustainably.
- **Philanthropy:** Donating to charitable causes and supporting social initiatives.

Importance of Social Responsibility:

- **Improved Reputation:** Socially responsible businesses often enjoy a better public image and stronger brand reputation.
- **Increased Customer Loyalty:** Consumers are increasingly likely to support businesses that demonstrate a commitment to social and environmental responsibility.
- **Enhanced Employee Morale:** Employees are more likely to be engaged and motivated when they work for a company that values social responsibility.
- **Long-Term Sustainability:** By addressing social and environmental challenges, businesses can contribute to a more sustainable future, which is essential for long-term success.

Q.12. What are the necessary steps to be followed for newness in a business organization?

Or

What are the necessary steps to be followed to introduce newness into a business?

Ans. To introduce newness into a business, focus on generating ideas, researching the market, developing a solid business plan, securing funding, and establishing a culture of innovation. Implementing these steps will help foster a dynamic and adaptable business environment ready for change.

Here's a more detailed breakdown:

1. Idea Generation and Opportunity Evaluation:

- Brainstorming:** Encourage creative thinking and idea generation within the team.
- Problem Solving:** Identify problems or unmet needs in the market that your business can address with innovative solutions.
- Market Research:** Thoroughly research the market to understand customer needs, competitor offerings, and potential opportunities.

2. Planning and Development:

- Business Plan:** Create a detailed business plan outlining your goals, strategies, and financial projections.
- Product/Service Development:** Develop and refine your product or service based on market research and customer feedback.
- Funding:** Secure the necessary funding to support your new initiatives and ventures.
- Legal Structure:** Choose the appropriate legal structure for your business (e.g., sole proprietorship, LLC, etc.).
- Permits and Licenses:** Obtain all necessary permits and licenses to operate legally.

3. Building a Foundation for Newness:

- Culture of Innovation:** Foster a work environment that encourages experimentation, learning, and embracing change.
- Open Innovation:** Explore collaborations with external partners, startups, and other organizations to access new ideas and technologies.
- Team Formation:** Build a team with diverse skills and perspectives to support your new initiatives.
- Financial Management:** Implement robust financial management practices to track expenses and ensure profitability.
- Marketing and Sales:** Develop effective marketing and sales strategies to reach your target audience.

4. Launching and Adapting:

- Launch:** Introduce your new product, service, or initiative to the market.
- Monitor and Evaluate:** Continuously monitor the performance of your new venture and make necessary adjustments based on feedback and data.
- Adapt and Grow:** Be prepared to adapt your plans and strategies as needed to stay competitive and meet evolving market demands.

Long and short Answer type Questions :

Q.1. Discuss the factors you would bear in mind while selecting a form of Business Organisation.

Or

What are the different forms of Business Organisation? What factors would you take into account while selecting a particular form of Business Organisation?

Or

What important points are to be considered in selecting a suitable form of Business Organisation.

Or

What factors are necessary for selecting a suitable form of Business Organisation?

Or

What considerations should a businessman keep in mind while selecting a form of Business Organisation?

Ans. According to the requirements and scope of the business, there are different types of business undertakings known as forms of business organisation. The main forms of business organisations may be the following :

(1) Sole-Proprietorship : A sole trading concern is one of the oldest and the simplest forms of business organisations. It consists only of one person. The business is solely owned, controlled and managed by an individual. He alone enjoys the entire profits or bears the risks and losses. His liability is unlimited. He represents all the factors of production.

(2) Joint Hindu Family Business : Joint Hindu family business is that form of old business organisation in India, in which all the members of a Hindu undivided family work under the control of the head of the family, called 'Karta'. The rights, duties and liabilities of the 'Karta' and the members of joint Hindu family business are governed by the Hindu Law. A person becomes member by virtue of his birth in joint Hindu family.

(3) Partnership : Partnership is that form of business organisation in which two or more person agree to carry on a legal business with the object to share the profits earned mutually. In such a form of organisation, the entrepreneurs pool their capital, skill, ability and business experience. In a partnership firm for banking business, maximum number of partners can be 10 and in case of other business 20.

(4) Joint Stock Company : Large scale business is conducted in the form of only a joint stock company, the establishment of which is done under the Companies Act, 1956. It has continuous existence and it is an artificial person created by law. It conducts its business under a common seal.

(5) Co-operative Societies : It is a voluntary association of individuals organised to look after their common interest through collective funds and mutual co-operation. The aim of such a society is to practice the virtue of 'all for each and each for all'.

(6) Combinations : Combination denotes some sort of unification or association of several business units, similar or dissimilar, into one organisation to serve common purpose i.e., to eliminate unhealthy competition, to reduce the cost of production, distributing and marketing through common policies etc.

(7) Government Ownership : State enterprise is an important form of business organisation which is controlled and operated by the Government.

Factors to be kept in mind while selecting a particular form of Business organisation :

Prof. L.H.Haney has suggested the following points to be considered while selecting a particular form of business organisation :

(1) Easy Formation : The formation of an organisation should be easy and simple involving minimum legal formalities, establishment expenses and delay. For small activities the sole trader ship is the easiest form to start. Company form of business organisation requires many a formalities to be complied, as such it is suitable for large scale operations.

(2) Amount of Capital : The requirement of capital will vary accordingly as the business proposed to be carried is on a large scale or a small scale. When the business to be carried is on a small scale, the finance required will be small, and can be raised by an individual, hence a sole-trading form of organisation is convenient and suitable. But when the business proposed is on a large scale, partnership or joint stock company will be suitable.

(3) Limit of Risk and Liability : The liability of a sole-trader and that of partners of a firm is unlimited. Hence these organisations can not undertake greater risks. Consequently, there is a ceiling to the growth of business undertaken by them. The liability of members of a company or a co-operative society is limited. Hence, they can undertake large business.

(4) Flexibility in Operation : There should be flexibility in the operation of a business. In businesses where prompt decisions and quick actions are required in order to exploit business opportunities, flexibility of operations and policies is an important consideration. A great deal of flexibility in operation is possible in a sole-trade or partnership business, because prompt decision and quick action are possible in these organisations.

(5) Management, Ownership and Control : Ownership, control and management are integrated in the case of sole-trading organisation and partnership, such integration is advisable when the business is on a small scale. But as the scale grows, the

integration can not survive and there is a case for professional management independent of ownership.

- (6) **Maintenance of Secrecy** : Secrecy, especially in the case of small business concerns, is of supreme importance. For that purpose sole-proprietorship is suitable. In partnership secrecy may be leaked due to multiple ownership, but financial secrecy is maintained. Secrecy can not be maintained in the case of a company or a co-operative society partly because decisions are taken in meetings and partly because annual accounts are to be published.

- (7) **Minimum Government Interference** : A sole-trading concern and a partnership are free from Government regulation and control. But there is an excessive statutory control in the case of a company and a co-operative society.

- (8) **Minimum Tax-Liability** : The basis of taxation is different in case of each of the forms of organisation. Some of the business taxes affect all forms of enterprise alike e.g., excise duties, sales tax, custom duties etc. But individual income tax has an important bearing upon the choice of the form of business organisation.

- (9) **Continuity or Stability** : Continuity of business and stability are essential for the fulfilment of the business plans and objectives. From this point of view, the life-span of an individual proprietorship and partnership firm is limited, whereas a company form of organisation ensures a perpetual succession.

Q.3 What do you understand by Sole Proprietor? Explain the characteristics, merits and demerits of sole-proprietorship, and also state the its future in India.

Or
What are the characteristics of Sole-Trader form of Business Organisation? Discuss its merits and demerits.

Or
'The one man control is the best in the world if that man is big enough to manage everything.' Comment.

Or
What is Sole-Proprietorship? Give the main characteristics of it.

Or
Discuss the merits and demerits of Sole-Trading Concern. Mention the future of Sole-Trade in India.

Or
'Is one man control the best in the world?' Discuss. Give the merits and demerits of a Sole Trader.

Or
What is the future of sole trading in India? Explain.

Ans. Meaning and Definition of Sole-proprietorship : Sole-proprietorship is that form of organisation which is owned and controlled by a single person. The sole-trader supplies the entire capital, to finance the starting and running of the business. He takes all the profits and alone runs the risk of failure. In the words of C.W. Genslenberg, 'he owns all and risks all.'

Characteristics of Sole-Proprietorship

- (1) **Sole Ownership** : The ownership of the entire business is vested in one person.
- (2) **Sole Ownership of Capital** : The sole proprietor himself arranges the entire capital for the promotion and subsequent routine transactions of the business.
- (3) **Unlimited Liability** : The liability of the sole proprietor is unlimited. This means that not only his business property, but also the personal property is liable to pay his business debts.
- (4) **Individual Management and Control** : The management, supervision and control are exercised by the proprietor himself. Even where he employs other persons to assist in his task, the final decision is always his own.
- (5) **No Legal Formalities** : There are no legal formalities for the formation of a sole trading concern. He may engage in any business he chooses subject to only such licensing or regulatory laws which may be in force.
- (6) **Limited area of Operation** : The business can be done within limited area because of the limited resources and limited managerial ability of the sole-trader.
- (7) **No Separate Existence** : The sole-trading concern has no legal existence independent of the owner.
- (8) **Easy to Start and Dissolve** : The sole-trader at his own accord can start the business and if required dissolve the same at any time.
- (9) **Sharing of Profits** : The surplus earnings of his business entirely belong to the sole-trader. Losses too are to be borne by him single-handed.

Merits of Sole-Trading Concern

- (1) **Easy Formation** : It can be set up very easily and quickly. For it does not involve any legal formality or other complicated procedure. Men of small means can start independent business of their own and earn a living.
- (2) **Quick and Free Decision** : A sole trader being the 'supreme judge' in all matters pertaining to his business can take quick decision so necessary for business success.

- (3) **Secrecy** : The sole trader can keep his business secrets to himself. They cannot be disclosed to his competitors or anybody else except by himself.
- (4) **Motivation** : This form ensures a direct relationship between efforts and reward. This acts as the greatest motivating factor. A sole-trader is motivated to work very hard as all fruits of his hard work accrue to him.
- (5) **Personal Contact** : The personal element is highly dominant in this form. The trader can establish personal contacts with customers and employees. Close contacts enable him to know their tastes, habits, attitudes, grievances etc. He can thus adopt ways and means to satisfy his customers and employees.
- (6) **Economy in Management** : Because nearly every aspect of the business is directly supervised by the sole trader himself little expenditure is incurred in managing the enterprise.
- (7) **Easy to secure Loans** : The liability of a sole-trader is unlimited. It creates confidence in creditors so that the sole trader has little difficulty in securing loans and credit facilities.
- (8) **Self-employment** : A sole-trading concern serve as the basis of an independent livelihood for many persons who possess business ability and professional drive.

Demerits of Sole-Trading Concern

- (1) **Limited Finances** : The resources of a single individual (however rich he may be) are limited. Thus, an individual proprietor may not find adequate funds to expand his business.
- (2) **Limited Managerial Ability** : The ability of a single individual is also limited. He cannot look after every aspect of a business competently. The sole proprietor cannot be the master of all the functions of a business. If he is good at making purchases, he is weak in accounts. There are few people who possess all-round ability.
- (3) **Unlimited Liability** : The liability of a sole-trader is unlimited. His personal property is always in danger of being attached in case of dissolution of business. This danger prevents him from taking greater risks in business. This acts as a brake on business expansion.
- (4) **Uncertain Life** : The life of sole proprietorship business is quite uncertain. Since, it depends entirely on one individual, his insolvency, his death or disability means the end of his business.
- (5) **Hasty Decisions** : As the sole-trader has no one to consult before taking business decisions, his decisions may be in hasty or they may go wrong. If his hasty decisions go wrong, he has to suffer heavy losses.

- (6) **Weak bargaining Position** : Both as a buyer and as a seller, individual proprietorship is ineffective in exerting any controlling influence over the market, since his operations are highly limited in scale and scope. So, he may become an easy victim to any slight change in the trend of the market or to sudden rise of competitors.

Is one-man control the best in the world?

According to **William R. Bassel**, 'One man control is the best in the world if that one man is big enough to manage everything.' But a sole proprietorship business is the most suitable only under the following conditions :

- (1) Where the size of business is limited and its operations are simple.
- (2) Where the capital required is small and is easily manageable.
- (3) Where personal care has to be taken to render services to customers.
- (4) Where the market is local.
- (5) Where the risk involved is moderate, and
- (6) Where the business involves speculative transactions and requires quick decisions.

In conclusion, one man control is the best in the world provided that man is able to manage all activities efficiently and effectively, but, in practice, the sole proprietor has to face many difficulties which are obstruction in the smooth running of the business.

Future of Sole Trade in India : According to **Prof. Haney**, in case of enterprises requiring modest capital, limited managerial ability, but greater personal attention to customers, sole trading is the ideal type of organisation, viz., retail shops, tailoring firms, medical practice, lawyers, barbers etc. Similarly, in the case of enterprises where fashions often change or where demand and supply are influenced by seasonal trends, sole trading form of organisation is most appropriate.

According to **Charles Tippetts**, in the field of production where labour is an important factor of production than capital, sole trading will continue to exist. Sole trading should continue to exist from the social stand point also. This form is suitable for persons with limited financial resources who want to make a livelihood for themselves and their families and augment their resources in the process.

In India, most of the population lives in villages and depend on agriculture. There are too many economic problems e.g., poverty, unemployment, indebtedness etc. Small-scale and cottage industries can solve these problems to a great extent. Sole-trading plays an important role in the establishment of small-scale and cottage industries where less capital and less managerial ability is required.

Sole-trading has a unique place in our country which is a land of too little capital and too many men.

Q.3. Mention the main characteristics of Partnership. Discuss the merits and demerits of it.

Or

Define 'Partnership' as a business organisation and mention its essentials.

Or

What are the chief characteristics or salient features of Partnership?

Or

Enumerate briefly the main merits (advantages) and demerits (disadvantages) of the Partnership form of business organisation.

Or

Evaluate Partnership as a form of business organisation.

Or

What are the requisites of an Ideal Partnership.

Or

Define Partnership. What are the essential requisites of an ideal Partnership? Explain in brief the merits and demerits of Partnership form of business organisation.

Or

What is Partnership? Mention its main features.

Or

Define Partnership and discuss the merits and demerits of it.

Ans. Evolution or need of Partnership : The shortcomings of sole trading concern such as limited capital, limited managerial and organising ability, lack of scope for division of labour and concentration of risk in one person have given rise to partnership organisation. Partnership form of organisation was evolved to remove these limitations and make possible the expansion of the business.

Definitions : According to Prof. Haney, 'Partnership is the relation existing between persons competent to make contracts, who agree to carry on a lawful business in common with a view to private gain.'

According to **Section 4 of the Indian Partnership Act, 1932.** Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

Essential requisites of an Ideal Partnership

(1) **Selection of Suitable Business :** While selecting the Partnership business, the considerable points are : (i) Suitability of business, (ii) Efficiency, ability and potentiality of partners, (iii) Nature and scope of business, and (iv) Market of the business.

These points require special attention to be paid.

(2) **Limited number of Partners :** The number of partners should be small. Five or six seems to be the maximum otherwise the

partnership will become unwieldy and decisions and actions will be delayed.

(3) **Common Purpose :** All partners must act with zealous co-operation. One should make best contribution to the success of the business according to one's own capital, talent, influence, personality, time etc.

(4) **Mutual Understanding :** Only such people as know one another thoroughly over a long period should become partners. Honesty of purpose and fairness in dealings are the fundamental principles of an ideal partnership. Partnership is an association of mutual benefit and not of conflicting interests. A wrong selection of partners is sure to have its due consequences.

(5) **Sufficient Capital :** To run the business, adequate capital is needed which can be raised from partners or as long-term loans. Over capitalisation and under capitalisation, both are harmful to the business.

(6) **Written Agreement :** To avoid any future disputes, the partnership agreement should be written on a stamped paper duly signed and registered by all partners.

(7) **Registration of Firm :** To enforce legal remedies against outsiders, the firm must be got registered as soon as it is formed.

(8) **Long Duration :** The term of partnership should be sufficiently long. Short-term partnership should not be taken into consideration, because a business takes long period to establish and consolidate.

The spirit of sacrifice, oneness and fairness amongst the partners are the virtues of an ideal partnership.

Merits or Advantages of Partnership

(A) Financial Advantages

(1) **Larger Resources :** A partnership is an association of several persons. So, compared with a sole-trading concern, it has higher capacity for raising funds through capital and loans from partners.

(2) **Higher Credit Worthiness :** In partnership, the liability of each partner is unlimited. On account of unlimited, joint and several liability it is easier to get loans from banks and other financial institutions.

(3) **Economy :** Partnership enjoys larger resources and as such the scale of operation can be enlarged to reap the benefits of important economies.

(B) Managerial Advantages:

(1) **Easy Formation :** Partnership can be formed without much expense and legal formalities. Even registration is not compulsory. An oral or written agreement is sufficient to start a partnership.

- (2) **Registration not Compulsory** : In Partnership Act, there is provision of registration of firms, but it is not compulsory. On being a registered firm certain benefits can be derived, hence the firm should get itself registered.
- (3) **Improved business Efficiency** : In a partnership firm the resources, skills, experience and business connections are pooled together. Therefore, it is possible to divide work amongst partners according to their capabilities and aptitudes.
- (4) **Balanced Decisions** : Decisions are usually taken through consultations among partners, hence they are usually cautious, matured and balanced.
- (5) **Secrecy** : Business secrecy can be maintained because the annual accounts or periodical reports are not required to be published.
- (6) **Personal Touch** : Like a sole trading organisation, a partnership also has the benefit of personal touch. Partners deal directly with their customers and employees.

(C) Commercial Advantages:

- (1) **Best organisation for business having Greater Risk** : It is possible to undertake bigger ventures because the risk involved is divided among the partners.
- (2) **Flexibility** : As partnership is free from legal restrictions on its activities, adjustments to changing business environment can be made promptly through appropriate changes in the Partnership-deed.
- (3) **Easy Dissolution** : It is easy to dissolve a partnership. A mere notice of 14 days by one of the partners is sufficient to wind up the business of a partnership.

(D) Social and other Advantages:

- (1) **Greater Incentive** : Partners are owners. Hence, each partner feels himself helpful in increasing profits.
- (2) **Feeling of mutual Co-operation** : In partnership, all the partners work together and take sound decisions unanimously. This inculcates among them the feeling of mutual co-operation.
- (3) **Protection to minority Interests** : As all the partners must agree on the important matters, minority interest is adequately protected in a partnership.
- (4) **Protection for the Minors** : Minors can be taken up in the firm with limited liability and they share the profits only. They may opt to remain in the firm after becoming major.

Demerits or Disadvantages of Partnership

- (1) **Limited Resources** : The resources of the firm are limited because limited number of persons that can join the firm. Modern

large scale business like a Joint Stock Company needs large amount of capital.

- (2) **Non-transferability of Interest** : A partner can not transfer his partnership interest to any outsider without the unanimous consent of all other partners.
- (3) **Uncertain Existence** : Partnership suffers from the uncertainty of existence. It generally comes to an end on the death, lunacy or insolvency of a partner.
- (4) **Risks and implied Authority** : Each partner binds other partners by his acts done on behalf of the firm. Thus, the other partners may have to pay for the follies and dishonesty of a fellow partner.
- (5) **Lack of Public Confidence** : A firm is not required to publish its accounts. There is no legal restriction on it. Therefore, it does not enjoy the public confidence and public patronage.
- (6) **Lack of Incentive** : Sharing of profits acts as disincentive. A partner who puts in more efforts is not amply rewarded as the fruits of his labour are shared by others.
- (7) **Unlimited Liability** : The liability of partners is unlimited. Therefore, partners are not willing to undertake risky and long-term activities.

Q.4. Define Co-operative Society as a form of Business organisation and give its chief characteristics.

Or

What do you understand by 'Co-operative Organisation'? Discuss the special features of Co-operative form of Organisation.

Or

What is a Co-operative Society? Give its main features.

Or

Define a Co-operative Society and mention its characteristics.

Ans. Meaning of Co-operative Organisation : Co-operative form of organisation is a democratic set up run by its members for serving the interests of themselves. It is self-help through mutual help. The philosophy behind Co-operative movement is 'Each for all and all for each.' Thus in a Co-operative organisation, the motive of production and distribution is service rather than profit.

Definitions : Some important definitions of a Co-operative organisation are as follows :

- (1) **According to H. Calvert**, 'Co-operation is a form of organisation, wherein persons voluntarily associate together as human beings on a basis of equality for the promotion of the economic interest of themselves.'

(2) **According to Prof. Seligman**, 'Co-operation in its technical sense means abandonment of competition in distribution and production and elimination of middlemen of all kinds.'

(3) **According to International Labour Organisation**, 'Co-operative organisation is an association of persons usually of limited means, who have voluntarily joined together to achieve a common economic end through the formation of a democratically controlled business organisation making equitable contributions to the capital requirement and accepting a fair share of risks and benefits of the undertaking.'

Characteristic Features of Co-operative form of Organisation:

(1) **Voluntary Association** : In Co-operation the membership is voluntary and opened to all persons having a common interest. There is no use of force or compulsion in it. Any member at his free will, can withdraw from the society after giving a notice to that effect.

(2) **Democratic Set-up** : This is basically a democratic organisation, in which all decisions are taken on democratic lines and principles. No decision can be forced on any member of a co-operative organisation.

(3) **Equal Voting Rights** : The Principle of one man one vote, applies in the co-operatives irrespective of capital investment or service rendered by any member. Hence, all its members have equal voice in the management of its affairs.

(4) **Service Motive** : A Co-operative society is organised to render service to its members and not to make profit.

(5) **Spirit of Self Help** : In this form of organisation all the members rely on self-help. Each member feels elevated when he works for himself and accomplishes the task allotted to him without any help from any outside agency.

(6) **Common Welfare** : In a Co-operative organisation no importance is given to self. The members work with their combined efforts for the common benefit of all the members.

(7) **Satisfaction of Economic Needs** : A Co-operative organisation is set up with the objective to meet out some economic needs of its members. With the elimination of middlemen the members get the goods at cheaper rates.

(8) **Limited Return on Capital** : A Co-operative society is an association of persons and not of capital. A member contributing capital gets a very moderate rate of interest out of net surplus of the Co-operative society.

(9) **Political and Religious Neutrality** : Co-operative Societies are set up on the basis of equality for the promotion of common

economic and social interest of its members so anyone belonging to any political party or religion can be a member.

Q.5. What do you mean by co-operative organisation? Discuss its important features.

Or

Mention the different kinds of co-operative societies. Describe briefly the special features of consumer's co-operative societies.

Or

Though co-operation is necessary in every walk of life, it is extremely useful in the field of business.

Ans. **Definition of co-operative societies** : In the words of Seligman, "Co-operation in its technical sense means abandonment of competition in distribution and production and elimination of middleman of all kind".

In the words of Sir Horace Plankette, "Co-operation is self help made effective by organisation".

According to **International Labour Organisation**, "Co-operative is an association of persons usually of limited means, who have voluntarily joined together to achieve a common economic end through the formation of a democratically controlled business organisation".

As such co-operative societies are voluntary association of persons having common need joining together for mutual benefit.

Characteristics/Features of Co-operative Societies : The co-operative societies have the following important features :

(1) **A registered society** : All co-operative societies must be registered with the Registrar of co-operative societies of their state. A co-operative society without registration has no legal existence.

(2) **Membership** : A major person, who has attained the age of 18 years can become the member of the co-operative society.

(3) **Capital** : The capital of the co-operative society is distributed into small parts, known as shares. A member cannot subscribe for more than 10% of the total capital. No member can subscribe for share capital exceeding Rs. 1000/-.

(4) **Transfer of shares** : Shares of co-operative societies are not transferable. These shares cannot be purchased and sold in the open market.

(5) **Reserve Fund** : 25% of the profit of the co-operative society is retained as Reserve Fund.

(6) **Mutual help** : The basic idea behind the formation of co-operative society is mutual assistance of its members.

(7) **Government facilities** : The government has exempted co-operative societies from making payment of registration fee,

stamp duty, income tax etc. The agreement keeps control on their activities.

- (8) **Equality of vote** : Every shareholder has one vote irrespective of the number of shares held by him. The fundamental principle of co-operative organisation is 'one shareholder, one vote'.

- (9) **Voluntary organisation** : Co-operative societies are voluntary organisation. No one is compelled to become its member. People opt for its membership at their own will.

- (10) **Service Motive** : Co-operative societies are formed with service motive. Earning profit is their subsidiary objective. The society, aims to save people from the exploitations.

Types/Kinds of Co-operative Societies : Co-operative society on the basis of their objective are classified as under :

- (1) **Consumer's Co-operative Societies** : The first consumer's co-operative society was established in Germany by 28 weavers with a capital of 28 pounds. This is an organisation of consumers. It is formed by consumers in order to protect their own interest. Its aim is to eliminate intermediaries like whole seller and retailers from the distribution channel. Other persons, who are not the members of the society can also purchase goods from them. In case of short supply of a particular commodity, members are accorded priority. Sometimes special discount is allowed to members.

The consumer co-operative societies deal in commodities of daily use. Super Bazaar and its branches in Delhi are the example of consumer co-operative.

Features/Characteristics of Consumer Co-operatives societies: The special features of consumer co-operative societies are as under :

- (1) **At will** : Membership of consumer's co-operatives is voluntary. It means that membership is not forced upon to unwilling persons. It is granted at will.
- (2) **Equality** : Every member has got one vote to cast, irrespective of the number of shares held by him. It proves that members have equal rights.
- (3) **Economic objectives** : These consumer co-operative stores have economic objectives i.e. earning profit with service motive. They try to supply better quality of goods at reasonable price.
- (4) **Capital** : The capital of these stores is contributed by its members.
- (5) **Management of operations** : These co-operative stores are managed by the elected office bearers of the society.
- (6) **Dividend** : A fixed percentage of the profit is retained as general reserve. The remaining profit is distributed among members

generally in the form of gifts. Dividend is paid on the basis of per member instead per share.

- (7) **Democratic system** : The concept of consumers co-operatives is based upon the principles of democracy.

Advantages of Consumer Co-operative Societies : Consumer co-operative societies enjoy the following advantages :

- (1) **Availability of cheaper and better quality of goods** : The co-operative societies purchase standard quality of goods at wholesale price and sell it at reasonable price to its members.
- (2) **Less managerial expense** : The co-operative society is managed by the elected office bearers, who work honorary, so the cost of managing the society is lesser than any other form of business.

- (3) **No bad debts** : Co-operative societies sell their goods for cash. As credit sales are not made or credit sales are made to approved customers only there is no possibility of bad debts.

- (4) **Advantages of location** : The consumer co-operative societies are located amidst consumers in the locality. Consequently they make excellent sales and enjoy the benefits of location.

- (5) **Dividend** : In addition to purchasing standard quality of goods at reasonable rates dividend is also paid, generally in the form of gift.

Disadvantages of Consumer Co-operative Societies :

Consumer co-operatives societies suffer from the following disadvantages :

- (1) **No co-operative spirit** : Theoretically, there is co-operation among members, but practically co-operative spirit is missing. Office bearers have their own selfish motives. In most of the cases office bearers exploit the resources in their own benefits.
- (2) **Inefficient management** : The consumer co-operative society is managed by the office bearers, who are not experienced enough to manage the co-operative business. The inexperience and incompetency leads to the unpleasant closure of the stores.
- (3) **Ignorance of members** : Members of the co-operative stores are ignorant about its constitution and working, so they are not able to avail of the opportunity any concessions provided by the stores and the government.
- (4) **Exploitation of members** : There are some wicked and cunning members and the majority of members are innocent. Consequently the innocent members are exploited.
- (2) **Producer's Co-operative Societies** : It is an organisation of workers formed to produce/manufacture commodities. If the worker produces goods himself alone, he will have to arrange all the factors of production himself, which is not an easy task. If workers form producers co-operative societies, they will be benefited in two ways. They will work

and get salaries and on other hand they will get dividend also as the member of society. These societies are classified as under :

- (a) Raw material producing co-operative societies
- (b) Producer's co-operative societies.

(3) **Credit Co-operatives** : These co-operatives are formed to improve the economic conditions of its members. Their main objective is to save the poor people from the clutches of the indigenous bankers i.e. Seths, Sahukars and Mahajans. These credit co-operative societies grant short-term loans to its members at cheaper rate of interest. The society issues shares which are subscribed by its members. The government also grants loans to these societies at concessional rates. Members can also make deposit with the societies. Financial assistance to weaker sections of the people is the main objective of these credit co-operatives.

(4) **Miscellaneous Co-operatives** : There may be different kinds of societies based upon regions and the requirements of the members. Certain important co-operatives are as under :

- (a) House Building Co-operative Societies
- (b) Marketing Co-operative Societies
- (c) Co-operative Farming Societies
- (d) Multipurpose Co-operative Societies
- (e) Other Co-operative Societies
- (f) Central Co-operative Societies

Co-operative societies enjoy the following advantages :

(1) **Easy formation** : Procedure for the formation of co-operative societies is very simple, less expensive and also less time consuming.

(2) **Limited liability** : The liability of member is limited to the amount of share capital introduced by the member. Every member knows his risk involved in the co-operative society.

(3) **Voluntary membership** : A person having common interest may join and leave the society at his own will. Membership is open irrespective of religion caste and sex.

(4) **Democratic management** : Every member has one vote irrespective of the amount of shares subscribed by him. The principle of 'one man one vote' is followed. Office bearers are the elected representative of the members.

(5) **Permanent life** : A co-operative society is separate legal entity distinct from its members. The death, lunacy, disability and insolvency of its members does not affect its existence. As such it is a stable organisation enjoying continuity of business.

(6) **Economy in management** : The society is managed by the members themselves, who provide honorary services to the society. As members belong to the same locality and have common interest, the management is efficient also.

(7) **Social utility** : Mutual co-operation, distributive justice, decentralisation of power, open membership and democratic set-up makes co-operative societies social utility.

(8) **State patronage** : The co-operative societies develop the spirit of brotherhood, mutual co-operation, honesty, self-dependence and self-respect. It helps weaker sections of the society in standing upon their own legs. It generates social consciousness. This is why, the govt. patronises them by extending different types of concessions and assistance.

Limitations / Demerits / Disadvantage of Co-operative Societies : Co-operative societies suffer from the following disadvantages:

(1) **Inefficient management** : Co-operative societies are managed by the elected representatives of the members. These persons are not competent enough to manage the society efficiently.

(2) **Limited capital** : Co-operative societies are generally established by the weaker section of the society for their mutual help. The resources of these people is meagre, so it has limited capital.

(3) **Mutual conflicts and clashes** : Members of co-operative societies generally have selfish motives, so they mutually clash each other. Consequently the work suffers and the society is the loser.

(4) **Absence of secrecy** : The society cannot maintain secrecy, because every member may have access to its accounts and its affairs are discussed openly in the meeting of its members.

(5) **Excessive government control** : Co-operative societies are not independent in their working. Their activities, records and accounts are inspected and audited by co-operative inspectors and auditors. As such due to excessive government control, the people understand societies as government institution.

UNIT-3

Long and short Answer type Questions :

Q.1. What do you mean by 'Corporate Personality'? Explain briefly.

Or

Define 'Company'? Write briefly about the Personality of a company.

Or

How would you define 'Company'? Discuss the Personality of a company.

Or

'The Company has personality of its own which is distinct from the personality of its shareholders.' Explain the statement

'A company is a legal entity quite distinct from its members.'
Discuss.

Ans. Meaning of Company : The word 'Company' has no strict or technical or legal meaning. A company in the normal sense means an association of persons united for a common purpose or object. Accordingly, the term is used to represent associations formed to carry on some business for profit or to promote art, science, culture, education or some charitable purpose. Such an association of persons may or may not be incorporated.

Every association of persons, however, may not be a company in the eyes of law. In legal terminology its use is restricted to imply an association of person, 'registered as a company' under the law of land. A vast majority of companies in India are corporations incorporated by registration under Companies Act, 1956.

Main Definitions of Company

According to Companies Act 1956 : According to Section 3(1)(iii), 'Company means a company formed and registered under this Act or any existing company. Existing company means a company formed and registered under any of the previous company laws specified in section 3(1)(iii)'.¹

The above definition does not clearly point out the concept of a company. Hence, a few definitions given by leading authorities are given as under :

1. **Kimball & Kimball** : 'A corporation is by nature an artificial person created or authorised by the legal statute for some specific purpose.'
2. **James Stephenson** : 'A company is an association of many persons created or authorised by the legal statute for some specific purpose.'
3. **S.M. Shah** : 'The word company ordinarily means an association of a number of individuals formed for some common purpose.'
4. **Justice James** : 'Any organisation of various persons for some general objective is known as a company.'
5. **Haney** : 'A company is a voluntary organisation, formed by persons for the purpose of profit whose capital is divisible into transferable shares or portions which the ownership of members is essential.'
6. **Lord Justice Lindley** : 'Company is an association of many persons who contribute money or money's worth to a common stock, and employ it for a common purpose. The common stock so contributed is devoted in money and is the capital of the

comparatively. The persons not contributing thereto nor who own or have possession of the property are not members. The proportion of capital which each member is entitled to his share.

Personality of a Company : Companies are treated as an artificial person in the eyes of law and has no physical existence. It is created by law and law alone can dissolve it. A company is a legal person separate from, and capable of surviving beyond the lives of, its members. A company has its independent corporate existence.

Though a company is an artificial person, it is clothed with many of the rights of a natural person. For example, it can enter into contracts, it can hold property, and it can sue and be sued in its own name. But unlike a natural person, it cannot sue and be sued in a natural person's name or be held and sentenced to imprisonment. As a person can hold many jobs and be its representative in the company, a person can hold many shares and be its representative in the share name. Its entry is always supported by its members. The company can be held liable for the acts of its members as well as the members can be held liable for the acts of the company or its representatives. The members of the company can enter into contracts with the company in the same manner as any other individual.

Further natural consequence of the incorporation and the transferability of shares, the company has perpetual succession. It means the life of the company is not measured by the life of any member, it is independent of the lives of its members. It continues to exist without regard to the death of members or transfer by them of their shares in the company. Even the death of all its members does not end the company.

In short, a company, being a separate legal entity, bears its own name and acts under a corporate name, it has a seal of its own, its assets are separate and distinct from those of its members. Its members are its owners but they can be its creditors simultaneously as it has a separate legal entity. A member cannot be held liable for the acts of the company even if he holds virtually the entire share capital. The members (shareholders) are not agents of the company and so they cannot bind it by its acts.

The fact that the company has an identity separate from its shareholders was highlighted in the case of *Salomon Vs Salomon & Co. Ltd.* In this case it was held that the existence of a company is quite independent and distinct from its members and that the assets of the company must be utilised in payment of the debentures first in priority to unsecured creditors.

Q.2. 'A Company is an artificial person created by law having a separate entity with a perpetual succession and a common seal'. Discuss this statement and explain the characteristics of a Company.

Or

Define a Company and meritioids main characteristics.

Or
 'A joint stock company is an artificial person, which is formed under the act, and having a separate legal entity. It has a perpetual succession and having a common seal'. Explain the statement.

Or
 'A Company is an artificial person created by law with a perpetual succession and a common seal.' Explain this statement and basic features of a Company.

Or
 'Company is a legal person, having its separate entity from the members.' Discuss.

Or
 'Company means an association of individuals formed for some common purpose.' Discuss.

Or
 'A Company is an association of persons united for a common object.' Comment upon the statement and explain the characteristics of a Company.

Or
 'A Company is a legal entity quite distinct from its members.' Discuss.

Ans. The law relating to companies in India is contained in the Companies Act, 1956, as amended upto date.

Objects & Purposes of Company Legislation

The Company is form of business organisation in which the funds of a large number of investors are managed by a few persons for the purpose of earning profits which are shared by all the investors. The main objects and purposes of statutes relating to companies are as follows :

- (1) **Encourage investments** in companies by providing certain facilities, e.g. limitation of liability, transferability of shares etc.
- (2) **Ensure due and proper administration** of the funds and assets of companies in the interest of the investing public.
- (3) **Prevent malpractices** by directors and managers.
- (4) **Arrange for investigation** into the affairs of companies and provide for effective audit in dealing with cases of dishonesty and fraud in the corporate sector.

Meaning of Company : A company, in Common parlance, means a group of persons associated together for the attainment of a common end social or economic. It has no strictly technical or legal meaning. It represents different kinds of association, both business and otherwise. A company is a voluntary association of persons formed for the purpose of some business for profit with capital divisible into transferable shares, limited liability, a distinctive name having a corporate body, a personality separate and distinct from its members and a common seal. Companies

may also be formed for the promotion of science, commerce, art, education or any other meaningful purpose under the Companies Act.

(Note : For Definitions of Company please refer answer to Q.1.1)

Essential Features or Chief Characteristics of a Company : The principal characteristics of an incorporated Company can be summarised as follows:

1. **Registration** : A Company comes into existence only after registration under the Companies Act. But a statutory Corporation formed and commences business as notified or stated in the Act and as passed in the Legislature. In case of partnership, registration is not compulsory.
2. **Voluntary Association** : Company is a voluntary association of persons. A person is free to enter or to go away from the membership of the company. It depends upon the discretion and sweet will of the person.
3. **Separate Legal entity** : A company is formed under law, it possesses a separate legal existence different from the existence of its members. In other words, it has independent Corporate existence. Any of its members can enter into contracts with it in the same manner as any other individual can and he cannot be held liable for the acts of the company even if he holds virtually the entire Share Capital.
4. **Transfer of Shares** : The shares in the company are always transferable. A shareholder may transfer his shares without the consent of other members. In a public limited company, the right of transfer of shares cannot be snatched away.
5. **Separate Property** : A Company, is distinct from its members, is capable of owning, enjoying and disposing of property in its own name. The company is the real person in which all the property is vested and by which it is controlled, managed and disposed off.
6. **Limitation of Action** : A company is authorised to carry on those activities which have been permitted by the object clause of the company. Thus any act done beyond the memorandum of association is ultravires to law and therefore void.
7. **A Company, not citizen** : A company is an artificial person and hence it cannot become a national citizen. It cannot be punished by imprisonment for its criminal offences.
8. **Company is a social body** : A company is formed with a view to earning profits, which are divisible among its members in the form of dividends. But to earn the profit, the company cannot do anything against the interests of the common man.
9. **Representative Management** : A company is an artificial person and cannot manage its affairs itself. The members are not

in a position to manage the affairs of the company personally. Thus the management of the company is done by directors.

10. Common Seal : A company cannot sign like the natural human beings, and the common seal of the company is of a great significance. Its seal forms an important item of the company's belongings.

11. Limited Liability : Shareholder's liability is limited upto the extent of the unpaid amount on the shares as held by them. If the shareholders by the shareholders are fully paid, they cannot be called upon to pay anything to the company.

In a company limited by guarantee, the liability of the members is limited to such amount as the members may undertake to contribute to the assets of the company, in the event of its being wound up.

12. Perpetual Succession : A Company has a permanent succession. A Company is created by law and can be dissolved by law. The death or insolvency of a member of the company does not affect the existence of the company in any way.

13. An Artificial Person : Company is an artificial legal person and not born like the common human beings but it comes into existence through law. Like a person, a company can enter into contract with any third party. It can possess and operate a banking account. It can sue a third party and can be sued by a third party.

From the above, it is clear that a Company is an artificial person, created by law having a separate legal entity and a perpetual succession with a common seal.

Q.3. Describe in short the process of Formation of Company?
Or

How company is formed? Write in brief.

Ans. The process of formation of a company can be divided and discussed under the following four stages :

- (1) Promotion
- (2) Incorporation or Registration
- (3) Capital Subscription
- (4) Commencement of Business

Of these stages only the first two are necessary for the formation of a private company, and of a public company (not having any share capital). A public company having share capital has to pass through all the four stages before it can commence business or exercise any borrowing powers.

[Sec. 149]

Q.4. Explain briefly the different steps involved in the Formation of a Public Company.
Or

Mention the various stages in the Formation of a joint stock company from promotion to the stage of commencing the business.

Or

Describe the different stages of the incorporation of a public company. Can a company start its business immediately after incorporation.

Or

How is a Company formed under the Companies Act, 1956. Enumerate the various documents to be filed with the Registrar.

Or

Enumerate the different steps to be taken by the promoters from the formation of a company to the Commencement of business.

Or

Mention the procedure of commencement of the business. What documents have to be filed to the Registrar?

Or

Describe the main steps needed to be complied with for floating a Public Company.

Or

Describe briefly the procedure for the Incorporation of a Company.

Or

Discuss the legal formalities that are required to be complied with under the Indian Companies Act regarding the formation of a public Limited Company.

Ans. Stages of Formation or Incorporation of a Company :

The Company is formed as an artificial person, and it has to set-up several legal formalities. The company is floated by efficient, competent and experienced persons. A company gets separate legal status after its incorporation. A company has to fulfill various legal formalities before its incorporation and commencement of business. The total procedure and stages of formation of a company can be divided into the following parts :-

(1) Promotion Stage : Promotion is the stage, in which preliminary preparations are made for the formation of the company. The following works are included in promotion :

- (i) To prepare the idea of formation of the company.
- (ii) If the existing company is to be purchased, the agreement with the sellers has to be made.
- (iii) Selection of persons to act as directors of the company and to take their consent.
- (iv) To decide the name, office and objects of the company and to decide about the capital.
- (v) Selection of bankers, auditors and legal advisor to the company.

- (vi) Preparation of Memorandum and Articles of Association.
 - (vii) Arranging for the registration of the company and to get certificate of incorporation.
 - (viii) Preliminary contracts with the vendors and the underwriters.
 - (ix) Preparation of Prospectus and arrangement for sending advertisement.
 - (x) Arrangement for the issue of capital and fulfil the legal formalities.
- (2) Preliminary Steps :** Under preliminary steps the following steps are included in it :
- (i) **Proposed Name :** Confirmation about the proposed name of the company has to be obtained from the Registrar of Companies.
 - (ii) **Sanction from Controller :** If the company proposes to raise capital by more than one crores, sanction, sanction of the central government must be obtained.
 - (iii) **Drafting Memorandum and Articles :** The Memorandum and the Articles of Association shall have to be drafted and printed.
 - (iv) **Licence :** If the industry has to be started, a licence has to be obtained under the Industrial (Development and Regulation) Act 1951.
- (3) Incorporation Stage :** The following documents have to be filed with the Registrar of Companies of the state in which the registered office of the company is situated :
- (A) Memorandum of Association :** It is the charter which defines the aims and objects of the company. It must be signed by at least 7 members. According to section 13 of company Act 1956, it must contain the following items :
- (i) **Name of the Company :** The name of the company must not be similar to those of existing companies and the word 'limited' must be added to the name of the company.
 - (ii) **State :** The name of the state has to be obtained, where the registered office of the company is established.
 - (iii) **Object :** The objects of the company must be mentioned in detail.
 - (iv) **Liability :** In case of limited liability of shares and guarantee, it should be mentioned that the liability of the shareholders is limited.
 - (v) **Capital :** The description of the authorised capital of the company must be made.
 - (vi) **Association Clause :** The description, names and addresses of all the persons, who have signed the Memorandum must be given.

- (B) Articles of Association :** Articles must compulsorily be filed by private company. In case of a public company, limited by shares, Table 'A' may be adopted as its Articles.
- (C) Registered Office :** The information about the registered office of the company has to be sent to the Registrar within 28 days of registration.
- (D) List of First Directors :** A list of those persons who have agreed to act as the first directors of the company, is also to be filed.
- (E) Written consent of Directors :** From the persons named in the Articles as the directors and the written undertaking to take up and pay for the qualification shares, is to be filed.
- (F) Statutory Declaration :** A statutory declaration is required by an advocate entitled to appear by a person who is named in the Articles as a director, that all the requirements of law relating to incorporation have been complied with.
- (4) Registration and paying the Fees :** All the necessary documents must be accompanied with the prescribed registration fees. Such fees have been specified in the schedule No. X to the Indian Companies Act.
- (5) Obtaining Certificate of Incorporation :** The Registrar will examine the documents filed and on being satisfied, he will register the Memorandum, Articles and the other documents and issue, under his official seal and signatures, a certificate known as 'Certificate of Incorporation'. Without obtaining this certificate the company legally is not authorised to start any work in the name of the company.
- Effect of Incorporation :** The certificate of incorporation shall be conclusive evidence that :
- (i) all the requirements of the Act have been complied with in respect of registration.
 - (ii) the company is duly registered.
 - (iii) that the company came into existence on the date mentioned in the Certificate.

However, where the object of a company is unlawful, it has been held that the Certificate of registration is not conclusive for this purpose.

(6) Certificate to Commence Business : A private company can commence business immediately after its incorporation. But a public company can do so after its incorporation. But a public company can do so after getting a certificate of commencement of business. The company has to comply with the following conditions :

- (i) That the shares to be paid for in cash, have been allotted for cash.
- (ii) That every director of the company has paid to the company on the shares subscribed for by him.
- (iii) That no money is repayable to applicant for shares due to the failure of the company to apply for the stock exchange.

(iv) That a statutory declaration has been filed with the Registrar, duly verified by a director stating therein that the aforesaid requirements have been complied with.

The Registrar would grant the certificate only when the following conditions have been fulfilled by the company :

- (i) That the shares comprising minimum subscription have been allotted.
- (ii) That every director has taken up and paid for his qualification shares.
- (iii) A declaration verified by a director or secretary that all legal formalities have been fulfilled.

Q.5. Define a 'Private Company'. What privileges and exemptions are granted to a Private Company?

What is meant by a Private Company? What are the privileges and exemptions enjoyed by it under the companies Act?

What are the main characteristics of a Private Company? Does a Private Company enjoy all the privileges of a Public Company?

Ans. Definition of a Private Company : According to Companies (Amendment) Act, 2000, 'A private company means a company which has a minimum paid up capital of one lakh rupees or such higher paid up capital as may be prescribed, and by its articles -

- (i) Restricts the right to transfer its shares,
- (ii) Limits the number of its members to fifty, and
- (iii) Prohibits any invitation to the public to subscribe for its shares or debentures.'

Characteristics of Private Company : The following are the basic characteristics of a private company :

1. **Restriction on Transfer of Shares :** The shares of a private company cannot be freely transferred.
2. **Restriction on Invitation to Public :** A private company cannot invite the public for subscribing to the share capital and debentures of the company.
3. **Restricting the Number to Fifty :** The number of members in a private company cannot be more than fifty.

Special privileges of Private Companies : The following are the legal privileges available to a private company.

1. The minimum number of members is confined to two only.
2. Business could be immediately commenced after incorporation.
3. It is not necessary to issue new share capital to the existing shareholders.

4. A private company could fill up in its own way, any vacancy of the directors suddenly falls vacant.
5. The maximum limit of 11% managerial remuneration does not apply to such private companies.
6. There is no restriction on the rights of the board of directors of a private company.
7. A private company could enhance the remuneration of its directors without any approval of the central government.
8. No person could become a director in more than ten companies.
9. If the directors have any interest, they could freely discuss and exercise their vote.
10. There is no restriction for the appointment of managing director.
11. A private company could invest its funds in the shares or bonds etc.
12. A private company is not required to maintain any list of its members.
13. A private company is not required to submit three copies of its profit and loss account.
14. The approval of the central government is not required for amending the provisions regarding the employment of managing director.
15. The age limit of 65 years does not apply to the directors of private companies.
16. The rules regarding the qualification shares do not apply to the directors of the private companies.
17. A private company could extend loans to its directors.
18. Two or more directors could be appointed by one and the same resolution.
19. It is not necessary for 2/3 of the directors to retire by rotation.
20. A Private Company can be registered with a paid-up capital of Rs. one lakh while a public company is required to have a minimum paid-up capital of Rs. Five lakhs.
21. The provisions of Sec. 372-A regarding inter-corporate investments do not apply to a private company.
22. A private company is not required to hold a statutory meeting or file a statutory report with the Registrar.
23. There is no restriction on the allotment of shares. It can allot its shares before the minimum subscription is subscribed or paid.

Q.6. What is a Company? Explain its any four characteristics.

Ans. A company is an incorporated voluntary association of persons united for a common purpose or object. It is an artificial person created by law, with a distinctive name and a common seal, a common capital comprising of transferable shares of fixed face value, carrying limited liability and having perpetual succession.

Characteristics of a Company : The principal characteristics of an incorporated Company can be summarised as follows :

- 1. Registration :** A Company comes into existence only after registration under the Companies Act. But a statutory Corporation. Formed and commences business as notified or stated in the Act and as passed in the Legislature. In case of partnership, registration is not compulsory.
- 2. Voluntary Association :** Company is a voluntary association of persons. A person is free to enter or to go away from the membership of the company. It depends upon the discretion and sweet will of the person.
- 3. Separate Legal entity :** A company is formed under law, it possesses a separate legal existence different from the existence of its members. In other words, it has independent Corporate existence. Any of its members can enter into contracts with it in the same manner as any other individual can and he cannot be held liable for the acts of the company even if he holds virtually the entire Share Capital.
- 4. Transfer of Shares :** The shares in the company are always transferable. A shareholder may transfer his shares without the consent of other members. In a public limited company, the right of transfer of shares cannot be snatched away.

Q.7. Distinguish between a 'Private Company' and a 'Public Company'.

Ans. The difference between a Private and Public company may be mentioned as under :

Basis of Difference	Private Company	Public Company
1. Size of Membership	A private company must have minimum two and maximum 50 as members.	A Public company must have minimum 7 members and no maximum number is prescribed.
2. Minimum paid up capital	A Company to be incorporated as a private company must have a minimum paid-up capital of Rs. One lakh.	It must have a minimum capital of Rs. 5 lakhs.
3. Number of Directors	At least two directors must be there.	Minimum three directors are necessary in it.
4. Public invitation	A Private company cannot invite the public for subscription of shares.	A Public company must release a public invitation for subscribing the shares.

5. Statutory Meeting	A Private company need not call any statutory meeting.	It is compulsory for a Public company to call a statutory meeting and send the statutory report.
6. Issue of Prospectus	A Private company need not to issue a prospectus.	A Public company is bound to issue a prospectus and to file a copy to the Registrar.
7. Assistance to Members	The members could be granted financial help for purchasing the shares.	There is no such provision for extending financial help to members for buying shares of the company.
8. Issue of Share Warrants	In case of a Private company share warrants cannot be issued.	In a Public company, share warrants may be issued for fully paid up shares.
9. Managerial Remuneration	There is no limit as to that payment of managerial remuneration.	The managerial remuneration in a Public company cannot exceed 11% of net profits.
10. Despatch of Documents	It is not necessary to send the list of directors and other documents to the Registrar.	In case of a Public company, all the documents are compulsorily sent to the Registrar.
11. Qualifying Shares	It is not compulsory for the directors to obtain the qualifying shares.	In Public company, the directors must obtain some qualifying shares as prescribed.
12. Special Privileges	There are certain privileges which are enjoyed by a private company.	The special privileges are not provided in a Public Company.
13. Sanctioning of Loans to Directors	The directors could be sanctioned loans without any approval.	Loans can be granted to directors, unless prior approval has been granted by the Government.
14. Retirement of Directors	Compulsory retirement of directors by rotation is not necessary.	At least 2/3rd directors are retired every year in a public company.

15. Transfer of Shares	Transfer of shares is restricted by its Articles of Association	The shares are fully transferable at the discretion of shareholders.
16. Obtaining Certificate	A private company may commence business after its incorporation.	A Public company has to obtain a certificate from the Registrar to commence the business.
17. Minimum Subscription	There is restriction on Private companies in the allotment of shares.	The allotment of shares could be possible, when the minimum subscription has been received.
18. Name of the Company	The name of a private company must end with the words 'Private limited.'	The name of a Public company must end with 'Limited' only.
19. Articles of Association	In a private company Articles of Association is not necessary.	In the absence of Article of Association, Table 'A' rules applies.

Q.8. What are Multi-national Companies(MNC's)? Explain their challenges in India.

Or

Give an introduction to Multi-national Corporations in India.

Ans. Introduction to MNCs : A Multinational Corporation (MNC) or Enterprise (MNE) is a corporation or an enterprise that manages production or delivers services in more than one country. It can also be referred to as an international corporation. The International Labour Organisation (ILO) has defined an MNC as a corporation that has its management headquarters in one country, known as the home country, and operates in several other countries, known as host countries.

The Dutch East India Company was the first multinational corporation in the world and the first company to issue stock. It was also arguably the world's first megacorporation, possessing quasi-governmental powers, including the ability to wage war, negotiate treaties, coin money, and establish colonies.

The first modern multinational corporation is generally thought to be the East India Company. Many corporations have offices, branches or manufacturing plants in different countries from where their original and main headquarters is located.

Some multinational corporations are very big, with budgets that exceed some nations' GDPs. Multinational corporations can have a powerful influence in local economies, and even the World's economy, and play an important role in international relations and globalisation.

Market Imperfections : It may seem strange that a corporation can decide to do business in a different country, where it does not know the laws, local customs or business practices. Why is it not more efficient to combine assets of value overseas with local factors of production at lower costs by renting or selling them to local investors?

One reason is that the use of the market for coordinating the behaviour of agents located in different countries is less efficient than coordinating them by a multinational enterprise as an institution. The additional costs caused by the entrance in foreign markets are of less interest for the local enterprise. According to Hymer, Kindleberger and Caves, the existence of MNCs is reasoned by structural market imperfections for final products. In Hymer's example, there are considered two firms as monopolists in their own market and isolated from competition by transportation costs and other tariff and non-tariff barriers. If these costs decrease, both are forced to competition, which will reduce their profits. The firms can maximize their joint income by a merger or acquisition, which will lower the competition in the shared market. Due to the transformation of two separated companies into one MNE the pecuniary externalities are going to be internalized. However, this does not mean that there is an improvement for the society.

This could also be the case if there are few substitutes or limited licenses in a foreign market. The consolidation is often established by acquisition, merger or the vertical integration of the potential licensee into overseas manufacturing. This makes it easy for the MNE to enforce price discrimination schemes in various countries. Therefore Hymer considered the emergence of multinational firms as "an (negative) instrument for restraining competition between firms of different nations".

Tax Competition : Multinational corporations have played an important role in globalization. Countries and sometimes sub-national regions must compete against one another for the establishment of MNC facilities, and the subsequent tax revenue, employment, and economic activity. To compete, countries and regional political districts sometimes offer incentives to MNCs such as tax breaks, pledges of governmental assistance or improved infrastructure, or lax environmental and labour standards enforcement. This process of becoming more attractive to foreign investment can be characterized as a real push towards greater autonomy for corporate bodies.

Market Withdrawal : Because of their size, multinationals can have a significant impact on government policy, primarily through the threat of market withdrawal. For example, in an effort to reduce health care costs, some countries have tried to force pharmaceutical companies to license their patented drugs to local competitors for a very low fee, thereby artificially lowering the price. When faced with that threat, multinational pharmaceutical firms have simply withdrawn from the market, which often

leads to limited availability of advanced drugs. In these cases, governments have been forced to back down from their efforts. Similar corporate and government confrontations have occurred when governments tried to force MNCs to make their intellectual property public in an effort to gain technology for local entrepreneurs. When companies are faced with the option of losing a core competitive technological advantage or withdrawing from a national market, they may choose the latter. This withdrawal often causes governments to change policy. Countries that have been the most successful in this type of confrontation with multinational corporations are large countries such as United States and Brazil, which have viable indigenous market competitors.

Lobbying : Multinational corporate lobbying is directed at a range of business concerns, from tariff structures to environmental regulations. There is no unified multinational perspective on any of these issues. Companies that have invested heavily in pollution control mechanisms may lobby for very tough environmental standards in an effort to force non-compliant competitors into a weaker position. Corporations lobby tariffs to restrict competition of foreign industries. For every tariff category that one multinational wants to have reduced, there is another multinational that wants the tariff raised. Even within the U.S. auto industry, the fraction of a company's imported components will vary, so some firms favor tighter import restrictions, while others favor looser ones. Says Ely Oliveira, Manager Director of the MCT/IR: This is very serious and is very hard and takes a lot of work for the owner.

Multinational corporations such as Wal-Mart and Mc Donalds benefit from government zoning laws, to create barriers to entry.

Many industries such as General electric and Boeing lobby the government to receive subsidies to preserve their monopoly.

Patents : Many multinational corporations hold patents to prevent competitors from arising. For example, Adidas holds patents on shoe designs; Siemens A.G. holds many patents on equipment and infrastructure and Microsoft benefits from software patents. The pharmaceutical companies lobby international agreements to enforce patent laws on others.

Transnational Corporations : A Transnational Corporation (TNC) differs from a traditional MNC in that it does not identify itself with one national home. While traditional MNCs are national companies with foreign subsidiaries, TNCs spread out their operations in many countries sustaining high levels of local responsiveness. An example of a TNC is Nestlé who employ senior executives from many countries and try to make decisions from a global perspective rather than from one centralised headquarters. However, the terms TNC and MNC are often used interchangeably.

Micro-multinationals : Enabled by Internet based communication tools, a new breed of multinational companies is growing in numbers. These multinationals start operating in different countries from the very early stages. These companies are being called micro-multinationals. What differentiates micro-multinationals from the large MNCs is the fact that they are small businesses. Some of these micro-multinationals, particularly software development companies, have been hiring employees in multiple countries from the beginning of the Internet era. But more and more micro-multinationals are actively starting to market their products and services in various countries. Internet tools like Google, Yahoo, MSN, ebay and Amazon make it easier for the micro-multinationals to reach potential customers in other countries.

Service sector micro-multinationals, like Facebook, Alibaba etc. started as dispersed virtual businesses with employees, clients and resources located in various countries. Their rapid growth is a direct result of being able to use the internet, cheaper telephony and lower traveling costs to create unique business opportunities.

Low cost SaaS (Software As A Service) suites make it easier for these companies to operate without a physical office.

Hal Varian, Chief Economist at Google and a professor of information economics at U.C. Berkeley, said in April 2010, "Immigration today, thanks to the Web, means something very different than it used to mean. There's no longer a brain drain but brain circulation. People now doing startups understand what opportunities are available to them around the world and work to harness it from a distance rather than move people from one place to another."

UNIT - 4

Long and short Answer type Questions :

Q.1. What are the various means of communication in Indian Knowledge System (IKS)?

Ans. The Indian Knowledge System (IKS) employs a rich tapestry of communication methods, encompassing both oral and written traditions, symbolic language, and performance arts. These methods have evolved over centuries, ensuring the preservation and dissemination of knowledge across generations.

Here's a breakdown of the key means of communication within IKS:

1. Oral Tradition:

(i) **Vedic Period:** The earliest form of communication was primarily oral, with the transmission of knowledge through recitation and memorization by sages and scholars.

- (ii) **Guru-Shishya Parampara:** The guru-disciple tradition played a crucial role in knowledge transfer, with close interaction and oral instruction being central.
- (iii) **Shruti and Smriti:** In the Vedic period, knowledge was categorized into Shruti (revealed knowledge) and Smriti (remembered knowledge), both transmitted orally.
- (iv) **Folk Traditions:** Storytelling, songs, and dance were integral to communicating knowledge within various communities.
- 2. Written Tradition:**
- (i) **Scripts and Manuscripts:** The development of scripts like Brahmi and Devnagari allowed for the documentation of knowledge on materials like palm leaves and birch bark.
- (ii) **Classical Texts:** Texts like the Vedas, Upanishads, and the Ramayana were meticulously preserved in written form.
- (iii) **Documentation of Traditional Knowledge:** Initiatives to document traditional knowledge (TK) are crucial for its preservation and wider dissemination.
- 3. Symbolic Communication:**
- (i) **Iconography and Architecture:** Temple architecture and intricate iconography conveyed complex philosophical and cosmological ideas through visual symbols.
- (ii) **Metaphors and Allegories:** Literary works and artistic expressions employed metaphors, allegories, and parables to communicate deeper meanings.
- (iii) **Tantra and Mantra:** Symbolic language and sacred sounds played a significant role in spiritual and philosophical communication.
- 4. Performance Arts:**
- (i) **Dance, Music, and Drama:** These art forms were not merely for entertainment but also served as powerful tools for communicating stories, values, and knowledge.
- 5. Modern Communication Technologies:**
- (i) **Digital Media and Online Platforms:** Modern technologies have enabled the global dissemination of IKS knowledge through online platforms and digital archives.
- 6. Other Notable Aspects:**
- (i) **Sanskrit Language:** Sanskrit served as a crucial language for the preservation and transmission of knowledge, particularly in scholarly and philosophical contexts.
- (ii) **Social Sciences:** Ancient texts like Arthashastra offer insights into political science, economics, and governance, demonstrating the breadth of knowledge communicated within IKS.

- (iii) **Pluralism and Tolerance:** The Indian knowledge system historically embraced diversity and tolerance, fostering the coexistence of various ideologies and philosophical schools.
- 7. Gurukul System :** The gurukul system emphasized a holistic approach to education, integrating life skills and values with academic learning.

Q.2. What is 'Communication'? Mention its main Characteristics.

Or

Define 'Communication'. What are the various characteristics of Communication?

Or

What do you mean by the term 'Communication'? Briefly Discuss its main characteristics.

Or

Define Communication. Discuss the main Objectives of Communication.

Ans. Meaning of Communication : The word 'communication' is derived from the Latin word 'communis' which means common. Communication is sharing of ideas, feelings, facts, information and understanding. A major part of a manager's time and energy, hence is involved in communication.

Communication does not mean merely written or oral messages. It includes everything that is used to convey meaning from one to another person. For example, movement of lips or the wink of an eye or wave of hands may convey more meanings than even spoken or written words. It has been said, 'The Communication is like a bridge through which river of understanding is crossed.'

Communication is a two-way traffic (i) 'transmission of information and (ii) receiving of information, irrespective of the mode of Communication.

Definitions

Leland Brown, 'Communication is the transmission and interchange of facts, ideas, feelings or course of action'.

Theo Haieman, 'Communication is the process of passing information and understanding from one person to another.'

Bellows, Gilson and Odiorne, 'Communication is defined as intercourse by words, letters, symbols or messages and a way that one organisation member shares meaning and understanding with another.'

Newman and Summer, 'Communication is an exchange of facts, ideas, opinions or emotions by two or more persons.'

Thus, Communication is a systematic and continuous process of conveying ideas, feelings, emotions, grievances, opinions from one person

to another in order to bring about mutual understanding and confidence of good human relations.

Characteristics of Communication : Some of the important characteristics of communication may be stated as under :

(1) Existence of Two Parties : Communication involves at least two parties, a sender and a receiver. The sender is also called as transmitter and aims to speak, and write. The receiver on the other hand, is also known as communicatee.

(2) Existence of Message : A message is the subject matter of communication. The message may be the orders, instructions or information about the managerial plans, policies, programmes sent by the superiors to subordinates. A message can also be from subordinate to superior in the forms of reports, suggestions, complaints, problems etc.

(3) Need for Exchange of Message : Communication also involves some need on the part of the sender for transfer of exchange or ideas, feelings, emotions or knowledge in the form of message.

(4) Communication is a continuous process : Communication is not an art or event at an instance of time rather it is a continuous process incorporating various events and activities that are inter-related and inter-dependent.

(1) Two-Way Process : Communication is a two-way process. It is not deemed as complete unless the receiver has understood the message properly and sends back his response of the sender.

(2) Communication may be Different Directional : Communication can flow vertically or horizontally or diagonally. If the communication flows vertically, it can be top to bottom.

(3) Communication may be Formal or Informal : Communication may be transmitted through different channels, such as formal or informal channels.

(4) Communication may be Verbal or Non-Verbal : The different means used for transmission of message may be verbal or non-verbal. If the transmission is verbal, it can be either oral or written.

Q.3. What are the Objectives of Communication? Discuss its importance in a Business Organisation.

Or
Briefly Discuss the Objectives of Communication.

Or
Describe the Objectives and Importance of Communication in business.

Or
What is the importance of Communication?

Or
'Communication is the key to successive Manager.' Explain.

Ans. Objectives of Communication : The following are the main objectives of communication :

(1) Conveying the Right Message : The main object of communication is to convey the right message to the right person i.e. to the person for whom it is meant. The message conveyed should be well understood and accepted by the receiver in the right perspective. In other words, it should carry the same meaning which has been conveyed so that it may be translated into action effectively.

(2) Co-ordination of Effort: Communication is an effective tool for co-ordinating the activities of different persons engaged in running a business. Co-ordination without communication is a remote possibility. In order to create better co-ordination and co-operation among individual efforts it uses different types of formal and informal dimensions.

(3) Sound Industrial and Public Relations : Communication develops good industrial relations as it conveys the feelings, ideas, opinions and view points of one party to the other party. The two parties - the management and the subordinates - come closer through communication. They understand each other and dispel any misunderstanding. Thus it presents and promotes a good corporate image in the society.

(4) Development of Managerial Skills : Communication provides a basis for training and development of managerial personnel. It helps managers to understand human behaviour at work. Communication of facts, ideas, opinions, information, feelings etc., add value to the knowledge of managers about various happenings, in the organisation and behaviour of people. Thus, communication is a process of learning.

(5) Effectiveness of Policies : The organisation formulates policies and programmes to guide the work-force. These should be conveyed properly to those who are really responsible for the execution of work to achieve the organisational objectives. Only effective communication can translate the policies into action.

(6) Facilitate decision making : Communication aims at providing the best information to the communicatee so that the quality of decisions is enhanced.

(7) Free Exchange of Information : Communication aims at two way communication so as to ensure free exchange of information and ideas which give an opportunity to all the receivers in understanding and accepting the messages, acting and feed-back.

The above objectives of communication lead to boosting the morale of the people and thus ensure the success of organisation.

Importance of Effective Communication : The following points will prove its importance in business :

(1) Smooth working of a business firm: The smooth and unrestricted running of an enterprise depends on an effective system of

communication. All organisational interaction depends upon communication. The manager co-ordinates the human and the physical elements of an organisation into an efficient and working unit that achieves common objectives. In every organisation, big or small, may it be in the public or private sector, communication plays a major role.

(2) Basis of Managerial Function: Communication plays an important role in discharging the various functions of management. Its importance in performing the various functions is as follows :

- (i) **Planning :** Planning requires extensive communication among the executives and the other personnel. Communication is important in executing a planned programme and then controlling the activities of the personnel with the help of feedback information. It is also necessary in evaluating the performance of the personnel in the light of planned objectives.
- (ii) **Organisation :** Organisation decides the various activities of an enterprise, divides them into workable units, delegates authority to perform them. For this purpose, communication is a must because different persons, departments and groups come to know their powers and jurisdiction only through an effective means of communication.
- (iii) **Direction and Leadership:** Direction and Leadership requires an efficient system of communication in an organisation. A good leader can direct or lead his subordinates only when an efficient system of communication is present. A leader can make his orders and directives most useful by inviting opinions, suggestions etc., from his subordinates and it requires communication.
- (iv) **Motivation:** An efficient system of communication enables management to change the attitude of the subordinates and to motivate, influence and satisfy them. Social and ego needs of employees can be fulfilled by adequate and proper communication.
- (v) **Co-ordination:** Co-ordination among employees of the organisation is created by mutual exchange of ideas and understanding. It is through effective communication that people can be co-ordinated and their efforts channelled for attainment of organisational goals. According to **William H. Newman** - 'Good communication aids in co-ordinating activities.'
- (vi) **Control:** Communication aids in controlling the activities of the individuals, departments, and groups. The facts, standards and information are communicated to the concern parties and they perform their respective obligations according to the standards set forth in the plan.

(3) Maximum Production at Minimum Cost: Every organisation aims at getting the maximum production at minimum cost and, for this

purpose it requires an effective internal and external communication system.

(4) Prompt Decision and its Implementation : In order to make prompt decision, fact collecting process is necessary. Information must be received before any meaningful decision and, for this purpose, communication is a primary requirement.

(5) Building Human Relations : An efficient communication system builds human relations. Good human relations are the basis of co-operation and industrial peace which require proper communication system to be followed.

(6) Job Satisfaction and Good Morale : Morale is the human element that motivates a man to work in the right spirit. Good communication removes the possibility of misunderstanding among the parties concerned. Communication is essential for achieving job satisfaction also.

(7) Avoids Illusion : While passing through various stages information may be distorted by interested parties, and may create illusion and misunderstanding among persons. Illusion is a great enemy of communication. An efficient system of communication aims at removing illusions and misunderstanding by communicating facts and figures. Thus, Communication cements an organisation.

(8) Contacts with external Parties : Communication is essential not only for the internal management of the organisation but it also helps contacts with the outside world, contacts with outside agencies such as customers, association, other manufacturers, advertisers, suppliers, trade unions, research council and institutions etc. are necessary for furthering the interests of the organisation. Thus communication is necessary for maintaining good relations with the outside world.

Q.4. Explain the concept of Nyaya logic and debate skills originating from ancient Indian philosophy.

Ans. Nyaya logic, originating from ancient Indian philosophy, provides a structured approach to reasoning and debate, emphasizing valid knowledge and sound argumentation. It's not just about winning arguments but about arriving at truth through rigorous analysis and critical thinking. Nyaya outlines different types of debates, including truth-oriented debates and competitive ones, and identifies fallacies to avoid.

Key aspects of Nyaya logic and debate:

- (i) **Pramanas (Valid Means of Knowledge):** Nyaya identifies perception, inference, comparison, and testimony as valid ways to acquire knowledge.
- (ii) **Syllogism (Five-Part Argument):** A core element of Nyaya reasoning is the five-step syllogism: proposition, reason, example, application, and conclusion.

- (iii) **Types of Debate:** Nyaya categorizes debates into Vada (truth-oriented), Jalpa (competitive), and Vitanda (destructive criticism).
- (iv) **Tarka (Critical Reasoning):** This involves refining arguments, testing consistency, and resolving doubt to strengthen reasoning.
- (v) **Fallacies (Hetvabhasa):** Nyaya identifies various logical fallacies that can weaken an argument.
- (vi) **Nigrahashana (Points of Defeat):** These are specific errors or weaknesses in an argument that can lead to its rejection.
- How Nyaya relates to debate skills:** Nyaya philosophy provides a framework for structuring arguments, identifying logical flaws, and engaging in constructive debate. By understanding the principles of Nyaya, debaters can:

- (i) **Present arguments clearly and logically:** Using the five-step syllogism helps organize thoughts and make them easier to follow.
- (ii) **Identify and refute fallacies:** Recognizing common logical errors allows for effective counter-arguments.
- (iii) **Engage in constructive dialogue:** Understanding the difference between truth-oriented and competitive debates helps foster a more productive environment.
- (iv) **Focus on truth and understanding:** Nyaya emphasizes the importance of seeking truth rather than simply winning an argument.

Examples of Nyaya in action:

- (1) **Legal Arguments:** Lawyers can use Nyaya principles to structure their cases, identify weaknesses in the opposition's arguments, and present compelling evidence.
- (2) **Scientific Research:** Researchers can apply Nyaya's emphasis on valid reasoning and evidence to design experiments and interpret results.
- (3) **Everyday Discussions:** Even in everyday conversations, understanding Nyaya principles can help individuals think more critically and communicate more effectively.

What are the kinds of Mudras used as a means of effective communication through body language?

Ans. Body language encompasses a wide range of nonverbal signals, including facial expressions, hand gestures, posture, and more, that communicate feelings and intentions. Mudras, particularly hand gestures in yoga and meditation, can also be used for communication and self-expression.

Types of Body Language:

- (1) **Facial Expressions:** The face is a primary source of nonverbal communication, conveying emotions like happiness, sadness, anger, surprise, fear, and disgust, with expressions often being universal across cultures.
- (2) **Hand Gestures:** Used to emphasize points, describe objects, or express emotions.
- (3) **Eye Movements and Contact:** Direct eye contact can indicate interest, but prolonged staring can be perceived negatively.
- (4) **Posture and Body Movements:** Posture, stance, and overall body movement can reveal a person's confidence, engagement, or discomfort.
- (5) **Space:** The distance maintained between individuals during communication can convey comfort levels and social dynamics.
- (6) **Touching:** Physical touch, like handshakes, hugs, or pats on the back, can express emotions and establish interpersonal relationships.

Mudras as Communication:

- (a) **Hand Mudras:** Specific hand positions used in yoga and meditation to channel energy and promote specific mental states. Examples include Gyan Mudra (wisdom), Vayu Mudra (anxiety reduction), and Prana Mudra (vitality).
- (b) **Varada Mudra:** A hand gesture signifying generosity, compassion, and the granting of wishes, often seen in Buddhist iconography.
- (c) **Karana Mudra:** A mudra used to dispel negativity and obstacles, often depicted in Buddhist art.

How Body Language and Mudras Interact?

Body language and mudras can work together to enhance communication and express emotions and intentions more effectively.

For example, a confident posture combined with a positive hand gesture can strengthen a verbal message.

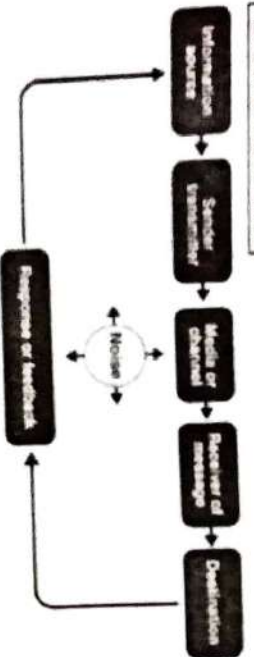
Similarly, incorporating mudras into meditation can help deepen the experience and enhance focus.

What is Information Theory? Explain with examples.

Or

What are the benefits of Information Theory?

Ans. Information theory, formalized by Claude Shannon, is a mathematical framework that analyzes the quantification, storage, and communication of information. In business communication, it helps optimize message design and transmission, ensuring clarity and minimizing errors. Understanding information theory can improve communication strategies by focusing on key elements like encoding, transmission, and decoding within a communication system.



Key Concepts and Applications in Business Communication:

(1) Information as Uncertainty Reduction : Information theory defines information as the resolution of uncertainty. In business, this means crafting messages that effectively reduce uncertainty for the recipient, whether it's clarifying a project goal or explaining a new policy.

(2) Encoding and Decoding : Information theory emphasizes the process of encoding information at the source and decoding it at the destination. In business, this translates to using clear and concise language (encoding) and ensuring the audience understands the message (decoding).

(3) Channel Capacity and Noise : Information theory considers the capacity of the communication channel and the presence of noise (distractions, ambiguity). Businesses need to choose appropriate channels (email, meetings, presentations) and minimize noise to ensure effective message delivery.

(4) Entropy and Redundancy : Entropy quantifies the randomness or unpredictability of information. Redundancy, on the other hand, adds predictability to a message, which can be useful for ensuring clarity in complex situations.

(5) Optimal Message Design : Information theory principles can be applied to optimize the design of business messages. This involves choosing the right words, using visuals effectively, and structuring information logically to enhance understanding.

Examples:

- Using visual aids in presentations to reduce cognitive load and enhance information retention.
- Structuring emails with clear subject lines, concise paragraphs, and bullet points to improve readability.
- Employing feedback mechanisms to ensure the message is understood as intended.

Benefits of Applying Information Theory in Business Communication:

- Improved Clarity and Understanding :** By focusing on information as uncertainty reduction, businesses can ensure messages are clear and easily understood by the intended audience.

(ii) Reduced Miscommunication : Minimizing noise and optimizing message design can reduce the likelihood of misinterpretations and errors in communication.

(iii) Increased Efficiency : Efficiently designed messages can save time and resources by reducing the need for clarification and follow-up communication.

(iv) Enhanced Collaboration : Clear communication fosters better collaboration and teamwork within organizations.

In conclusion, information theory provides a valuable framework for understanding and optimizing business communication. By applying its principles, businesses can enhance clarity, reduce errors, and improve overall communication effectiveness.

Q.7. What is the Interaction Theory of Communication?

Ans. Human society is a continuing process as they try to negotiate the formation and implications. These interactions between the humans result in the existence of the society and its certainty. Interpretative and interaction theories state that how people express their social situation and how these effects bring about a change in their lives. In communication interaction often signals a counterpoint to what is still perceived as a dominant way of transmission and interpretative and interaction method includes a number of theories. For example we can consider symbolic interaction theory developed by George Herbert Mead and Charles Horton Cooley.

Interpretative and interaction approach : Paul watzlawick's study on interaction elucidates how communication is stimulated during an interpersonal communication. In this context he classifies five axioms which are widely recognised as interactional view. For an effective communication between individuals these five axioms are required. Each person has different viewpoints and unique way of interpreting them. So the character and behavior of an individual are affected by his interactions with other people.

These are the axioms which describe how misinterpretation can occur in a communication process.

(1) One cannot not communicate : Human behavior can vary according to the situation. Sometimes people can involve in long conversations and in some cases a non-verbal gesture or even silence can be regarded as communication. This implies that whether you are communicating verbally or non-verbally the receiver will consider it as a communication.

(2) Communication = Content relationship : In a communication the speaker will use different ways of communication for different people. Relationships play a vital role in a communication process. A person's communication varies according to difference in relationships. The content in this context is the idea that is communicated

and it can alter according to the relationship a communicator has with his receiver.

(3) The nature of the relationship depends on the punctuation of communication sequence : In a communication process, the sender and the receiver interpret the message differently according to their behaviour. This axiom conveys about these varied interpretations among the people. For e.g. – in a relationship, if one of them feel uncomfortable with the other and tries to avoid a conversation and the other person interpret in such a way that the person must be upset of some other reason.

(4) Digital and Analogic : The nonverbal communication and other gestures which are interpreted as messages similar to the first axiom and also the digital content used in the communication process are being described in this axiom. For e.g. the emails, SMS etc.

(5) All communication is symmetrical or complementary : Relational interaction among the components such as symmetrical interchange and complementary interchange can be seen in this axiom. Symmetrical interaction between communicators is grounded on equal power and complementary interaction between communicators is grounded on differences in power. These interactions can be used in three different ways. When the communicator efforts to dominate the conversation, when the communicator tries to surrender control of the communication process and when they try to neutralize the interaction.

Q.8. What is the Transaction Theory of Communication?

Ans. The Transaction Model of communication differs from the Transmission and Interaction Models in important ways, including the conceptualization of communication, the role of sender and receiver, and the role of context.

The Transaction Model of communication describes communication as a process in which communicators generate social realities within social, relational, and cultural contexts. In this model, nurses don't just communicate to exchange messages; they communicate to:

- Create relationships.
- Form intercultural alliances.
- Shape self-concept.
- Engage with others in dialogue to create communities.

In short, you don't communicate *about* your realities; communication helps to construct your realities.

The roles of sender and receiver in the Transaction Model of communication differ significantly from those in the other models. Instead of labelling participants as senders and receivers, the people in a communication encounter are referred to as communicators. Unlike the Interaction Model, which suggests that participants alternate positions as

sender and receiver, the Transaction Model suggests that you are simultaneously a sender and receiver.

For example, when you first meet a client, you send verbal messages saying hello, who you are, and why you are there. Before you are done your introduction, the client is reacting nonverbally. You don't wait until you are done sending your verbal message to start receiving and decoding the nonverbal messages of the client. Instead, you are simultaneously sending your verbal message and receiving the client's nonverbal messages. This is an important component of this model because it helps you understand how you can adapt your communication. For example, in the middle of sending a verbal message, you can adapt your communication in response to the non-verbal message you are simultaneously receiving from your communication partner.

The Transaction Model of Communication : The Transaction Model also includes a more complete understanding of context. The Interaction Model portrays context as physical and psychological influences that enhance or impede communication. While these influences are important, the model focuses on message transmission and reception. Because the Transaction Model of communication frames communication as a force that shapes your realities before and after specific interactions occur, it must account for contextual influences outside of a single interaction. To do this, the Transaction Model considers how social, relational, and cultural contexts frame and influence communication encounters.

Here is a short description of each context :

- Social context refers to the stated rules or unstated norms that guide communication. As you are socialized into the nursing profession, you learn rules and norms for communicating, which are often referred to as communication strategies and principles. Some common rules that influence social contexts in nursing include being truthful during your conversations, being patient and encouraging the client to speak, demonstrating empathy, speaking clearly, making eye contact, and so on.
- Relational context includes the previous interpersonal history and type of relationship you have with a person. You communicate differently with someone you just met versus someone you've known for a long time. Initial interactions with people tend to be more highly scripted and governed by established norms and rules. As a nurse, you should always engage in communication in a professional manner because the nurse-client relationship is a professional one, not a personal one.
- Cultural context includes various aspects of identity such as gender, ethnicity, sexual orientation, class, and ability. While you may be able to identify some aspects of the cultural context within

a communication encounter, there may also be cultural influences that you can't see. A competent communicator shouldn't assume they know all the cultural contexts a person brings to an encounter, because not all cultural identities are visible. Some people, especially those with identities that have been historically marginalized, are highly aware that their cultural identities influence their communication and influence how others communicate with them. Conversely, people with identities that are dominant or in the majority may rarely, if ever, think about the role their cultural identities play in their communication. You need skills to adapt to shifting contexts, and the best way to develop these skills is through practise and reflection.

Q.9. What are the essential elements of an effective Communication in Business and Management? Explain.

Or

Briefly describe the essential elements of Business Communication in business.

Or

Discuss the various elements of Business Communication.

Or

'Communication is the process by which the information is transmitted between individuals and/or organisations so that an understanding response results.' Explain.

Or

What are the elements of Communication?

Or

Narrate the factors of Communication Process.

Ans. On studying the definitions of communication given by various eminent scholars, the following may be the important elements of communication :

(1) Transmitter or Existence of sender : An important part of the process of communication is that person who sends the message. If the sender is not there, there cannot be any communication. Existence of sender or transmitter is the first step of the process of communication.

(2) Existence of Receiver : As the second fundamental element to the process of communication is the receiver of the message. The process of communication is complete only when the message is received from the transmitter of the message. As such the existence of receiver of message is also the important element of communication.

(3) Message : Message is the subject matter of the process of communication. Message means idea or information which is communicated by the transmitter to the receiver of the message. The message should express the same meaning which is in the mind of the communicator. If the receiver does not understand the same meaning of the message which is in the mind of the communicator there will be no communication of the message.

(4) Media or Channel of Transmission : It means that method or media through which the transmitter communicates the message to the receiver. Various means (i.e. written, verbal or both) can be used to communicate the message by the sender to the receiver. It serves as a link between communicator and communicatee.

(5) Reaction : The primary purpose of the communication is to influence human behaviour. There should be some kind of feedback from the receiver on the message passed on to him.

(6) Communication Channel : Communication channel means the way to be used to convey and exchange the ideas, opinions and emotions etc., between the persons or the departments. Chain of command or grapevine communication are the examples of communication channel.

(7) Symbols : The words, signs or facial expressions which the sender of the message adopts to communicate the message are known as symbols. This process is known as the encoding of the message.

Planning for Communication : These important factors are mentioned here as under :

(1) Answer to Where? Communication has to be place-based. It should answer the question like : Where do we want to communicate?

(2) Answer to When? Communication has to be time-based. It should answer the questions like : When do we want to communicate?

(3) Answer to Whom? Communication has to be towards some person. The communication should answer the questions like : Who is the recipient of the message?

(4) Answer to How? Communication has to be through some channel. It should answer the question like : How do we want to communicate?

(5) Answer to What? It should answer the question like : What do we want to communicate?

(6) Answer to Why? Communication has to be need-based. It should first answer the questions, like : Why do we want to communicate and what is the purpose of communication.

Essentials of Effective Communication : The following are the various essentials of effective communication :

- (1) **Informal Channels :** Informal channels of communication are more effective over formal channels of communication
- (2) **Feedback :** Feedback is the most important feature of effective communication system.
- (3) **Information :** The sender of communication should be clear in his mind as to what he wants to communicate.

Essentials of Effective Communication	
1. Informal Channels	
2. Feedback	
3. Information	
4. Patience and Perceptive Listening	
5. Adequacy	
6. Timeliness	
7. Consistency	
8. Clarity	

so as to minimise delays.

- (7) **Consistency :** Communication should be in line with the overall objectives and policies.
- (8) **Clarity :** Communication should always be in clear and easily understandable language.

Q.10. What are the various steps in the Communication Cycle? Discuss.

Or

Discuss the essential steps of the Communication Process.

Or

Explain briefly the Process of Communication.

Or

Describe the Communication Process in detail.

Or

Explain the Communication Process.

Ans. Communication being a process, requires at least two persons—a sender and a receiver—irrespective of the mode of communication. The sender or source conceives the idea, gives it a shape, decides the mode of communication which may be used to convey the idea, and convey it. The receiver receives it, tries to understand it, and finally takes an action which may be either to store the information or to send the message to the original source or take any other line of action as required by the source.

The whole process, thus may be defined as follows :

Process of Communication

Ideation	Encoding	Transmission	Receiving	Decoding	Action
Conceiving the idea by the sender or the source	Encoding the message	Transmission of the message	Receiving of the message by the Receiver	Decoding message	Behaviour or action on the message

The entire process of communication requires at least the above six steps i.e., Ideation, Encoding, Transmission, Receiving, Decoding and Action. These Steps are discussed as under :

- (1) **Ideation :** The first step in communication is ideation. Here the sender thinks of idea which he wants to communicate to the other party. This is the content and the basis of the message. The sender must also keep in mind the party to whom the message is intended to be conveyed, and also the channel to be used.
- (2) **Encoding :** Under this step, messages are composed of symbols having a certain meaning for the sender and the receiver. Encoding is, thus, translation of an already conceived idea by the sender into a message appropriate for transmission. Encoding includes selection of the mode of communication. The wordings of the message may be different methods of communication to be used. A telegram may be differently by words from letter.
- (3) **Transmission :** The third step is transmission or conveying of the message as encoded by the sender. Transmission conforms to the method selected by the sender in the preceding step. The sender also chooses the channel or path of communication through which the message is to travel from the sender to the receiver. The channel may be mass media such as newspaper, radio, television etc., or inter-personnel involving direct exchange between source and receiver such as telephone correspondence or non-verbal symbols like hands or facial gesture, or other body movements. The sender must consider the effectiveness of the channel in making his selection.
- (4) **Receiving the message :** The next step is the receiving of the message by the receiver. The receiver must pay due attention to the message he receives. Any neglect on the part of the receiver may make the communication ineffective.
- (5) **Decoding :** Decoding is the reverse of encoding. It means translation of symbols etc. encoded by the sender into an idea for understanding. The receiver decodes the message by changing the symbols into a meaning.

(6) **Action** : It is the response by the receiver of the communication. He may ignore the message completely, or may store it or may act as directed by the sender. Thus, it is an action or reaction on the part of the receiver in response to the message received by him from the sender.

In the above process of communication, out of six steps, the first three are to be taken by the sender and the last three by the receiver. There may be two more steps : (i) Acceptance and (ii) Feedback, which are not necessary for the completion of the communication process. Sometimes the sender wants his message must be accepted by the receiver for two reasons: (a) to improve co-operation or motivation, and (b) to know whether the message has been correctly understood by the receiver. Similarly the sender also wants feedback. It means a message by the receiver to the sender in response to the sender's original message. This may help the sender to evaluate the effectiveness of the message so that he may improve his subsequent messages.

Q.11. What are the essential elements of communication process?

Or

Explain the different Principles to be followed to make Business Communication Effective.

Or

What are the various principles of Effective Communication? Explain in brief.

Or

Describe the main Principles of Effective Communication.

Or

Discuss the Principles of Communication.

Ans. Principles of Effective Communication : Effective communication should be based on the following principles :

- (1) **Watching Feedback** : A good communicator should always collect feedback.
- (2) **Adequate Size** : A good communicator should know the right length of communication.
- (3) **Active Listening** : Listening is equally an important part of the communication. Some of the superiors are not in the habit of listening the subordinates and they tend to suppress them to express their feelings.
- (4) **Create Trusting Relationship** : A communication, in the course of interpersonal relations, can be effective only when there is trusting relationship between the communicator and communicate.

(5) **Adequate Use to Non-Verbals** : Body gestures are very powerful mode of communication. An oral communication should be properly supported with non-verbals.

(6) **Participation** : In the process of communication, both the communicator and the communicate should participate. Communication is a two-way traffic.

(7) **Appropriate Time and Place** : A communication can turn to be effective only when it is passed at the right time and at the right place.

(8) **Appropriate Media** : A communication can be effective only when it is being passed through right media and right channel. The instructions, which have time value, should be given in writing.

(9) **Choosing Right Language** : A message, which is being transmitted, should be supported with right language. The words should be very carefully chosen.

(10) **Clarity of Thought** : For effective communication the thought-process should be very well organised. Before passing on any message, it should be properly thought out.

Q.12. What are the 10 Commandments, 7 C's and 4 S's of Effective Communication.

Or

Mention 7 C's and 4 S's of Effective Communication. Give its importance also.

Or

List down the Ten Commandments of Effective Communication. Also mention 7 C's and 4 S's of understanding the concept of Effective Communication?

Ans. Following are the Ten Commandments of Effective Communication :

- (1) **To be a Good Listener** : Listening is a difficult and often neglected skill in communication. He should always be sensitive to the unspoken reaction and attitudes of other.
- (2) **To Act in Support of the Communication** : Communication should be action based. The most persuasive kind of communication is not what one says but what he does.
- (3) **To Communicate for Tomorrow** : Communication is normally done to meet the requirements of the sender. The needs may be immediate or prospective.
- (4) **To Follow Up Communications** : The sender should encourage the receiver to express his reactions. He should see that the receiver understand the message.

- (5) **To Take Opportunity** : The sender should always consider the needs of the receiver and look at the things from the perspective.
- (6) **To be Mindful** : The overtones and the basic contents of the message often effect a listener's reaction to a message.
- (7) **To be Consult Others in Planning Communication** : It is always desirable to seek participation of others in planning communication.
- (8) **To Consider the Total Physical and Human Setting** : The sender should always be aware of the total setting in which he communicates.
- (9) **To Examine the True Purpose** : It is important for the sender to know as to what does he want to accomplish with the message.
- (10) **To Have Clear Ideas** : It is important for the sender to analyse the problem to be communicated more systematically, before it is transmitted.

7 C's of Effective Communication

- (1) **Capability** : Before the sender communicates the message, he should judge the capability of the audience prior so as to be able to modify the message as required.
- (2) **Consistency** : The receiver of the message does not necessarily have to **shift in** the logically sequence of thought.
- (3) **Channels** : If the channels are clear, the speaker would be able to communicate with greater care.
- (4) **Clarity** : Clarity is a very important factor in effective communication. The clarity should be there not only in direction but also in pronouncement.
- (5) **Content** : It is important that the message is clear as much as possible to be listener.
- (6) **Context** : The context of the message would encompass the time span, the current situation as well as the proceeding interaction.
- (7) **Credibility** : The sender should always be viewed as a credible source of delivering the goods.

4 S's of Effective Communication

- (1) **Strength** : The goods credibility of the sender, in itself, is the strength of the message.
- (2) **Sincerity** : The sender has to be sincere in sending his messages.
- (3) **Simplicity** : The simpler the message, the easier it is to understand.
- (4) **Shortness** : The message should be brief and short as far as possible.

Q.13. Mention the barriers of Effective Communication in business organisation.

Or

Explain the main barriers to communication and give suggestions to remove them.

Or

'It is said that communication is full of barriers.' Do you agree with this statement? Comment and discuss the chief barriers of communication.

Or

'The greatest enemy of Communication in management is the illusion of it.' Comment.

Ans. When a communication is sent to the receiver it must be effective and it is effective only when it has been understood by the receiver in the same sense in which the sender intended it. If it is not properly understood by the receiver, the purpose of communication is lost and the communication process is ineffective. There may be so many obstructions in the way of its being effective. The message, may not reach the receiver, there may be some flows in encoding and decoding the message the channel used may be defective or there may be some noise in the channel, or the channel used may be wrong, there may also be some personal problems. Thus for various reasons, the message may not be received by the receiver as was intended by the sender.

Following are some of the barriers to effective communication :

- (1) **Perceptual Problem** : When the communication and the communicatee have difference in perception they would react differently. The difference in perception is caused by prejudices that a person develops about a certain problem.
- (2) **Environmental Blocks** : Sometimes, the environment when the communication is being passed is not appropriate which renders the communication ineffective. Sometimes in face to face communication without a microphone the air may be disturbed by noise in the environment such as traffic, construction work, or human sound in the neighbourhood etc.
- (3) **Cementic Blocks** : Language is our most important tool of communication and yet it is a tricky tool, and can slip out of the hands of a careless user. The sender might use the word in one sense whereas the receiver may take another meaning and in this way the very purpose of communication is lost.
- (4) **Organisational Blocks or Status Blocks** : When a person at a lower rank communicates with a person at a much higher rank he feels hesitation.

- (5) **Faulty Listening or Decoding** : A message should be properly listened and understood. In case the receiver is not attentive the communication will have no impact.
- (6) **Use of Improper Channels** : For effective communication use of proper channel is essential. Use of channel depends on nature of communication.
- (7) **Inappropriate Medium** : A message, which should be given in writing, if communicated orally, will not serve the purpose. In case the non-verbal communication is inconsistent with verbal communication: the communication fails to attain its objective.
- (8) **Faulty Language** : When the communicator uses inappropriate language to transmit a message, the very purpose of communication is defeated.
- (9) **Faulty Thinking** : Sometimes, due to stress or tension, the sender of the message is not able to think properly about the situation. In such a situation the communication is bound to be ineffective.

Overcoming Communication Barriers

The following measures may be suggested to remove the barriers to communication :

- (1) The line of communication should be as short as possible. There should be direct contact between the Communicator and Communicatee.
- (2) The message should be sent in simple and easy to understand language.
- (3) Executives and subordinates should develop skill to listen and understand others.
- (4) The communication should be brief so that the receiver may not get bored.
- (5) The parties should develop mutual trust. They should mutually accept criticism, admit faults, and welcome suggestions.
- (6) The personal barriers can be overcome by making conscious effort to learn better methods, and by training for better communication skills.
- (7) The semantic barriers can be overcome only by being careful with the use of language, and by using words which have clear meaning, by using short and simple sentences, and also by using visual aid whenever possible.

Barriers can develop unexpectedly since emotions play a large part in communication. It is not easy to overcome all barriers; everyone has to do his best to be aware of them and take care to avoid them.

Q.14. What is Linguistic Barriers to communication? Or

Write a note on Language Barriers to communication?

Ans. Definition of Language Barriers : Language is needed for any kind of verbal or written form of communication, even people with speech impairments communicate with sign language and brail. Communication becomes difficult in situations where people don't understand each other's language. The inability to communicate using a language is known as language barrier to communication.

Language barriers are the most common communication barriers which cause misunderstandings and misinterpretations between people.

Most of the people in the world do not speak English or, even if they use, it is their second or third language. If the speaker and receiver do not use same language and words, there is no meaning to the communication. Not using the words that other person understands makes the communication ineffective and prevents message from being conveyed.

Causes of Language Barriers :

Difference in Language : Difference in language is the most obvious barrier to communication as two people speaking two different languages cannot communicate with each other. For example, an American goes to China. The person does not understand Chinese and most people in China do not understand English. So, when the person speaks, the communication is worthless as the other Chinese person doesn't understand it.

Regional Accents, Dialects and Pidgin : The accents and dialect (use of words) of people belonging to different places differs even if their language is same. Though the languages are technically the same in people using different dialects and accents, the meanings, implications and interpretations of words are different, which may lead to various kinds of conflicts.

For example, if a Scottish farmer talks to a person from London, they do not understand most of the words the other says even though they both speak English. The word ham and bacon can be used interchangeably in Scotland but they are different in England.

Similarly, pidgin is the simplified language used between people who do not speak common language. The implications of words and phrases can create misunderstandings.

For example, the abbreviation "LOL" used in chat language used to mean Lots of Love before, which changed to Laugh Out Loud. If a person says LOL, the second person can interpret the meaning in any way they want or from their understanding. People use both the abbreviations according to the context and need.

No Clear Speech : People who speak soft or in a small voice cannot be understood. The sender might be saying something whereas the receiver might understand something else. Though speaking common language, people might have difficulty understanding the meaning of the

message and the feedbacks. This might also be a cause of obstacle in communication.

Use of Jargons and Slang : Jargons are the technical words used in communication. It might be different according to different professions, specialty and technical field of a person.

For example, technical words used by doctors and lawyers are extremely different. If they start talking, both of them will not get what Some jargons like adjournment (jargon used by lawyers and police used for delaying a trial for defendant), BP (medical jargon for Blood pressure), etc. are only used by people in similar profession which might be a cause for language barrier.

Similarly, the use of slang also makes communication ineffective. For example, the use of word "grass" to describe marijuana can act as a barrier for the people who do not know the slang meaning.

Word Choice : The choice of word used in describing anything must be considered before communicating. The words used by a particular person to show their agreement on something can be taken as sarcasm which is negative in nature.

Words with two meanings, homonyms, homographs, homophones should always be avoided as it doesn't send the proper meaning and can be interpreted in any way. So, the message will not be sent as intended which acts as a type of language barrier in communication.

Literacy and Linguistic Ability : Some people have low vocabulary in a particular language whereas some very high. Though literacy and education increase the need to learn new words, it might not be the only reason. People can increase their vocabulary by reading and with their own interest too. Vocabulary is also less if a person uses the language as their unofficial language.

Likewise, linguistic ability is the capability of a person in a particular language. If a person with high vocabulary and linguistic ability talks with another with low ability, the second person will not understand the words used leading to miscommunication of whole message, the other is talking about.

Grammar and Spelling : Grammar and spelling becomes a barrier in communication as people from different parts of the world can be using it differently even in a particular word. Similarly, grammar and spelling mistakes create a huge communication barrier in written communication.

For example, a person makes a mistake of typing done as don. The spelling and grammar checker of the computer does not label it as wrong as don is also a correct word. But the word can change the whole meaning of the sentence or make the sentence not understandable.

These are some of the most common causes of language barriers in communication. There are many other causes too like language

disabilities, noise, distance or use of metaphors or similes which can be included in other barriers like physiological and physical.

Some language barriers can be overcome with practice or other ways like translation, interpreter, language classes, visual methods, etc. whereas some barriers act as problems in a person's whole life. These barriers must not be present to make the communication effective.

A barrier is any obstacle that prevents us from reaching our goal. Any hindrance to communication stops the intended meaning of our message from reaching our audience.

Some of these barriers are obvious e.g., a physical disability like deafness while some are more subtle and difficult to pinpoint.

Psychological barriers belong to the latter group and can seem impossible to overcome unless we understand their underlying causes.

Q.15. What are Psychological Barriers to communication?

Or

Write a note on Psychological Barrier to communication?

Ans. Definition of Psychological Barriers : The psychological barrier of communication is the influence of psychological state of the communicators (sender and receiver) which creates an obstacle for effective communication.

Communication is highly influenced by the mental condition that the communicators are in and is disturbed by mental disturbance. If the people involved in communication are not emotionally well, they won't be able to communicate properly.

Every person's mind is unique and communication does not work like that in machines or in numbers. The people who are involved in the communication matter as much as the message e.g. If your boss doesn't trust you, he/she will only send selective information, which makes the communication ineffective.

Causes of Psychological Barriers :

Lack of Attention : When a person's mind is distracted or preoccupied with other things, the person is not able to form proper message, listen to what others tell him/her, interpret the message as required and give proper feedback. The communication will face problems and becomes ineffective.

A person in tragedy, for instance, does not want to listen to other people giving advice. A person might be preoccupied by the problems of his/her professional life or personal life, which affects both.

Poor Retention : Retention of information is the capacity of the memory of the brain to store information and the way brain stores information in memory. Brain does not store all the information it comes across, but only the ones it deems useful for future. So, half the information is lost in the retention process.

Similarly, brain also loses information that is old and not taken as useful with time. Extracting the information is also a process in the formation of message. Here, the brain tries to remember the required information, the fragments of which have already been lost.

For example, you were told about a friend coming to meet you before a month and had been given the person's name, address, phone number, etc. Now, you have to communicate the information to somebody else. At the time, you only remember the name and address and forget the phone number. The truth can change or distort due to poor retention which acts as barrier to communication.

Distrust and Defensiveness : Communication is successful when the communicators trust each other. Lack of trust makes them derive negative meaning of the message and they ignore the message. When a person tries to force his/her own ideas and opinions, then receiver does not listen. If the receiver does not agree to the message provided or thinks of it as a threat, he/she will not listen to it.

Similarly, when the message is not transferred across to the receiver, the communication fails. For example, I don't trust a friend, I will only give the details, of what is happening in my personal life which I think are harmless.

Perception, Viewpoint, Attitudes and Opinions : Perception is the mindset using which people judge, understand and interpret everything. Each person has his/her own perception of reality which is shaped from mental and sensory experiences.

Likewise, viewpoint is also a mindset to look at the world. Sender might have a particular viewpoint that is not shared by the receiver. The sender does not explain the viewpoint but takes the viewpoint as granted. The message is not understood by the receiver as must have been understood, creating a barrier to effective communication.

Attitude is the established way in which we think and feel about things and ideas which also creates a psychological communication barrier.

For example, a person takes females to be weak which is the person's perception. He/she tells that to someone who does not think so. This causes a misunderstanding between the two. Everything they communicate after that becomes unsuccessful that the view of the person is already set.

Emotions : Anyone who isn't in a good mood is likely to talk less or talk negatively. A preoccupied mind is not good at communicating. For example, when a person is angry, he/she might say things they regret later. Even when listening to someone else speak, an angry person might easily misinterpret the message.

Various other emotions like fear, nervousness, confusion, mistrust and jealousy affect communication process. For example, a person having

extreme moods of happiness will laugh at anything at all said to him/her.

The same person when sad will cry or get angry at insignificant situations. **Closed Mind and Filtering :** Man is selfish by nature and put his own needs and problems above all else. This sometimes leads people to filter information that someone is trying to convey to them. This might be due to mistrust, competition, jealousy, or the view that the message is insignificant.

For example, a senior in a company does not want the junior to do better at work, the person filters the information and does not provide crucial information that could help the junior. The junior therefore will not be able to complete the work properly and progress in ranks. Similarly, when a person is close minded, the person will have fixed opinions on many things which the person believes resolutely. The person will interpret any information in a negative way.

For example, a sexist person does not accept the suggestions of a female colleague in a meeting that affects the communication flow in the meeting. It is difficult to argue with such close minded people and give proper information.

Premature Evaluation : Some people are always in a hurry by habit. These kinds of people most likely make quick judgments and jump into conclusions. They do not consider all aspects of the information such as social, cultural, economic, etc. and often end up taking quick and wrong decisions.

It is important to hear the whole message to make proper judgments because they are not changed easily after they are once made.

For example, a person is in a hurry and talks on the phone, the person does not listen to half the message and makes the decision which is wrong in the situation.

Psychological barriers affect communication more as information is formed in the brain and is sent by people with various psychological condition which differs from one moment to another. Information is as effective as the people involved make it.

Similarly, the psychological condition of the receiver also has as much importance as the senders. Communication is ineffective if psychological aspects of communication acts as a barrier to communication.

Q.10. What are Interpersonal Barriers to communication? Or

Write a note on Interpersonal Barrier to communication?

Ans. **Interpersonal Barriers arise from the following factors :**

- Intrapersonal barriers stem from an individual's attitudes or habits, whereas interpersonal barriers occur due to the inappropriate transaction of words between two or more people.

- The two broad categories into which these barriers can be classified are: Inefficient communication skills and Negative aspect nurturing in the climate.
- Interpersonal barriers creep in as a result of the limitations in the communication skills of the encoder or the decoder, or of both. In addition, they may also occur because of some disturbance in the channel or medium of communication. If two people are involved in communication, the traits that distinguish them as individuals can be the root cause of a communication problem. The most common reasons for interpersonal barriers are:
 - **Limited vocabulary** : Inadequate vocabulary can be a major hindrance in communication. At times, we find ourselves searching for the exact word or phrase that would be appropriate for what we are trying to express.
 - **Incompatibility of verbal and non-verbal messages** : A communicator should acclimatize himself to the communication environment, think from the angle of the listener, and then communicate. Misinterpreted non-verbal communication acts as another barrier to effective information flow instead of enhancing and enlivening verbal communication.
 - **Emotional outburst** : Excessive emotional involvement can be an obstacle in communication. For example, extreme anger can create such an emotionally charged environment that a rational discussion becomes impossible.
 - **Communication selectivity** : When the receiver in a communication process pays attention only to a part of the message, he/she is imposing a barrier known as communication selectivity.
 - **Poor listening skill** : A common obstacle to communication is poor listening habits. We should remember that listening and hearing are not the same. Hearing is a passive exercise while listening requires careful attention and accurate decoding of the signals received from the speaker.
 - **Noise in the channel** : As discussed earlier, noise interferes in the transmission of signals. Noise is any unwanted signal that acts as a hindrance in the flow of communication. It is not necessarily limited to audio disturbances, but can also occur in visual, audio-visual, written, physical, or psychological forms. All these forms of noise communicate extraneous matter which may distract the receiver from the message, and even irritate him/her.

What are Cultural Barriers to communication?

Or

Write a note on Cultural Barriers to communication?

Ans. The prime dynamics of culture are the mutual social perceptual set with coordinated, meaning and action, and cultural variance. The differences in communication recital and the diverse forms of communication can create diversity among various cultures. People who live in various cultures and historical epochs communicate differently and have different patterns of thought. A Cultural barrier in communication occurs mainly when communication happens between two different cultural backgrounds. We encounter cultural barriers in everyday life. In the age of globalization and digital media, the whole world is performing and participating on one platform. Here mutual understandings between communicators are very much important for the effective, fruitful process of communication.

Importance of cross-cultural communication : Cross-cultural and intercultural communication is very important in the contemporary world. The increase in multinational companies and firms, globalization, improved international relations, and the internet culture are the seeding agents for this demand. In a heterogeneous cultural workforce and the community, it is vital to bring a homogeneous work culture and result. To achieve these communication managers or advocates of every business and nation has to understand various cultural barriers of their team and find a solution to sustain and develop.

Sources of Cultural Barriers :

Language (Semantic) : Language is considered as the most crucial barrier in cross-cultural communication. Since verbal communication is important in every context, the understandings of the meaning of words are also important. The language barrier occurs not only because of differences in language but also in the forms of a variety of dialects. The examples are of Chinese and Russian language where different dialects are used in several parts of the country. If one communicator is not aware of the exact meaning, it will create misunderstanding and lead to a conflict of ideas.

Cultural norms and values : Each culture hold its own values, meaning and norms different from another. This difference is caused because of truth, belief and judgment through which they acquired knowledge about society and culture. For example, in eastern countries like India, Pakistan, Sri Lanka the meaning of physical proximity is different from that in western countries. In western culture, people share physical proximity or closeness only with the persons whom they know. This is the reason we can find a calm and quiet environment in public transportation in western countries. On contradictory, we can find a huge, crowded environment in Indian suburban and metro rail transports.

Stereotypes : Stereotypes are any negative image or preconceived notions on a particular community and identity. These are created through mass media and their content agenda. For example, the status of

transgender is considered in the different level of standard in various cultures. Same like the role and respect for women also varies from culture to culture. In social psychological viewpoint, positive stereotypes are also considered as the cultural barrier. It is representation of a particular group of people or culture in a positive way. This may be different from reality. The positive stereotypes create frames of reference in the mind of people in cultural context. For example, it is considered as people in Italy are having a great interest in art. This might be true in some sense since Italy was gone through various art movements. But if a foreigner visits Italy and interact the Italians with that mindset, he may find it difficult to encounter the reality.

Values and Beliefs : The differences in values and beliefs in cultures also create a barrier in communication. The difference in the level of acceptability in cultures is an example. The reasons behind these are influenced by religion, political environment or epistemology. Rokeach in his book "The Nature of Human Values" (1979) defines the value as 'a type of belief that is centrally located within one's total belief system'. Values tell us about people's behaviour. Values may be explicit (stated overtly in a value judgement) or implicitly (inferred from nonverbal behaviour), and they may be individually held or seen as a part of a cultural pattern or system. Every country has numerous religions practised by its people. So the differences in their values and beliefs are also an example of cultural barriers.

Body language and gestures : Body language and gestures are other elements of the cultural barrier. It is impossible to communicate without body language and gestures. It provides meaning and justification for communication. In conservative societies like Arab and African countries, greeting opposite gender by shaking hands or hugging is considered as ill-manner or even moral crime. But in the western world it is common practice to shake hands while we meet people.

The term physical barrier refers to the conditions that act as a roadblock and prevents effective communication. These are easily visible and can take any form, for instance, closed doors or walls. The physical barrier is very high if the distance between the sender and receiver is also too much.

Q.16. What are Physical Barriers to communication?

Or

Write a note on Physical Barrier to communication?

Ans. Physical barriers are described as structural obstructions in both human-made and natural environments that block effective communication so that messages cannot be sent from the sender to the receiver.

Some of the physical barriers are noise, technological problems, and organizational environment. The physical barrier is another word for

disturbance in communication, and the disturbance can also be caused by thunder, disconnection of calls, or issues in reception.

It is challenging to overcome the physical barriers in communication. Take the necessary time to identify the barriers so that it becomes easy to resolve the issue. Adapt your communication techniques to suit the situation; otherwise, it will pose serious problems.

The various types of physical barriers are as follows:

(1) Noise : The ordinary meaning of the word noise is chatter or racket, and that is what happens in this type of physical barrier. It interrupts the process of communication because of disturbance in the environment. The interruption acts as an obstacle and makes the meaning of the message unclear, inaccurate, and ultimately less productive.

In some cases, the noise is too much, and the message is unable to reach the receiver. There are various types of noise like technological noise, written noise, and environmental noise, and all of them are considered physical barriers in communication.

The technological noise occurs in the channel or medium, for instance, no sound during a phone call. Bad typing or handwriting is considered written noise, and environmental noise is the disturbance that happens because of background or outside disturbance.

(2) Distortion : The word distortion means misrepresentation, and that is what happens when a message is sent.

It is a type of physical barrier because the actual meaning of the message is lost in transition or during the handling process while encoding and decoding the communication. In simple words, human perception can easily distort the meaning of the message.

(3) Information overflow : Sometimes, the communication fails as the information is more than the amount that can be received by the sender at that specific time.

The receiver is unable to collect the full information and might miss or misinterpret the message. As the message fails to get the desired result, it acts as a physical barrier in communication.

Causes of physical barriers : The various causes are as follows :

(1) Environment : One of the causes of physical barriers are environmental factors. It includes wind, rain, thunder that creates a random noise that cannot be stopped anyhow. This continuous sound, which is already a part of nature, starts disturbing the flow of the message. Some physical barriers exist because of adverse weather conditions. Improper lighting and sudden thunder distort proper communication.

Unstable temperature is another environmental factor that is capable of disturbing the flow of the message. In case of too high or too low temperature, it becomes difficult for people to concentrate fully on the information they are sending.

The unstable temperature is the reason for creating an unfocused message and results in a physical barrier to communication. It is a fact that the concern about their well-being prevents the sender and receiver from putting their full attention on the message.

(2) **Time** : Shortage of time or sending a message in inappropriate time can be a significant cause of physical barriers as the message is then not conveyed effectively.

It is essential to keep the time of the message accurate; otherwise, the sender and the receiver of the message will not be able to communicate at the same time because of the time zone difference.

If an individual from India is trying to video-conference someone from the United States, then he will have to keep in mind the time zone difference for direct and effective communication.

(3) **Distance** : One of the major causes of physical barriers is geographical distance. If the sender and receiver of the message are sitting at a far distance, then they will have to substitute personal communication with emails, messages, video-conferencing, or phone calls.

Geographical distance causes numerous obstacles to communication as greater distance means a greater need for more technical channels. Both the sender and receiver will need additional machines as mediums for encoding and decoding the message.

Technological advancements have made it possible to reduce the noise to a higher degree in the channels and mediums.

(4) **Technical problems** : An essential cause of physical barriers in communication are technical problems. The channels and mediums of communication are influenced by the distance that must be covered and the disturbances that might arise on the way.

Technical and mechanical problems are common and can happen anytime. This is why only that medium should be chosen, which will have the least chatter and noise on that route.

Q19. What are Organisational Barriers to communication?
Or

Write a note on Organisational Barrier to communication?

Ans. Definition: The Organisational Barriers refers to the hindrances in the flow of information among the employees that might result in a commercial failure of an organization.

The major Organizational Barriers are listed below :

(1) **Organizational Rules and Policies** : Often, organizations have the rule with respect to what message, medium, and mode of communication should be selected. And due to the stringent rules, the employees escape themselves from sending any message.

Similarly, the organizational policy defines the relationship between the employees and the way they shall communicate with each other maintaining their levels of position in the organization. Such as, if the

company policy is that all the communication should be done in writing, then even for a small message the medium used should be written. This leads to delay in the transmission of the message and hence the decision making gets delayed.

(2) **Status or Hierarchical Positions in the Organization** : In every organization, the employees are divided into several categories on the basis of their levels of the organization. The people occupying the upper echelons of the hierarchy are superior to the ones occupying the lower levels, and thus, the communication among them would be formal. This formal communication may often act as a barrier to the effective communication. Such as the lower level employee might be reluctant in sending a message to his superior because of a fear in his mind of sending the faulty or wrong message.

(3) **Organizational Facilities** : The organizational facilities mean the telephone, stationery, translator, etc., which is being provided to employees to facilitate the communication. When these facilities are adequately offered to the employees, then the communication is said to be timely, accurate and according to the need. Whereas, in the absence of such facilities, the communication may get adversely affected.

(4) **Complex Organizational Structure** : The communication gets affected if there are a greater number of management levels in the organization. With more levels, the communication gets delayed and might change before reaching the intended receiver.

Thus, communication is the key factor in the success of any firm, and the communication is said to be effective when the employees interact with each other in such a way that it results in the overall improvement of the self as well as the organization.

Long and short Answer type Questions :

Q1. What are the Advantages and Disadvantages of Written Business Communication? Discuss its importance in a business organisation?

Or

What is meant by 'Written Business Communication'? Discuss its Characteristics or Features.

Or

What do you mean by the term 'Written Communication'? Discuss the importance of Written Communication in business management and point out its relative Advantages and Disadvantages.

Or

What do you understand by Written Business Communication? Discuss its advantages and disadvantages.

Ans. Meaning of Written Communication : Written communication implies transmission of message in black and white. Written communication is essential when message is vital and complicated. Such communication ensures accuracy and authenticity. It facilitates record and future reference. Written communication refers those decisions, policy, statements, rules, procedures, orders and instruments etc. which are expressed on paper. It includes written words, graphs, charts, diagrams, manuals, reports, pictures, letters, circulars etc. To be effective written communication should be clear concise, complete and correct.

Written Business Communication : This type of communication is followed usually in the following circumstances :

- (1) When the information mentioned in the message is to be retained for future use.
- (2) When the receivers of the message or communication are situated at far off places.
- (3) When information has to be sent to a large number of persons.
- (4) When specific instructions are to be given to the subordinates.
- (5) When a record has to be kept for future reference.
- (6) When the message is quite lengthy.

Characteristics of Written Business Communication : The main characteristics of written business communication are as under :

- (1) **Few Cycle Activity :** The written business communication is an activity, which involves fewer cycles in terms of exchange of words. The messages are first prepared and then are sent to the receiver.
- (2) **Time Consuming Activity :** Written business communication tends to be more time-consuming as compared to the oral business communication. Thus the written communication is the most time-taking activity.
- (3) **Creative Activity :** Written business communication is a creative activity and requires a lot of imagination. It is based on a communication, as such.

Importance of Written Business Communication

- (1) **Miscellaneous Use of Business Messages :** The vital information mentioned in the messages is to be retained for future use.
- (2) **Wide Location of Receivers :** The receivers of the business messages are often situated at far off place.
- (3) **Large Coverage :** Business messages have to be sent to a large number of persons at one and the same time.

- (4) **Retention of Business Messages for Future Reference :** Business messages have to be kept for future reference in case of disputes.
- (5) **Length of Business Messages :** Business messages tend to be lengthy and thus require a written form of communication.

Advantages of Written business Communication

- (1) **Easy Understandability :** The written business communication offers sufficient time to the receiver to understand the message.
- (2) **Cheap Mode :** The written business communication is a cheap mode of communication.
- (3) **Uniformity in Policies and Procedure :** The written business communication promotes uniformity in policies and procedures.
- (4) **Lengthy Messages :** The written business communications offers easy transmission of lengthy messages.
- (5) **Future Use of Messages :** The written business communications can be repeated at regular intervals of time.
- (6) **Permanent and Authentic Record :** The written business communication provides a permanent and authentic record.
- (7) **Large Number of Receivers :** It is suited to convey messages to large number of persons at one and the same time.
- (8) **Clear and Precise :** It tends to be complete, clear, precise and correct.
- (9) **Legal evidence :** It can be quoted as a legal evidence in case of any dispute.

Disadvantages of Written Business Communication

- (1) **Formal and Rigid :** The written communication is formal and rigid.
- (2) **Confusing :** The written business communication may create confusion when the receiver is unable to understand the message.
- (3) **Permanent :** The written business communication is not easily alterable.
- (4) **Non-Secrecy :** The written business communications do not carry secrecy with them.
- (5) **Time-Consuming :** The written business communication is a time-consuming affair.
- (6) **Excessive Paper Work :** The written business communication involves lot of paper work.
- (7) **Expensive :** The written business communication tends to more expensive.

Q4. Explain Merits and Limitations of oral and written communication. Which one is more useful in Business Communication?

Or

Discuss Advantages and Limitations of written and verbal Communication.

Or

Explain the different types of media of communication. What do you understand by verbal and written communication? Point out the merits and limitations of verbal and written communication.

Or

What are various Media/Mean of Communication? Explain.

Or

In your view out of verbal and written communication, which one is better and why?

Ans. Media or Means of Communication : Communication as the way of conveying and exchanging once ideas, opinions and emotions can take countless forms i.e., all communications cannot be of the same type and cannot flow through the same means. It all depends upon the person who sends the message, the person to whom the message is sent and the purpose for which the message is sent. The forms will differ depending upon the availability of feedback, use of verbal or non verbal signs etc. Thus different means or media can be used on the basis of nature and channels of the communication.

A brief mention of the means of communication is as under :

(1) Verbal Communication :

(i) Oral Communication; and (ii) Written Communication.

(2) Non-Verbal Oral Communication.

Verbal Communication : The terms 'verbal' refers to a communication with use of words. The process of communication requires a common set of symbols so that the recipient could understand the message, sent by the sender. Words are the most effective and powerful set of symbols.

The various types of verbal communication are mentioned here as under, in brief :

(1) Oral Communication : It occurs through the spoken word. In oral communication, the two parties to communication, the sender and the receiver, exchange their views through speech, either in face to face communication between individual and individual, or between an individual and the group or any mechanical or electrical device, such as a telephone, public address systems etc. Meetings, conference, lectures etc., are some other media of communication.

Advantages of oral communication :

- (1) It is the fastest form of communication and saves time and money.
- (2) It is a more effective communication system. Gestures, tones and facial expressions make the communication more impressive and effective.

(3) It allows the parties to get immediate feedback. They can know each other's reactions immediately and can remove doubts, if any, in the mind of the party.

(4) Effectiveness of the communication can be measured immediately and conveniently. The communicator can determine instantaneously whether the receiver is following him or not. There is no distortion, filtering or colouring of the message.

(5) This helps in improving the motivation of people and generating a sense of participation.

(6) It is only way out during emergency.

Disadvantages or Limitations of Oral Communication : Oral communication has some limitations also :

(1) There is no documentary proof of oral communication and as such the impact of verbal communication is purely temporary.

(2) When message to be delivered is too lengthy, oral communication is not suitable.

(3) Serious thought is not possible at the subject because the receiver has to take an immediate decision in response to the communication received.

(4) Speakers inability and ineffectiveness adversely effect the creation and retention of the listeners interest.

(5) If the message is for large number of persons scattered at different places, oral communication is not possible.

(6) Oral communication is very much time consuming and expensive.

(2) Written Communication : Written communication is one of the formal system of communication. A written communication is transmitted in written words. Written communication includes written words, graphs, charts, manuals, reports, diagrams, pictures, letters, circulars, reports etc. Written communication is the most common form of communication used in an organisational set up to be effective. Written communication must possess four important characteristics. It should be clear, complete, correct and to be intelligible.

Advantages of written communication :

(1) It is the only way out in such cases where the message is too lengthy and meant for a large number of persons.

(2) It gives more time to the receiver to think, analyse, and then decide upon the right course of action.

(3) It can be taken as a legal evidence in the court of law in case of disputes.

(4) It is the effective way of communicating messages to far off places.

(5) It reduces the risk of any authorised alteration in the message.

(6) It is normally more clear, precise and correct.

Disadvantages or limitations of written communication :

- (1) Written communication is very time consuming both in terms of preparing the message and also in terms of understanding it. It is costly also.
- (2) Everything cannot be put into writing.
- (3) It is very formal and lacks personal interest.
- (4) Written communication cannot remain confidential because it passes through many hands.
- (5) It is not flexible and may result in red-tapism.

Q.3. Differentiate between Oral and Written Communication.

Or
Discuss the difference between Oral and Written Communications.

Or
Give comparative analysis of Verbal and written Communication.

Ans. Difference Between Oral and Written Communications

S. No.	Basis	Oral Communication	Written Communication
1.	Time Availability	Oral communication requires very less time for transmission of message.	Written communication requires more time for transmission of message.
2.	Language Problem	Oral communication often suffers from language problem.	Written communication does not suffer from language problem.
3.	Usefulness	Oral communication is useful when messages are short.	Written communication is useful when messages are lengthy.
4.	Confidentiality	Secrecy can be maintained easily under oral communication.	Secrecy cannot be maintained easily under written communication.
5.	Use of Gestures	Gestures can be used to support words under oral communication.	Gestures cannot be used under written communication.
6.	Record	Oral communication does not provide any record	Written communication provides for record for future reference.
7.	Feedback	Oral communication facilitates immediate feedback.	Written communication does not facilitate immediate feedback.
8.	Nature	Oral communication is flexible in nature.	Written communication is rigid in nature.

9. Cost**10. Speed**

Oral communication is economical in cost.
Oral communication is fast in speed.

Written communication is expensive in cost.
Written communication is slow in speed.

Q.4. What is a 'Business Letter'? Discuss the Needs and Kinds of Business Letters.

Or

'If a Business Letter does not generate goodwill, it fails in one of its major Functions'. Discuss.

Or

Mention the functions of Business Letter and give its various kinds.

Or

What is the need of a Business Letter? What are their kinds?

Or

What is meant by Business Letter? Give its functions.

Ans. Meaning of Business Letter : A business letter denotes written communication of message or information between two or more businessmen or between a businessman and his present and prospective customers. A business letter is the approach to business through the medium of letters. It may be regarded as the mental side of business activity and is the most potent instrument for achieving success in business. Actually, a business letter is the seed of prosperity.

Needs or Objectives of Business Letters

Letters are the most common form of business communication. Letters enable a business house to remain in touch with its customers, employees, suppliers, investors, credit agencies and other relevant groups. According to Gortside, the following are the four main reasons for writing business letters :

- (1) To provide a record for future reference.
- (2) To furnish evidence of transactions entered into.
- (3) To seek or give information.
- (4) To provide a convenient and inexpensive means of communication without personal contact.

In addition, the main object of business letter is to build goodwill by creating a good image of the organisation in the minds of readers. The other objectives are :

- (1) To introduce or open up trade relations.
- (2) To conclude and maintain business transactions and
- (3) To promote and accelerate business transactions.

Functions of Business Letters

On the basis of above, the various functions of business letters may be listed down as under :

- (1) **Miscellaneous Use of Business Messages** : The vital information mentioned in the messages is to be retained for future use.
- (2) **Wide Location of Receivers** : The receivers of the business messages are often situated at far off places and hence oral communication is not possible.
- (3) **Wide Coverage** : Business messages have to be sent to large number of persons at one and the same time.
- (4) **Authoritative Proof in case of Disputes** : Written commitments bind the parties to the text of the agreement. The business letters, signed by authorised representatives, can thus be used in a court of law in cases of disputes.
- (5) **Record and Future Reference** : It is difficult rather impossible for a person to remember all the points of a transaction. The primary objective of business letters is to keep the business messages for record.

Kinds of Business Letters : The following may be a classification of various kinds of business letters :

A. Correspondence Related to Operations of Business :

- (1) Inquiry and reply letters,
- (2) Order letters,
- (3) Supply letters,
- (4) Credit and reference letters,
- (5) Complaint and grievance letters,
- (6) Collection letters.

B. Correspondence with Outside Public Agencies :

- (1) Bank correspondence,
- (2) Insurance correspondence,
- (3) Import-export correspondence,
- (4) Agency correspondence.

C. Correspondence of with Government or Semi-Government Bodies :

- (1) Official Letters,
- (2) Demi-official letters,
- (3) Circular letters,
- (4) Memorandum letter.

D. Correspondence in Relation to Employment :

- (1) Application letters,
- (2) Interview letters,
- (3) Appointment letters,
- (4) Confirmation and retrenchment letters,

- (5) Promotion letters,
- (6) Resignation letters.

E. Correspondence of a Company Secretary :

- (1) Correspondence with directors,
- (2) Correspondence with shareholders,
- (3) Correspondence with state and central government.

F. Correspondence with Press :

- (1) Press releases,
- (2) Advertisements,
- (3) Letters to the editor.

~~Q. E.~~ **What points should be kept in mind to make a business letter more effective? Explain.**

Or

What are the essentials of a good business letter? Explain.

Or

Explain the importance of accuracy, completeness and clarity in a Business Letter.

Or

What are the essentials of an Effective Business Letter? Discuss in brief.

Or

Describe the essentials of an Effective Business Letter.

Ans. Essentials of an Effective Business Letter : A good business letter is the backbone of a successful business house. Business letters are not much different from personal letters but have to be more accurate, clear, correct, precise, courteous and reasonable.

The various essentials of an effective business letter are as follows :

- (1) **Clarity** : This means that the letter should be drafted in such a way that the reader may know clearly the intention of the writer. It should not leave any doubt or misunderstanding in the mind of the reader in regard to the intention of the writer. The language should be very clear as well as self-explanatory.

- (2) **Completeness** : It means that the letter should present a full picture of all matters to be dealt with. The letter should be complete from all points of view, including what, who, where, how much etc.

- (3) **Correctness** : By correctness of a letter two things are meant - Firstly, there should be no wrong facts, description and data in it which may affect the power of decision of the customer and secondly, the letter must not unnecessarily distort the facts. Whatever is mentioned in the letter, it must be correct and right.

- (4) **Courtesy** : Courtesy means giving due consideration to the feelings of others for the purpose of winning respect, sympathy and understanding of the correspondents. It costs nothing but

gains much. The language should be natural, fluent and free from self-consciousness and self-praise.

(5) **Conciseness** : Brevity or conciseness is the soul of every business letter. In the shortest time the receiver of the communication must know what the communicator wants to transmit. Needless words and expressions will simply encroach upon the valuable time of the writer and the reader and make the letter weak and time consuming. But conciseness should not be carried too far at the cost of cleanness and simplicity.

(6) **Simplicity** : Words express thoughts. Therefore, it becomes necessary that only such words should be used in a letter which may be understood easily and promptly. There is no need of using literary and ornamental words in a letter. The words used in common conversation are ideal for a business letter.

(7) **Strength of Effectiveness** : The whole letter should be so organised that the matter written by the writer, may become effective.

(8) **Relevance** : It means that a letter should not include unnecessary facts and figures. In other words, the letter should be written to the point and nothing should be included which is beyond the scope of subject matter under discussion.

(9) **Sincerity** : The letter must be humane. The letter writer should use words which may create personal touch and closeness with the reader of the letter. Use of names and pronouns like you, he, we, she, etc. is helpful in this connection. The personality of the letter writer is reflected in his letter. Therefore, there should be the element of trust in the letter.

Q.6. Describe with illustrations the Different Parts of a Good Business Letter.

Or

Give the Layout of a Good Business Letter.

Or

Name the parts of a Good and Effective Business Letter and draw a diagram indicating the position of each part in the Letter.

Ans. Structure or Layout of a Good Business Letter : The various parts of a good business letter are given below :

(1) **Heading** : The name of the sender firm, its address, the nature of business, and date are mentioned on the top portion of a letter. Actually, the purpose of the heading is to tell the reader about the sender and when and why the letter has been written. Remember, it is the heading which is the voice of your business.

In this regard, there are no hard and fast rules about what is to be written where. Certain general rules which are followed are as under :

- (i) The name of the undertaking in the centre in bold type.
- (ii) Below that, the nature of business in small letters.
- (iii) Telephone number, Telex number, fax number, e-mail address (if any) are mentioned on the left-hand side of the letter head.
- (iv) Address on the right hand-side of the letter-head.

Mohit Kirana Bhandar

(Wholesale dealer of grocery)

Tel. No. 2427145

Tel. Add : 'Mohit'

Code : ABC Code

E-mail : kirana@maheshwari.com

Fort Road,
Lohamandi
Gwalior - 474003

(ii) **Date** : The second important part of the heading is the date. Normally the date is written below the place but now a style of writing it in between has also been started. The method of writing date is :
2nd June, 2026 or June 2, 2026

(iii) **Mailing Notation** : Words as 'Registered' or 'Under Postal Certificate' or 'Courier' may be typed on the second line.

(iv) **Reference** : Reference is generally mentioned on the both hand of the latter or below the code reference.

(2) **Inside Address** : The inside address contains the name and address of the firm to whom the letter is written. This helps to identify the addressee and is necessary for filing purposes.

(3) **Salutation** : The salutation is the complimentary greeting with which the writer uses for opening his letter. It is written below the inside address. e.g. Sir, Dr., Dear, Sir/Sirs.....or Gentleman/Madam or Ms.

(4) **Body of the Letter** : Body of the letter is that part of the letter, which contains the message or the information to be communicated.

(i) **Subject and Reference** : A brief, one-line mention of the subject of the letter in the beginning helps the writer in adding to its clarity.

(ii) **Opening Paragraph** : Ideally a letter should open with the expressions of pleasure, gratitude, or acknowledgement.

(iii) **Main Paragraph** : The main paragraph contains the subject matter of the letter and should be brief and to the point.

(iv) **Closing Paragraph** : Every letter must come to a perfect close. The letter ending must motivate the action that the writer wants from his reader.

(5) **Complimentary Close** : The complimentary close is a polite way of ending a letter. For example, 'Yours faithfully,'

(6) **Signature** : Signature is a formal assent of the writer to the subject matter of the letter and is a practical and legal necessity.

(7) **Reference Initials** : It has now become customary to put the initials of the person dictating the letter and of the person typing at the end of the letter.

(8) **Enclosures** : Sometimes a letter carries along with it some related papers, necessary to understand the subject matter of the letter.

Specimen of the Layout of a Good Business Letter

Company Letter Head

Printed Name & Address

Telephone, Fax, Telex, E-Mail

Date :

Reference No. :

Name and Address of Addressee

For the Attention of :

Salutation.

Subject :

Body of the Letter : Opening Paragraph

Body of the Letter : Main Paragraph

Body of the Letter : Closing Paragraph

Complimentary Close

Signature with Designation

Reference Initials

Enclosures

Q.7. What is the meaning of a 'Report'? What is its importance? Give its main features.

Or

What is a 'Report'? Explain the importance of drafting a Report. Also Mention the essentials of a good report.

Or

Mention the importance of report and describe its essentials.

Ans. Meaning of 'Report' : The word 'Report' is derived from the Latin word 'reportare' which means to carry back. Thus, report is a document or description of the event, which is carried to someone who was not present on the scene. In other words, A report is an account or statement which describes an opinion, situation etc., which is the result of observation or enquiry. The report may on account of anything – a speech, a discussion or a meeting.

Reporting means, narrating what has been learnt or observed through enquiry or investigation or probe and writing on account of it in one's own language.

Definition : According to Terry, 'Report is a written statement based on a collection of facts, events and opinions and usually expresses a summarised and interpretative value of this information. It may deal with past accomplishments, present conditions or probable future developments.'

Main Features of Report :

- (1) **Formal Statement** : A report is a formal statement of facts or information or an account of something.
- (2) **Conventional Form** : It is presented in a conventional form.
- (3) **Conciseness or Preciseness** : The matter of the report should as far as possible be short and summarised.
- (4) **Communication** : Report is one of the ways of communication from downward to upward or horizontally.
- (5) **Factual Information** : The report communicates the factorial information, events and records in the course of business.
- (6) **Specific Business** : A business report serves the purpose of a specific business.
- (7) **Relevancy** : The report should contain only that much material which is actually needed or required.

Importance of Report : It holds its importance in business organisation for the following reasons :

- (1) **Sound Public Relations** : Reports aim at presenting a good corporate image of the company.
- (2) **Swift Operations** : Reports aim at providing transparency in the functioning of an organisation.
- (3) **Identification of Problem Areas** : Reports often help managers to spotting sensitive and problem areas of work.
- (4) **Better Co-ordination** : Reports aim to promote common understanding of information between the group of persons.
- (5) **Development of Managerial Skills** : Reports provide information on organisational policies and procedures.
- (6) **Solution to Problems** : Reports help managers to understand suggestions on routine problems from their superiors.
- (7) **Feedback** : Reports are prepared to help managers to have feedback from their colleagues.
- (8) **Decision-Making** : A report aims at providing the best information to the person who requires it.

(9) **Transmission of Information** : The main purpose of a report is to transmit some information from a person to another.

Selection of a Suitable Type of Report : Selection of a suitable type of report is the most crucial matter, which every writer of a report faces.

- (i) What is the purpose of the report?
- (ii) What time has been allowed for the preparation of the report?
- (iii) Who is going to read the report?
- (iv) What kind of report is requested or required?
- (v) What facts have to be examined before the preparation of the report?
- (vi) What facts have to be furnished in the report?

Answer to the above questions shall, thus, enable him to select a type of report which shall suit the requirements of the person, for whom the report is prepared.

Q.8. Enumerate the different types of Business Reports. Give the general hints for preparing an Appropriate Report.

Or

Mention various types of Reports and describe hints in Preparation of such Report.

Ans. Types of Reports : Broadly speaking, the business reports are of two types :

(1) **Compulsory or Formal Reports** : The reports as are required to be prepared in accordance with the legal rules and regulations, government orders, etc., are known as the compulsory reports. In case of the companies, these are compulsorily to be presented before the promoters and the shareholders at different occasions.

(2) **Voluntary or Informal Reports** : These are prepared for meeting the need of the business or industrial undertaking and are not formally required to be drawn up.

Hints for Preparing Appropriate Report

- (1) Other Essentials
- (2) Rough Report
- (3) Writing of Report
- (4) References
- (5) Dividing the Subject
- (6) Heading
- (7) Signatures. In the end

Hints for Preparing Appropriate Report

Report : The following are the main points to be borne in mind while preparing a suitable report :

- (1) **Other Essentials** : The report must be brief, comprehensive and clear.
- (2) **Rough Report** : Before finally drafting the actual report, it must be roughly drawn up.

(3) **Writing of Report** : All the relevant and important facts must be covered within the report.

(4) **References** : If the report is based on some research of finding out some facts and in this connection some standard works or references had been consulted.

(5) **Dividing the Subject** : The matters as are to be dealt within the report, must be categorised.

(6) **Heading** : A report must always have some heading.

(7) **Signatures. In the end** : The report must bear the signatures.

Q.9. What do you mean by 'Speech'? How can speech be made effective?

Or

What do you understand by speech? Give guidelines for preparing a speech.

Or

What is 'Speech'? Mention some of the occasions on which businessmen may have to make a Speech.

Or

Discuss the characteristics of a Good Speech. What points should be kept in mind while drafting a Speech?

Or

Give the essentials of a good speech.

Or

What are the characteristics of a Good Speech? Mention the points keeping in mind while preparing a speech.

Ans. Speech : In the business world, a businessman has to deliver speech on innumerable occasions. A speech has the power of turning a hostile mob into a friendly gathering.

A speech is one of the instructional methods used down the ages. It is the most versatile, the least expensive and the easiest to use method of communication.

Occasions for Making a Speech

- (1) Speech in condolence of some death.
- (2) Speech in farewell of some colleague.
- (3) Speech as vote of thanks at the end of some function.
- (4) Speech in welcome of some guest person.
- (5) Speech by a salesman to sell his goods.
- (6) Speech to make some announcements.
- (7) Speech by the Chairman or General Manager of a company on the occasion of the foundation day, etc.
- (8) Speech by the Chairman or Managing Director of a company.

- (9) Speech by some leader of celebrity at the inauguration of some trade fair, business organisation, conference, etc.
- (10) Speech by a leader to persuade, to convert or to compel a group of persons.

Characteristics of a Good Speech

- (1) **Attention Creation** : A speaker seeks attention at two levels; the physical level and the psychological level.
- (2) **Organising the Message** : Effective and efficient delivery of message requires organising the subject systematically.
- (3) **Analyse Audience** : An analysis of audience includes examination of their educational background, experience, occupations, social and political background, age, sex, etc.
- (4) **Deciding the Purpose of Speech** : The audience will listen effectively when the message meets their needs. To speak to them about themselves and their needs is the best way to make the people listen.
- (5) **Voice Segregation** : 'Ums', 'ahs' and other punctuation's in a speech are common features. Sometimes, they may irritate the audience and may cause discomfort.
- (6) **Use of Aids and Handouts** : Sometimes, it may be necessary to use aids, visual or audio-visual, in support of speech. The speaker must see where they can be used rightly.
- (7) **Personal Appearance** : Communicating with an acceptable and gentle dress is one of the most direct and silent way of good and effective communication.
- (8) **Language** : Language is very essential in a good communication. The speaker should adapt his own language but speak at the listeners' level.
- (9) **Empathy** : Empathy means ability to understand and share the feelings, experiences, opinions etc., of listeners. Certain empathy must exist between the speaker and the listener.
- (10) **Friendly Atmosphere** : It is the responsibility of the speaker to create a friendly attitude and benevolent atmosphere at the place.
- (11) **Accent** : Accent is another important factor to be achieved in good speech, as wrong accent may prevent meaning from being clear.
- (12) **Stage Phobia** : A speaker with a stage phobia concentrates his mood excessively on himself than on the listeners of the message.
- (13) **Humour** : In most speeches, the use of humour is necessary but it must be in good taste and amusing. An original joke is better which the audience has never heard before.

- (14) **Use of Quotations** : A speaker should be very cautious in using quotations. He should avoid too many as well as long, foreign or Latin quotations.
- (15) **Use of Slang** : Slang means words and phrases, used very informally in a speech, and not for formal and polite use.
- (16) **Simplicity** : The speaker should be sincere in delivering a speech in simple words and sentences. Simple words and sentences with subject and predicate make the speech effective.
- (17) **Opening and Closing Words** : The opening and closing messages should carefully be framed keeping in view the situation, audience and subject.
- (18) **Sincerity** : All the elements should be present in a speech and the speaker must always think, feel and imagine before he speaks if he is to bring out the full meaning.
- (19) **Bring Out the Meaning** : It is not only the quality of the speaker's voice and the clear way in which he expresses his ideas; it is also the variety in his voice and gestures.
- (20) **Audibility of Voice and Words** : The first requirement of a good speech is that, the voice and words should be audible. The speaker should always try to cultivate a pleasing voice and speak clearly and distinctly.

Useful Hints for Preparation of Speech

A list of various useful hints in preparation of an effective speech is as follows :

- (1) **Selection of the topic** : Selection of a subject matter for a speech is the first and the most important task on the part of the speaker. The speaker should choose the subject well in advance before the date of the speech.
- (2) **The object of the speech** : In preparation of the speech another point of consideration is that the object of the speech should be very clear.
- (3) **Preparation of an outline** : It is important to prepare a rough blue like introduction, body copy, major thrust and conclusion for an effective speech. It is also very necessary to collect and interpret data.
- (4) **Rehearse** : Rehearsal gives self-confidence to the speaker. A speaker thus should rehearse the speech several times so as to be an effective speaker.
- (5) **Aids** : The person preparing the speech should consider and procure visual, audio-visual aids like charts, overhead projector, TV, etc.
- (6) **Rough Draft** : The person preparing the speech should attempt the rough draft and refine it.

(7) **Locate Materials and Data** : Information must be collected and organised from books, documents, speeches, magazines, reports etc..

Q.10. What is Interview? For what purpose is it used?

Or

Define Interview. Explain its object and kinds.

Or

What is meant by Interview? What are its various types.

Or

Explain the Concept of interview. What are the Objectives of interview?

Or

What is an 'Interview'? What do you know about its Importance and various types?

Or

Explain the Technique of Scientific Interviewing.

Or

Explain the Meaning, Importance and Types of Interviews.

Ans. Meaning of Interview : The word 'interview' is derived from the word 'intervue' meaning the sight between. It is an interaction between two or more persons for a specific purpose. It is a face to face interpersonal role situation in which one person the interviewer-asks the person being interviewed, specific questions in order to assess his suitability for admission, selection or promotion. It is a systematised method of contact with another.

Objectives of Interviews

The following are the main objectives of interview :

- (i) **Collection of information through face to face contact** :
By having face to face contact the interviewer can collect the required information from the applicant or the interviewer. It is a direct technique of collection of data.
- (ii) **Qualitative assessment and the suitability of the applicant** : The purpose of interview is to obtain information to assess the suitability of the applicant for the organisation. Qualitative facts like attitude, behavioural approach, conduct and strength of character cannot be revealed unless there is face to face contact.
- (iii) **To transmit information about oneself** : The purpose of conducting interview is not only to collect information about the applicant but the purpose is also to provide the necessary information to the applicants. They may also be interested to know certain facts about the organisation.

Importance of Interview

- (1) **Seeking Advice and Opinions** : In several complicated situations, where no solution is available, interview might be helpful to seek the others' advice and opinions.
- (2) **Acquainting with Company's Policies** : The interviewer is supposed to appraise and acquaint the candidates with the company policies and objectives.
- (3) **Collecting Information** : The purpose of interview is also to obtain any further information from the candidates attending the interviews.
- (4) **Verification of Facts** : Wherever there are any doubts regarding the correctness of the particulars given, the same could be ascertained from the interviews in the face-to-face conversations.
- (5) **Selection of Suitable Candidates** : The main purpose of interview, actually, is the judging of suitability of the applicants for the jobs. The ways of thinking, treating the labour problems, solving them, leadership qualities, etc., of the candidates could be known.

Types of Interviews

- (1) **Exit Interviews** : An employee who resigns is given an interview before he leaves. This interview is important for several reasons :
 - (i) The management can find out clearly and definitely, the reason for the employee's decision to leave, and can clear up any misunderstanding or ill feeling that might have developed.
 - (ii) The management tries to get the employees assessment of the enterprise, an employee who in leaving has no reason to fear the management's displeasure, and is likely to express his opinion frank about the enterprise-employee relations, public relations sales policies etc.
- (2) **Board Interviews** : In these interviews, there is a panel or board of members as interviewers who screen the candidates from their own angle.
- (3) **Group Interviews** : When the interviewers intend to put before the candidates any problem for discussion to think over it and find out some solution to it. There is no leadership among the candidates and the interviewer is a silent observer.
- (4) **Directed Interview** : In fact, the directed interviews pertain to directly questioning with the candidates being interviewed. The responses are helpful in measuring the job knowledge of the candidates.
- (5) **Unguided Interview** : Such interview is mostly unplanned, allowing the candidate to express about himself independently. The questions are of a general nature where the candidates could respond freely.

(6) **Guided or Patterned Interview** : In this type, a list of the questions, to be asked from the candidates, is prepared by the interviewers beforehand. The purpose of such interview is fact-finding with regard to the personality.

(7) **Stress Interview** : As the name indicates this type of interview puts the interview into difficulties in order to test his reaction to stress situations. This method is used only for selecting persons for posts in which the persons must be also to face difficult situations without getting upset, for example—the post of a college teacher, a labour welfare officer or any executive who has to face pressure from people.

Q.11. Mention the various Steps and principles of a good Interview.

Or

Mention the Method and Interview conducting.

Or

Explain the Method of Interviewing.

Ans. Method of Interviewing

1. Preparation for Interview : The following principles should be followed while preparation :

(1) **Prior Information** : The interviewee should always be given prior information about the time and place of interview.

(2) **Type of Interview** : The interviewer should be clear about the type of interview, to be conducted.

(3) **Collect Data** : The interviewer should collect all the information relating to the candidate, as part of his preparation for the interview.

(4) **Decide Objectives** : In order to prepare for an interview, the interviewer should first of all decide upon objectives of the interview.

2. Conduct of the Interview : Following principles should be followed during the conduct of an interview :

(1) **Pleasant Atmosphere** : The interviewer should try to create pleasant atmosphere during the interview.

(2) **Personality Assessment** : The interviewer should always aim at assessing the personality of the interviewee.

(3) **Familiarity with Job** : The interviewer should be familiar with the job specifications and job description.

(4) **Encouragement to Talk** : The interviewee should be given sufficient time to answer the questions put to him. He should be encouraged to share his ideas and thoughts.

(5) **Two-Way Communication** : While the interviewers should ask the question the interviewees should also be given an opportunity to ask the questions.

(6) **Art of Listening** : The interviewer should acquire the art of listening so as to understand the feelings of the interviewee.

(7) **Demonstration of Respect** : The interviewer, as a fundamental gesture, should possess and demonstrate a basic liking and respect for the interviewee.

3. Closing the Interview : Following principles should be followed in closing the interview :

(1) **Courtesy** : The interviewer should try to close the interview smoothly in courteous and friendly manner.

(2) **Indication of Future Action** : The interviewer should at last given as indication of future action to the interviewee.

(4) **Evaluation of Interview** : The interviewer should record all the facts, impressions and decisions once the interview comes to an end.

Q.12. Discuss the main Interview Issues. What should be the interviewer's attitude in connection with these issues?

Or

What are the Essentials of an Interview? Mention the problems of Interview.

Or

Discuss the Limitations and Problems of Interview Process.

Also mention the Essential requirements concerning an Interview.

Ans.

Limitations and Problems of Interview

(1) **Impatience in Arriving at Conclusions** : Few interviewers, tend to the impatient in their selection. This often results in selection of wrong candidates.

(2) **Pre-Determined Answers** : Generally, it happens that the answers of all possible questions to be asked in the interview are pre-determined.

(3) **Wrong Purpose** : Sometimes, interviewer asks questions from the candidate only to confuse him, or to defeat him and not to get the maximum information.

Limitations and Problems of Interview

1. Impatience in Arriving at Conclusions

2. Pre-Determined Answers

3. Wrong Purpose

4. Personal Judgement

5. Wrong Questions

6. Untrained Interviewers

(4) **Personal Judgement** : The result of an interview is an outcome of the personal judgement of the interviewer, which is not always correct.

(5) **Wrong Questions** : At times, the interviewers are not able to put the questions to the candidates in a proper manner.

(6) **Untrained Interviewers** : The main problem of an interview is that of untrained interviewers. If the interviewer is not trained, he shall not be able to evaluate the interviewee properly.

Essentials of an Interview

- (1) **Proper Time** : The candidate attending the interview must be given proper and sufficient time for responding to the questions.
- (2) **Concentration** : In fact, there is also required the deep patience on the part of the listener i.e. the interviewer who has to listen quite patiently to the responses.
- (3) **Proper Deliberation** : The interviewee, who is expressing his views to the employer's questions, must be given full opportunity for exposing himself before the interviewer.
- (4) **Patience of Interviewers** : In fact, much patience is needed on the part of both the interviewers as well as the applicants.

Essentials of an Interview

1. Proper Time
2. Concentration
3. Proper Deliberation
4. Patience of Interviewers
5. Interest in Applicant
6. Proper Conduct
7. Proper Closing

(5) **Interest in Applicant** : The interviewers must be quite impartial and take full interest in all the applicants.

(6) **Proper Conduct** : For maximum benefit, the interviews must be conducted in private place, the applicant must be made to feel easy there.

(7) **Proper Closing** : The interview must be closed in a pleasing manner and the candidate must not feel much boredom after coming out of the interview room.

UNIT-4

Long and short Answer type Questions :

Q.1. Briefly discuss the Advantages of various Tools of Communication in the modern world of Information Technology.

Or

What are the various modern forms of Communication? Explain the uses of the various modern forms of Communication.

Or

Write Short Notes on the following :

- (i) Fax;
- (ii) Electronic Mail (E-Mail); and
- (iii) Video Conferencing.

Or

Modern Communication system has changed the world into a world village. Discuss this statement.

Ans. Modern Forms of Communication : The advancements, made in the field of computer technology and telecommunications, have made the world appear as very small. Today, the communication process has become easier, safer, economical and quicker. The various forms of communicating in the modern world of information technology are as under:

Facsimile (Fax) : Facsimile or Fax, is the most common mode of communication in the modern business scenario. Fax enables the sender of the communication to send the message in the photocopy form of the original document.

Process of Fax : The process of fax involves two fax machines, at two different locations, connected on the telephone line.

Requirements for Fax : The whole process of communication through fax requires fax machines and telephone lines at both the ends to communication.

Advantages of Fax : The various advantages of fax are as follows :

(1) **Transmit Text, Diagrams etc.** : The fax provides the user to

(2) **Quick Means of Sending Messages**

(3) **Proof of Transmission**

(4) **Safe Mode of Communication**

(5) **Easy Storage**

Advantages of Fax

(1) **Transmit Text, Diagrams etc.**

(2) **Quick Means of Sending Messages**

(3) **Proof of Transmission**

(4) **Safe Mode of Communication**

(5) **Easy Storage**

(2) **Quick Means of Sending Messages** : Fax helps the user to transmit the messages quickly as compared to other modes of sending messages.

(3) **Proof of Transmission** : Once the fax is transmitted, the user gets a confirmation report as a documentary proof of transmission.

(4) **Safe Mode of Communication** : Fax is a safe mode of communication.

(5) **Easy Storage** : The fax is sent on a computer, the same can be stored on the machine without printing the document first.

Electronic Mail (E-Mail) : Today, It has become the most common means of communication for individuals and business houses. E-Mail involves sending of messages from one location to another through telecommunication links.

Process of E-Mail : The process of E-Mail involves two computer terminals, set at two different locations, connected on the network. The message is typed on the screen at one end and is communicated to the another through electric impulses.

Requirements for E-Mail : The whole process of communication through E-Mail requires mail addresses at both the ends to

communication. At present, all the internet subscribers get the E-Mail facility free with their subscription of internet.

Services Offered by E-Mail Softwares : The E-Mail softwares generally provide the following services to the users :

- (1) **Transfer of Data Files :** The E-mail software provides a facility to the user to transfer data files to other people.
- (2) **Forwarding of Messages :** The E-Mail software helps the user to forward the messages received by him.
- (3) **Printing of Messages :** Apart from sending of messages, the user can use the E-Mail software to facilitate the print-outs of the mails.
- (4) **Replying to the Received Mails :** The E-Mail software gives an opportunity to the user to reply to the mails received by him.
- (5) **Address Book :** The E-Mail software provides for maintenance of address book for all the E-Mail addresses.
- (6) **Composing Messages :** The E-Mail software provides the user a facility to compose messages in the best possible ways.

Advantages of E-Mail

- (1) **Easy Storage**
- (2) **Confidential and Safe Mode of Communication**
- (3) **Larger Recipient Base**
- (4) **No Disturbance to the Recipient**
- (5) **Saving in Case of Absence of the Recipient**
- (6) **Quick Means of Sending Messages**

(1) Easy Storage : E-Mail

enables the user to store the messages for future references.

(2) Confidential and Safe Mode of Communication : E-Mail

is a safe and confidential mode of communication as is meant for the recipient only.

(3) **Larger Recipient Base :** The E-Mail facilitates the sending of messages to a number of people at the same time.

(4) **No Disturbance to the Recipient :** Under E-Mail facility the recipient can check his account and retrieve messages at a later stage.

(5) **Saving in Case of Absence of the Recipient :** The E-Mail facility does not require the recipient to be available at the other end.

(6) **Quick Means of Sending Messages :** E-Mail helps the user transmit the messages quickly as compared to other modes.

Video-Conferencing : Video-conferencing involves use of television equipment of link people sitting at different locations at the same time. It aims at providing both sound and picture.

Process of Video-Conferencing : The process of video-conferencing involves several television terminals, set at different locations, connected on the network.

Methods of Video-Conferencing

- (1) **One Way Video and Audio :** Video and audio signals are sent from a single transmitting site to one or more receiving sites.
- (2) **One Way Video and Two Way Audio :** Under this method of video-conferencing, people sitting at different locations can talk to each other through electronic audio waves.
- (3) **Two Way Video and Audio :** Video and audio signals are from all the transmitting sites to each other.

Advantages of Video-Conferencing

- (1) **On-Line Means of Communication :** Video-conferencing helps the users to communicate with each other being on-line on the system.
- (2) **Saving in Time and Cost of Communication :** Video-conferencing can prove to be a very effective means of mutual consultation.
- (3) **Larger Participants Base :** Video-conferencing facilitates online communication among a large number of people at the same time.

Making Video-Conferencing More Effective : Video-conferencing can be made simpler and more effective, if the following rules are followed :

- (1) A taped record should be kept of the conference.
- (2) The persons should identify themselves before they speak.
- (3) The purpose of the discussion should be circulated to all the participants.
- (4) The Conferencing should be done with a manageable number of persons only.
- (5) A person should always serve as a moderator.

Q.2. What are the various forms of technology used in modern world for effective communication system?

Ans. Effective communication is the key to building a successful business in today's world of millions of connected users. Luckily, technology is constantly being introduced to help improve the way companies do business and communicate with the public and their employees. The key to making communication technology work for your business is to look for tools that help you save time and money throughout your operations. Here are eight technologies you could use in your company to move faster and more efficiently through your tasks.

1. Mobile Optimization : The first thing you should be looking at when it comes to communication with your business is your use of mobile

technology. Mobile phones are everywhere in society now, and smart entrepreneurs are targeting them. Building functional mobile apps for your business can be a great way to reach more customers or achieve more results. Additionally, you and your employees can be a much more effective team if you fully embrace mobile technology at your company.

2. Chat Features : Internet chat has come a long way since the early days of instant messaging online. Instead of simply being a time waster, internet chatting is now a useful tool for many businesses. Companies that have the traditional call center for customer service issues can achieve even more by incorporating an online chat tool within their website. For users, an online chat experience is much more satisfying and less frustrating. During wait times, they can minimize their browser window and work on something else instead of waste time waiting by the phone.

3. Video Calling : Sometimes making a phone call to an important client or team member isn't going to cut it if you're trying to close on a big deal. In the past, companies may have gone on expensive business trips to schedule in-person meetings for this type of situation. Now, businesses have more flexibility and better opportunities to save on travel costs by using video calling services instead. You can still feel like you're meeting with someone thousands of miles away while staying in the comfort of your home office.

4. Wearable Devices : Communication and technology have merged once again with the development of wearable devices. While most people connect these devices to health companies, expect to see more industries joining in on the wearable device trend. In the future, more businesses are expected to get data through proprietary wearable devices. This way, communication becomes nearly constant between companies and their customers.

5. Hosted Services : The internet has also revolutionized the traditional phone calling center for businesses. In the past, having a large call center meant companies needed to find space to house all of the communication components and hardware to run their phone system. Today, hosted PBX providers have taken the lead and eliminated the need for complicated equipment. Companies get much more functionality from their calling center system without investing as much money.

6. Home and Business Automation : Automation is another key idea that shows much promise in the world of communication technology for businesses. Home automation technology has been around for several years and looks to be expanding. Businesses that cater to home consumers can take advantage of the marketing and product opportunities with some home automation features. This can help improve the way consumers get products and elevate their experience with any business.

7. Cloud Technology : The cloud is another big part of any business' future communications plan. The need for data storage space

continues to be a driving force for many companies. Most organizations don't have the capabilities to house their data on site, which makes cloud storage solutions ideal. Companies that utilize call centers can also migrate to cloud call center solutions for more affordability and features.

8. Complete Integration : Lastly, complete technology integration is something that should expand in the near future. Today, more people than ever operate multiple devices, such as smartphones, desktop computers, tablets, and laptops. Integrating all of the functionalities of these devices is ideal for a better customer experience and more effective employees. Complete integration of devices is still pretty primitive, but the possibilities are endless for the next generation.

The key to making your business work better for your goals is effective communication. Today, it's possible to find a technology solution that could streamline an improve your connected communication, making your business excel beyond expectations.

~~Q3.~~ **What is E-Commerce? Mention its Advantages and Disadvantages.**

Or

Briefly discuss the concept of Electronic Data Interchange (EDI) in the light of global business. Also mention its uses and advantages.

Or

What is E-Commerce? Mention the utility of E-Commerce in global business. Also state its Advantages and Disadvantages.

Ans. E-Commerce : E-Commerce (electronic commerce or EC) is the buying and selling of goods and services.

E-Commerce has commonly been defined as "the exchange of business information using electronic formats. E-Commerce technologies are designed to replace traditional paper-base work. Frankly, e-commerce is the process of two or more parties making business transactions via computer.

This includes business-to-business transactions, on-line retail, and the digitalisation of the financial industry.

Factors of E-Commerce : E-Commerce can be divided into several factors. These factors are mentioned here as under :

- (i) Electronic Data Interchange (EDI).
- (ii) Gathering and use of demographic data.
- (iii) E-tailing on web sites with on-line catalogues.
- (iv) E-mail and fax and their use as media for reaching prospective.
- (v) Business-to-business buying and selling.
- (vi) Security of business transactions.

Advantages of E-Commerce

- (1) **High Degree of Personalisation** : Today, the information and processing power available to a business and with their customers approval, suppliers can gain a more comprehensive knowledge of their clientele.
- (2) **Round-the-Clock Availability** : E-Commerce is a round-the-clock advantage for the customer. It allows a fast and flexible execution and response to the market opportunities.
- (3) **Learning Buying Habits of Customers** : E-Commerce is a technique which helps the customers buy products on-line on internet.
- (4) **Saving on Operating Costs** : E-Commerce eliminates human intervention in order processing.
- (5) **Easy Shopping** : A potential customer can turn to web, browse different shops and place orders for a variety of articles without wasting his precious time and energy.

Disadvantages of E-Commerce : The various disadvantages of e-commerce are as follows :

- (1) **Non-Existence of Loyalty** : In E-Commerce customer relations may actually be in danger.
- (2) **Non-Availability for Common Man** : E-Commerce may further widen the gap between the haves and have-nots.
- (3) **Difficulty in Entry and Exit** : Customers who browse the web-sites do not take a fixed route. They enter in some page or the other at random and try to come out early to another product page.

- (4) **Difficulty in Rejection and Order Revision** : In personal inspection one can select or reject the merchandise. But in on-line shopping he cannot do so.

- (5) **Non-Existence of Virtual Store** : Ideally, he types in a word or phrase and gets back a list of products meeting his needs. The web search engines insist on exact and correct spelling and cannot extrapolate from a simple phrase.

Electronic Data Interchange (EDI) : Electronic Data Interchange is the transfer of business documents, between computers as per a set of standards. EDI facilitates the transfer of business documents stored in structured formats-through mutually agreed messaging protocols. In simple terms, EDI is computer-to-computer communication using a standard data format.

Working Process of Electronic Data Interchange

The working process of EDI is as under :

- (1) The 'receiving computer' automatically transfers the data to the warehouse of the factory.

- (2) The 'sending computer' stores the order and follows up on it.
- (3) The information is then transferred into the data base and appropriate error message.
- (4) Data are manipulated and formatted to match the order entry files.

- (5) Software on each company's computer translates the item into standard codes.

- (6) The 'sending computer', located at a customer's premises, uses tele-communication technology to transfer order data.

Uses of Electronic Data Interchange

In such system delays, often, are caused in ordering, billing, payment, customer service, management information, etc. Costs, on the other hand, may get increased because of increased labour, increased errors, increased inventories and above all uncertainty.

Advantages of Electronic Data Interchange

Through the implementation of EDI, computers electronically exchange business documents with each other with a minimum of human intervention; thus reducing operating costs. The benefits accruing from EDI implementation can be mentioned as under :

- (1) Orders from the customers can be analysed and executed.
- (2) Orders can be raised to reflect both demand and stock availability.
- (3) Carriage by road, rail, sea or air can be booked simultaneously.
- (4) Customs clearance can be obtained even before the goods arrive.

Q.4. Discuss various types of International Communication system of business.

Or

What is E-Business? Mention the different components of E-Business.

Or

Mention the need of Communication in Global Business. What Communication or Information Techniques would you follow to adapt the international business processes?

Ans. Global Business and Communication : The process of global business is a recent concept. It has led a number of multi-national companies to enter global countries and establish their manufacturing and marketing facilities.

Evidently, managers of multi-national companies, today, manage the international or global business operations through co-ordination with their associated or subsidiary companies.

Today, the new modes of information technology are available, such as electronic-mail, fax, video-conferencing, etc.

Electronic Business (E-Business) : Multi-national and transnational companies have been using the operation of e-business to arrange for production of some components/parts in one country and other components in other countries.

E-business can be divided into three areas. They are : (i) Within the organisation, (ii) Business-to-business (B2B) dealings and (iii) Business-to-customer (B2C) transactions.

(1) Within the Organisation : E-business within the organisation uses the intranet. The intranet uses internet standards for electronic communication. The intranet web sites allow the employees to obtain information and place orders online.

(2) Business-To-Business (B2B) Dealings : The second area is the business-to-business (B2B) dealings. Business-to-Business (B2B) dealings take place over the extranet. 'The extranet consists of two intranets connected via the internet, whereby two organisations are allowed to see confidential data of the another.'

(3) Business-to-Customer (B2C) Transactions : The third area of e-business is business-to-customer transactions. This is selling the goods and services through the internet to the innumerable customers spread all over the world.

Q.5. Write Short-Notes on the following :

(i) E-Auctioning; (ii) E-Banking; (iii) E-Marketing; and (iv) E-Trading.

Ans. (i) E-Auctioning : Now-a-days, all those who have internet connection can participate in the auction by sitting in the home itself. The internet enables everyone, irrespective of the country to which he belongs and where he is located can visit the auction web site with a click and participate in the auction.

(ii) E-Banking : Electronic banking is one of the most successful on-line businesses. It allows customers to access their accounts and execute order through a simple-to-use web site.

(iii) E-Marketing : In traditional marketing the marketing team could not get immediate results on the customer reaction. They conducted market surveys, processed the data and prepared the reports. On the basis of those reports the management took decisions, formulated the policies, prepared the plans and implemented them.

(iv) E-Trading : In E-trading, the investor can log on to an on-line trading portal, go through a comprehensive database of information, use the on-line analytical tools, and pass on instructions to a friendly and reliable on-line broker. On-line trading is the perfect solution to investor needs.

Q.6. What is the role of social media in modern business?

Ans. Creating and developing a website is important for any business. Along with having a website, you need to expand your online outreach to

social media platforms. Social networking sites such as Twitter and Facebook are essential for maintaining a competitive edge. Companies that do not have active social media accounts risk missing out on numerous marketing opportunities.

Interaction with Target Market : One of the key advantages of social media for businesses is that it enables you to interact with your customers. Going through the tweets and Facebook updates that are posted by your customer base gives you insight into what they need. This is useful for helping your company formulate marketing strategies that address their needs.

Improve Responsiveness : Social media eases the process of providing and receiving feedback. If your customers have concerns or problems with what your business offers, they can let you know in a timely manner. Social media gives customers a convenient and accessible way to express what they feel and gives companies a chance to respond. With such platforms, businesses are able to view complaints and assure their customers that their problems will be dealt with.

Competition : If your competitors are already using social media accounts for marketing and engaging their customers, you need to ensure that you are keeping up with the digital marketing strategies that are being implemented.

In the competitive world of business, more and more companies are capitalizing on the benefits of social media. In order for you to be able to boost online traffic to your site and increase sales, you need to stay ahead of the competition while providing your customers with the best products and services.

Effective Marketing : The social networking nature of platforms such as LinkedIn and Twitter generates interest among followers who are more responsive to them than a blatant marketing approach. You can use social media creatively to advertise your products and services without making your customers feel like they are overwhelmed by your marketing campaigns.

Advertisements strategically placed within informative posts are an effective way to spread the word about your business. Social media spreads awareness about your business while giving you the chance to constantly remind them about the products and services that you offer.

Find Customers : Hashtags and keywords are useful for helping you identify potential customers who are interested in what you are selling. After finding prospective customers, you can simply direct them to your account where they fill out more about your business.

Affordability : Managing your social media accounts is a cost-effective way to promote your business by using affordable social media marketing campaigns that strengthen your company's online visibility.

Social media does not require an extensive budget, which makes it fair for small businesses that are competing with well known brands.

Database : DBA services provide service delivery solutions that are flexible enough to meet the diverse needs of different companies. Emphasis is placed on the management and support of databases from remote locations while catering to the specified needs of various customers. Services are available for different database environments to provide a dependable, secure and expert approach to database management.

Social Environment : A social networking forum efficiently creates a social environment for you and your customers. Such a forum enables you to acquire important feedback regarding your business. Social media serves the purpose of making it easier for consumers to find out and distribute information about different brands, products and services.

A significant percentage of customers that relies on the internet to search for products have discovered specific companies through social media. If the opinions and reactions of your consumers matter to you, going social is necessary.

Informative : Social media is informative and gives you access to what your competition is up to as well as what customers are posting online about products and services. This gives you better insight into the market and various factors that affect your industry.

Online Presence : Social media has gradually evolved into an integral aspect of people's daily lives. From sharing details about lunch to ranting about bad service, people discuss virtually everything about their lives. Several people visit social networking sites each day and businesses need to maximize on their online presence.

Statistics indicate that the way people utilize social media and interact online influences their purchasing decisions. With more consumers choosing to make their purchases online, their approach to shopping has drastically changed. This makes it necessary for retailers to incorporate social media and adapt to the changes that have affected advertising and marketing in general.

Importance of Getting Social : Social media sites let you know what is popular. They also provide a platform for people to talk about pertinent issues and what they prefer. Social media was initially personal but has extended to the business realm. It plays an essential role in marketing strategies by increasing traffic and serving as a part of your SEO strategy.

Businesses need to work on their social skills and how they interact with their customers online for the best results. Success in social media marketing involves being strategic and innovative. Social media drives traffic with referrals and the additional advantage of taking up a considerable amount of time spent online. Marketers are becoming

increasingly aware of the need to allocate time and resources to social media sites.

Communication and Branding :

- Communication is vital for the success of any business and engaging your customers regularly helps to enhance your image. Social networks allow you to interact and deal with your customers on a personal level.
- When your brand gets involved in conversations, customers view it as approachable, responsive and accessible. This type of exposure positively influences how you are perceived and makes customers more receptive to the information that you share.
- Both social profiles and websites can help improve your branding efforts. Your existing and prospective customer base will be able to identify your brands' characteristics based on how you interact on social media.

Social Media for Business Growth :

A significant amount of social media activity is carried out through mobile devices. Make sure that your social media strategy is compatible with mobile devices to guarantee a worthwhile user experience. Social media sites continue to gain popularity at a rapid rate and it is important for small and growing businesses to use them to advertise and market what they offer.



Note : In the Examination, some short answer questions will also be asked. So the students are advised to go through all the long answer questions thoroughly as given in this book and write down the answer as much as needed/asked in the question paper.

Objective Type Questions

(1) To mean a Business is :

- (a) Sale and purchase of goods
- (b) Sale and purchase of services
- (c) Creation of utilities
- (d) Sale and purchase of goods and services, adhering social responsibilities

Ans. (d) Sale and purchase of goods and services, adhering social responsibilities

(2) Which one is an economic activity :

- (a) Profession of a lawyer
- (b) Profession of a doctor
- (c) Profession
- (d) Playing Tennis by a professional player

Ans. (d) Playing Tennis by a professional player

(3) Which one is an activity of an industry :

- (a) Transport Companies
- (b) Insurance Business
- (c) Banking institutions
- (d) None of the above

Ans. (d) None of the above

(4) Object of a business is :

- (a) Creation of utility
- (b) Profit earning
- (c) Social responsibility
- (d) Profit with social responsibility

Ans. (c) Social responsibility

(5) What is meant by re-export :

- (a) Import of goods
- (b) Exporting goods and services after importing
- (c) Export of goods
- (d) Importing goods & services after exporting.

Ans. (b) Exporting goods and services after importing

(6) Which two are base of a business :

- (a) Industry & Commerce
- (b) Industry & Trade
- (c) Industry & Business
- (d) Commerce & Business

Ans. (a) Industry & Commerce

(7) Profit and Service motives are :

- (a) Contradictory
- (b) Complementary

(c) Reciprocating

Ans. (b) Complementary

(8) 'Profit with service' should be the object of :

- (a) Private enterprise
- (b) Public enterprise
- (c) Co-operative enterprise
- (d) All enterprises

Ans. (d) All enterprises

(9) Corporate social responsibility is meant :

- (a) Economic activities in social interest
- (b) Recognition to social desires from business
- (c) Profit with social welfare
- (d) All of these

Ans. (d) All of these

(10) Corporate social responsibility is a :

- (a) Reciprocal activity
- (b) Universal concept
- (c) Success to a business
- (d) All of these

Ans. (d) All of these

(11) Corporate social responsibility is a :

- (a) Burden to business
- (b) In the social interest
- (c) In the interest of both to business and society
- (d) None of these

Ans. (c) In the interest of both to business and society

(12) Under promotion of a business following action is taken:

- (a) Selection of line of business
- (b) Choices of form of organisation
- (c) Location of business
- (d) All these

Ans. (d) All these

(13) Which of the following is the stage of promotion?

- (a) Discovery of an idea
- (b) Investigation and verification
- (c) Assembling of resources
- (d) All these

Ans. (d) All these

(14) One who is specialised in promotion of a new business is called :

- (a) Professional Promoter
- (b) Occasional Promoter
- (c) Technical Promoter
- (d) None of these

Ans. (A) Professional Promoter

(15) What is the relation of promoter to the Company he has promoted?

- (a) An agent
- (b) As a Trustee
- (c) Fiduciary position
- (d) None of these

Ans. (c) Fiduciary position

(16) Legal function under promotion includes :

- (a) Getting permission from appropriate authority
- (b) Applying and getting licence if required by law
- (c) Filing and vetting the Prospectus from SEBI
- (d) All these

Ans. (d) All these

(17) A successful promoter must have a quality such as :

- (a) Winning personality
- (b) Wide and deep knowledge
- (c) Self-confidence
- (d) All these

Ans. (d) All these

(18) is the objective of sole-trade :

- (a) earning profit
- (b) rendering service
- (c) profit with service
- (d) all the above

Ans. (c) profit with service

(19) Sole-trade has objective :

- (a) economic
- (b) non economic
- (c) both the above
- (d) none of the above

Ans. (a) economic

(22) Sole trade has capital :

- (a) limited
- (b) unlimited
- (c) none of the these
- (d) a and b both

Ans. (a) limited

(23) The liability of a sole-trader is

- (a) limited
- (b) unlimited
- (c) none of the these
- (d) a and b both

Ans. (b) unlimited

(24) The life of a sole-trade business is

- (a) stable
- (b) unstable
- (c) none of the these
- (d) a and b both

Ans. (b) unstable

(25) Prompt decision making important feature of sole-trade.

- (a) is
- (b) is not
- (c) all these
- (d) none of the these

Ans. (a) is

(26) The loss of the sole proprietorship is

- (a) shared
- (b) not shared
- (c) all these
- (d) none of the these

Ans. (b) not shared

(27) Registration of a partnership is

- (a) Voluntary
- (b) Compulsory
- (c) None these
- (d) All these

Ans. (a) Voluntary

(28) The liability of all partners is

- (a) Limited
- (b) Unlimited
- (c) Partial
- (d) Proportionate

Ans. (b) Unlimited

(29) Partnership agreement is

- (a) Compulsory
- (b) Voluntary
- (c) Necessary
- (d) All the above

Ans. (a) Compulsory

(30) The minimum number of partners in a partnership firm are

- (a) 2
- (b) 7
- (c) 10
- (d) 20

Ans. (a) 2

(31) Partnership is formed by the

- (a) Parliament
- (b) Legislature
- (c) Agreement
- (d) None of the above

Ans. (c) Agreement

(32) Dissolution of partnership the dissolution of firm.

- (a) is
- (b) is not
- (c) all the above
- (d) none of the above

Ans. (b) is not

(33) The dissolution of firm dissolution of partnership.

- (a) is
- (b) is not
- (c) all the above
- (d) none of the above

Ans. (a) is

(34) In the absence of partnership agreement partners must receive interest @ on loans advanced by them.

- (a) 6%
- (b) 9%
- (c) 12%
- (d) 24%

Ans. (a) 6%

(35) The minimum number of members in a co-operative society are

- (a) 2 (b) 7
(c) 100 (d) 10

Ans. (d) 10

(36) The maximum number of members in a co-operative society are

- (a) unlimited (b) 50
(c) 10 (d) 20

Ans. (a) unlimited

(37) The objective of co-operative societies is

- (a) Profit motive (b) Service motive
(c) Profit with service motive (d) Religious motive

Ans. (c) Profit with service motive

(38) The membership of co-operative societies is

- (a) Voluntary (b) Compulsory
(c) Necessary (d) Unnecessary

Ans. (a) Voluntary

(39) The registration of co-operative society is

- (a) Compulsory (b) Voluntary
(c) Necessary (d) Unnecessary

Ans. (a) Compulsory

(40) Co-operative societies are registered by

- (a) Registrar, Co-operative societies
(b) District magistrate
(c) Ministry of co-operation
(d) Sub-divisional Magistrate

Ans. (a) Registrar, Co-operative societies

(41) The Registrar of Co-operative Societies is available in every.....

- (a) Village (b) District
(c) State (d) Town

Ans. (c) State

(42) The maximum number of members of a public company is

- (a) 7 (b) 10
(c) 50 (d) unlimited

Ans. (d) unlimited

(43) The maximum number of members in a private company is.....

- (a) 7 (b) 10

(c) 50

Ans. (c) 50

(44) The directors of the public company retire at the age of

- (a) 55 year (b) 58 years
(c) 60 years (d) 65 years

Ans. (d) 65 years

(45) The minimum number of director in a public company is.....

- (a) 2 (b) 3
(c) 5 (d) 10

Ans. (b) 3

(46) The minimum number of directors in a private company is

- (a) 2 (b) 3
(c) 5 (d) 7

Ans. (a) 2

(47) The public company commences its work after obtaining

- (a) Incorporation
(b) Registration
(c) Minister's permission

(d) Certificate to commence business

Ans. (d) Certificate to commence business

(48) The government has control over company.

- (a) Public (b) Private
(c) Government (d) Multinational

Ans. (c) Government

(49) The directors of a private company is

- (a) Public (b) Private
(c) Government (d) Foreign

Ans. (a) Public

(50) The maximum age of direction of a private company is

- (a) 55 years (b) 60 years
(c) 65 years (d) more than 65 years

Ans. (d) more than 65 years

(51) 51% or more capital is held by the government in case of

- (a) Private (b) Public
(c) Government (d) Foreign

Ans. (c) Government

(52) At least of the capital of the government company is held by the government.

- (a) 51%
- (b) 5%
- (c) 78%
- (d) 100%

Ans. (a) 51%

(53) Life Insurance Corporation is an example of

- (a) Departmental organisation
- (b) Public corporation
- (c) Government company
- (d) Trust

Ans. (b) Public corporation

(54) Hindustan Machine Tools Ltd. is the example of

- (a) Department organisation
- (b) Public corporation
- (c) Government company
- (d) Joint venture

Ans. (c) Government company

(55) Industrial Finance Corporation is the example of

- (a) Joint venture
- (b) Departmental stores
- (c) Government company
- (d) Public corporations

Ans. (d) Public corporations

(56) Government company is registered under

- (a) Company Act, 1956
- (b) Special legislation
- (c) Partnership Act, 1932
- (d) Banking Act, 1949

Ans. (a) Company Act, 1956

(57) Meaning of business is :

- (a) Manufacturing of goods
- (b) Purchase and sale of goods
- (c) Social Service
- (d) All of the above

Ans. (d) All of the above

(58) The registration of partnership is :

- (a) Optional
- (b) Essential
- (c) Compulsory
- (d) None of the above

Ans. (a) Optional

(59) The minimum numbers of directors in Public Limited Company are :

- (a) 3
- (b) 2
- (c) 4
- (d) 7

Ans. (d) 7

(60) The Oldest form of public enterprises is :

- (a) Govt. Company
- (b) Public Corporation
- (c) Departmental Organization
- (d) Sole Trade

Ans. (c) Departmental Organization

(61) The theory of Weber is :

- (a) Inductive Theory
- (b) Analytical Theory
- (c) Deductive Theory
- (d) None of the above

Ans. (c) Deductive Theory

(62) 'Communication is the process of passing information and understanding from one person to another.' This famous definition is given by :

- (a) Leland Brown
- (b) Newman & Summer
- (c) Theo Hailman
- (d) Prof. Ketes

Ans. (a) Leland Brown

(63) Which of the following is not the characteristic of Communication?

- (a) Existence of message
- (b) Existence of two parties
- (c) Two-way process
- (d) One time process

Ans. (d) One time process

(64) The Objective of Communication may be :

- (a) Co-ordination of effort
- (b) Free exchange of information
- (c) Facilitate decision making
- (d) All the above

Ans. (d) All the above

(65) Which of the given is not the importance of Communication?

- (a) Smooth working of a business
- (b) Basis of managerial function
- (c) Minimum production at minimum cost
- (d) Building human relations

Ans. (c) Minimum production at minimum cost

(66) Communication flows in :

- (a) Vertical direction
- (b) Horizontal direction
- (c) Diagonal direction
- (d) All the above.

Ans. (d) All the above.

(67) Which of the following is not an essential element for an effective communication in business and management?

- (a) Existence of receiver
- (b) Action
- (c) Sender
- (d) Message

Ans. (b) Action

(68) Which of the following is not an element of process of communication?

- (a) Encoding
- (b) Transmission
- (c) Decoding
- (d) Time

Ans. (d) Time

(69) **Feedback affects :**

- (a) The attitude of communication
- (b) The performance
- (c) The accuracy
- (d) All the above

Ans. (d) All the above

(70) **Feedback does not result in :**

- (a) Problems
- (b) Better planning for future
- (c) Better co-ordination
- (d) Development of listening habits

Ans. (a) Problems

(71) **Verbal communication means :**

- (a) Communication with use of words
- (b) Communication use of codes
- (c) Communication with use of facial expressions
- (d) All the above.

Ans. (a) communication with use of words

(72) **Fastest form of communication is :**

- (a) Written communication
- (b) Oral communication
- (c) Gestural communication
- (d) None of the above

Ans. (b) Oral communication

(73) **Secrecy can be maintained in :**

- (a) Facial expressions
- (b) Feedback
- (c) Written communication
- (d) Oral communication

Ans. (d) Oral communication

(74) **..... suffers from language problem :**

- (a) Oral communication
- (b) Written communication
- (c) Both oral and written communication
- (d) None of the above.

Ans. (a) Oral Communication

(75) **Immediate feedback is possible through**

- (a) An agent
- (b) Written communication
- (c) Oral communication
- (d) None of the above

Ans. (c) Oral communication

(76) **Which of the following is/are barrier(s) to effective listening?**

- (a) Boredom
- (b) Jargon
- (c) Pressure of work
- (d) All the above

(77) **Which is the following is not the advantage of listening?**

- (a) Morale boosting
- (b) Feedback
- (c) Anxiousness
- (d) Development of managerial skills

Ans. (c) Anxiousness

(79) **Communication is away traffic :**

- (a) One
- (b) Two
- (c) Either one or two according to situation
- (d) None of them

Ans. (b) Two

(80) **The branch which studies two body movement is known as :**

- (a) Cinesics
- (b) Binesics
- (c) Kinesics
- (d) None of them

Ans. (c) Kinesics

(81) **Which of the following is not an element of Visual element :**

- (a) Bulletin board
- (b) Flip chart
- (c) Flash cards
- (d) Public addressal system

Ans. (d) Public addressal system

(82) **Graphs, Charts, tape recorder, posters, magnetic tape are the aids of :**

- (a) Visual aid
- (b) Audio aid
- (c) Visual and audio and both
- (d) All independent

Ans. (c) Visual and audio aid both

(83) **Grapevine is also known as :**

- (a) Formal Communication
- (b) Informal Communication
- (c) Seavine
- (d) None of the above

Ans. (b) Informal Communication

(84) **Informal Communication is that communication :**

- (a) Which is free from all formalities
- (b) Which is not free from all formalities
- (c) In which all formalities should be done
- (d) Which done is not deliberately created changed of communication

Ans. (a) Which is free from all formalities

(85) **Rumours are :**

- (a) Good to organisation
- (b) Bad to organisation
- (c) Does not effect organisation
- (d) Necessary to organisation

Ans. (b) Bad to Organisation.

(86) **Formal Communication is :**

- (a) Flexible
- (b) Rigid
- (c) Sometimes flexible
- (d) Sometimes rigid

Ans. (b) Rigid

(87) **Informal Communication is :**

- (a) Flexible
- (b) Rigid
- (c) Sometimes flexible
- (d) Sometimes rigid

Ans. (a) Flexible

(88) **Informal Communication, chances of distortion of original message are :**

- (a) Very high
- (b) High
- (c) None
- (d) Very low

Ans. (d) Very low

(89) **A rumour means :**

- (a) An information without any secure standard of evidence
- (b) Refers to 'gossip', which is false in nature
- (c) An undesirable feature of grapevine
- (d) All the above

Ans. (a) An information without any secure standard of evidence

(90) **The line of Communication should be as..... as possible :**

- (a) long
- (b) short
- (c) equal
- (d) None of them

Ans. (b) short

(91) **What is Exit interview?**

- (a) Interview taken at the time of screening of an employee
- (b) Interview given at the time of joining the institute
- (c) Interview given by an employee who resigns before leaving
- (d) None of them

Ans. (c) Interview given by an employee who resigns before leaving

(92) **Which of the following is a disadvantage of written Communication?**

- (a) Change mode
- (b) Non-secrecy
- (c) Permanent record
- (d) Authentic record

Ans. (b) Non-secrecy

(93) **Courtesy means :**

- (a) Giving due consideration to the feelings of others
- (b) Giving due concentration to the feelings of others
- (c) Understanding the person and giving sympathy to him

(d) All the above

Ans. (c) Understanding the person and giving sympathy to him

(94) **By correctness of a letter which thing is meant?**

- (a) There should be no wrong facts, description and data in it which may affect the power of decision of the customer
- (b) The letter must not unnecessarily distort the facts
- (c) Whatever is mentioned in the letter, must be correct and right
- (d) All the above

Ans. (d) All the above

(95) **By clarity of a letter, which thing is meant?**

- (a) The reader may know the intention of the writer
- (b) It should not leave any doubt or misunderstanding in the mind of the reader
- (c) The language should be very clear as well as self explanatory
- (d) All the above

Ans. (d) All the above

(96) **Communication is theto successful manager.**

- (a) Key
- (b) Action
- (c) Process
- (d) None of the above

Ans. (a) Key

(97) **The main principles of Communication are :**

- (a) 2
- (b) 3
- (c) 5
- (d) 7

Ans. (d) 7

(98) **The word meaning of 'Symbiotic' is :**

- (a) Group
- (b) Object
- (c) Tendency
- (d) None of the above

Ans. (a) Group

(99) **The kinds of Communication are :**

- (a) 2
- (b) 3
- (c) 4
- (d) 5

Ans. (a) 2

(100) **In a business organisation, the layers of managers are :**

- (a) 3
- (b) 4
- (c) 5
- (d) 6

Ans. (c) 5

(101) **The Communication is not possible without :**

- (a) Pride
- (b) Listening
- (c) Manager
- (d) None of the above

Ans. (b) Listening

(102) How many elements of effective verbal communication are there?

- (a) 4 (b) 5
(c) 7 (d) 8

Ans. (c) 7

(103) The elements of effective verbal communication are known as :

- (a) 'Seven C' (b) 'Seven D'
(c) 'Seven E' (d) 'Seven F'

Ans. (a) 'Seven C'

(104) Group formed on work structure is known as :

- (a) Central (b) Formal
(c) Informal (d) None of the above

Ans. (b) Formal

(105) According to language, communication is divided into :

- (a) 2 (b) 3
(c) 4 (d) 5

Ans. (a) 2

(106) The type of body language(s) are :

- (a) 1 (b) 2
(c) 3 (d) 4

Ans. (d) 4

(107) Which of the following medium is not a verbal Communication?

- (a) Radio broadcasting (b) T.V. broadcasting
(c) Interview (d) Questionnaire

Ans. (d) Questionnaire

(108) The main stages of an interview are :

- (a) 6 (b) 3
(c) 2 (d) None of the above

Ans. (b) 3

(109) Kinds of application letters are :

- (a) 3 (b) 2
(c) 5 (d) None of the above

Ans. (b) 2

(110) E-commerce was originated in :

- (a) 1950 (b) 1970
(c) 1980 (d) 1990

Ans. (b) 1970

(111) Which one of the following is a form of body language?

- (a) Sign language (b) silence
(c) Proxemics (d) Surroundings

Ans. (a) Sign language

(112) The form of official letter is :

- (a) Sir (b) Dear
(c) My Friend (d) My Dear

Ans. (a) Sir

(113) Red colour is the indication of :

- (a) Depresses (b) Cheers
(c) Excites (d) Cools

Ans. (c) Excites

(114) The phases of writing efficiency are :

- (a) Two (b) Three
(c) Six (d) Four

Ans. (a) Two

(115) Business demand letter should be :

- (a) Very Strict (b) Very simple
(c) Tacitful (d) Very polite

Ans. (d) Very polite

(116) C.E.C. stands for :

- (a) Consumer to consumer (b) Customer to Customer
(c) Commerce to commerce (d) None of the above

Ans. (a) Consumer to consumer

(117) The response received to a message is called :

- (a) Medium (b) Encoding
(c) Structural (d) Feedback

Ans. (d) Feedback

(118) The oldest theory of communication is-

- (a) Christian theory (b) Buddhist theory
(c) Vedic theory (d) Islamic theory

Ans. (c) Vedic theory

(119) How many channels of communication are there?

- (a) Four (b) Two
(c) One (d) Five

Ans. (b) Two

(120) Which of the following is not a oral communication?

- (a) Interview (b) Radio
(c) T.V. (d) questionnaire

Ans. (d) questionnaire

(121) The Indian ancient business system was primary based

on :

- (a) Heavy machinery
- (b) Agriculture and trade
- (c) Modern banking
- (d) Industrial revolution.

Ans. (b) Agriculture and trade.

(122) Which industry was most prominent in ancient India?

- (a) Iron & steel
- (b) Cotton and textile
- (c) Automobile
- (d) Cement.

Ans. (b) Cotton and textile.

(123) Ancient India's external trade was mostly carried out through :

- (a) Ocean and land routes
- (b) Only air routes
- (c) Telecommunication
- (d) Space routes.

Ans. (a) Ocean and land routes.

(124) The famous trade route connecting India with Central

Asia and Europe was :

- (a) Silk Route
- (b) Grand Trunk Road
- (c) Khyber Pass
- (d) Swadeshi Route.

Ans. (a) Silk Route.

(125) The Khyber Pass was significant in ancient trade as it :

- (a) Connected North India with Central Asia
- (b) Linked India with South India
- (c) Served only military purpose
- (d) Served only military purpose.

Ans. (a) Connected North India with Central Asia.

(126) The connect of interest on loans and credit in ancient

India was known as :

- (a) Vritti
- (b) Rin
- (c) Vyaj or Shulka
- (d) Dana.

Ans. (c) Vyaj or Shulka.

